

UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-Q

☒ QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the Quarterly Period Ended June 30, 2023
OR

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the Transition Period from to
Commission File No. 1-11778

CHUBB LIMITED

(Exact name of registrant as specified in its charter)

Switzerland

(State or other jurisdiction of incorporation or organization)

98-0091805

(I.R.S. Employer Identification No.)

Baerengasse 32

Zurich, Switzerland CH-8001

(Address of principal executive offices) (Zip Code)

+41 (0)43 456 76 00

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Shares, par value CHF 0.50 per share	CB	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 0.30% Senior Notes due 2024	CB/24A	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 0.875% Senior Notes due 2027	CB/27	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 1.55% Senior Notes due 2028	CB/28	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 0.875% Senior Notes due 2029	CB/29A	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 1.40% Senior Notes due 2031	CB/31	New York Stock Exchange
Guarantee of Chubb INA Holdings Inc. 2.50% Senior Notes due 2038	CB/38A	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15 (d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes ☒

No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files).

Yes ☒

No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☒

Non-accelerated filer ☐

Accelerated filer ☐

Smaller reporting company ☐

Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act).

Yes ☐

No ☒

The number of registrant's Common Shares (CHF 0.50 par value) outstanding as of July 21, 2023 was 410,734,972.

CHUBB LIMITED
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PART I FINANCIAL INFORMATION**ITEM 1. Financial Statements****CONSOLIDATED BALANCE SHEETS (Unaudited)**

Chubb Limited and Subsidiaries

	June 30 2023	December 31 2022 As Adjusted
(in millions of U.S. dollars, except share and per share data)		
Assets		
Investments		
Fixed maturities available for sale, at fair value, net of valuation allowance - \$193 and \$169 (amortized cost – \$104,224 and \$93,355)	\$ 96,789	\$ 85,220
Fixed maturities held to maturity, at amortized cost, net of valuation allowance - nil and \$34 (fair value – nil and \$8,439)	—	8,848
Equity securities, at fair value	1,043	827
Short-term investments, at fair value (amortized cost – \$4,099 and \$4,962)	4,097	4,960
Other investments, at fair value	14,707	13,696
Total investments	116,636	113,551
Cash	2,285	2,012
Restricted cash	90	115
Securities lending collateral	1,525	1,523
Accrued investment income	983	941
Insurance and reinsurance balances receivable, net of valuation allowance - \$52 and \$52	14,128	11,933
Reinsurance recoverable on losses and loss expenses, net of valuation allowance - \$361 and \$351	18,398	18,859
Reinsurance recoverable on policy benefits	315	302
Deferred policy acquisition costs	6,666	6,031
Value of business acquired	3,575	3,702
Goodwill	16,322	16,228
Other intangible assets	5,320	5,441
Prepaid reinsurance premiums	3,599	3,136
Investments in partially-owned insurance companies	3,542	2,507
Separate account assets	5,574	5,190
Other assets	6,490	7,546
Total assets	\$ 205,448	\$ 199,017
Liabilities		
Unpaid losses and loss expenses	\$ 76,480	\$ 75,747
Unearned premiums	21,860	19,713
Future policy benefits	11,064	10,476
Market risk benefits	722	800
Policyholders' account balances	3,215	3,140
Separate account liabilities	5,574	5,190
Insurance and reinsurance balances payable	8,429	7,780
Securities lending payable	1,525	1,523
Accounts payable, accrued expenses, and other liabilities	6,864	7,148
Deferred tax liabilities	533	377
Repurchase agreements	1,518	1,419
Short-term debt	699	475
Long-term debt	13,782	14,402
Trust preferred securities	308	308
Total liabilities	152,573	148,498
Commitments and contingencies (refer to Note 13)		
Shareholders' equity		
Common Shares (CHF 0.50 and 24.15 par value; 431,451,586 and 446,376,614 shares issued; 410,691,354 and 414,594,856 shares outstanding)	241	10,346
Common Shares in treasury (20,760,232 and 31,781,758 shares)	(3,174)	(5,113)
Additional paid-in capital	16,163	7,166
Retained earnings	49,467	48,305
Accumulated other comprehensive income (loss) (AOCI)	(9,822)	(10,185)
Total shareholders' equity	52,875	50,519
Total liabilities and shareholders' equity	\$ 205,448	\$ 199,017

See accompanying notes to the Consolidated Financial Statements

CONSOLIDATED STATEMENTS OF OPERATIONS AND COMPREHENSIVE INCOME (Unaudited)

Chubb Limited and Subsidiaries

	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022 As Adjusted	2023	2022 As Adjusted
(in millions of U.S. dollars, except per share data)				
Revenues				
Net premiums written	\$ 11,951	\$ 10,293	\$ 22,661	\$ 19,482
Increase in unearned premiums	(952)	(744)	(1,520)	(1,196)
Net premiums earned	10,999	9,549	21,141	18,286
Net investment income	1,145	888	2,252	1,710
Net realized gains (losses)	(304)	(503)	(381)	(480)
Market risk benefits gains (losses)	(7)	(33)	(122)	16
Total revenues	11,833	9,901	22,890	19,532
Expenses				
Losses and loss expenses	5,683	5,206	10,831	9,770
Policy benefits (includes remeasurement losses of \$5, nil, \$4, and \$6)	830	361	1,627	734
Policy acquisition costs	2,016	1,726	3,964	3,445
Administrative expenses	969	818	1,899	1,596
Interest expense	165	134	325	266
Other (income) expense	(100)	101	(396)	(211)
Amortization of purchased intangibles	70	71	142	142
Cigna integration expenses	15	3	37	3
Total expenses	9,648	8,420	18,429	15,745
Income before income tax	2,185	1,481	4,461	3,787
Income tax expense	392	291	776	644
Net income	\$ 1,793	\$ 1,190	\$ 3,685	\$ 3,143
Other comprehensive income (loss)				
Change in:				
Unrealized appreciation (depreciation)	\$ (1,194)	\$ (4,344)	\$ 592	\$ (8,996)
Current discount rate on future policy benefits	(35)	632	(186)	1,067
Instrument-specific credit risk on market risk benefits	11	17	8	40
Cumulative foreign currency translation adjustment	215	(756)	38	(689)
Other, including postretirement benefit liability adjustment	48	5	15	24
Other comprehensive income (loss), before income tax	(955)	(4,446)	467	(8,554)
Income tax (expense) benefit related to OCI items	28	183	(104)	962
Other comprehensive income (loss)	(927)	(4,263)	363	(7,592)
Comprehensive income (loss)	\$ 866	\$ (3,073)	\$ 4,048	\$ (4,449)
Earnings per share				
Basic earnings per share	\$ 4.35	\$ 2.82	\$ 8.92	\$ 7.42
Diluted earnings per share	\$ 4.32	\$ 2.80	\$ 8.84	\$ 7.35

See accompanying notes to the Consolidated Financial Statements

CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY (Unaudited)

Chubb Limited and Subsidiaries

	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
(in millions of U.S. dollars)		As Adjusted		As Adjusted
Common Shares				
Balance – beginning of period	\$ 10,346	\$ 10,666	\$ 10,346	\$ 10,985
Par value reduction	(9,759)	—	(9,759)	—
Cancellation of treasury shares	(346)	—	(346)	(319)
Balance – end of period	241	10,666	241	10,666
Common Shares in treasury				
Balance – beginning of period	(5,341)	(5,700)	(5,113)	(7,464)
Common Shares repurchased	(724)	(1,129)	(1,152)	(2,130)
Cancellation of treasury shares	2,869	—	2,869	2,510
Net shares issued under employee share-based compensation plans	22	35	222	290
Balance – end of period	(3,174)	(6,794)	(3,174)	(6,794)
Additional paid-in capital				
Balance – beginning of period	6,680	7,988	7,166	8,478
Net shares redeemed (issued) under employee share-based compensation plans	5	4	(206)	(195)
Exercise of stock options	—	(6)	(13)	(27)
Share-based compensation expense	73	69	155	139
Par value reduction	9,759	—	9,759	—
Funding of dividends declared to Retained earnings	(354)	(348)	(698)	(688)
Balance – end of period	16,163	7,707	16,163	7,707
Retained earnings				
Balance – beginning of period	50,197	47,165	48,305	47,403
Net income	1,793	1,190	3,685	3,143
Cancellation of treasury shares	(2,523)	—	(2,523)	(2,191)
Funding of dividends declared from Additional paid-in capital	354	348	698	688
Dividends declared on Common Shares	(354)	(348)	(698)	(688)
Balance – end of period	49,467	48,355	49,467	48,355
Accumulated other comprehensive income (loss) (AOCI)				
Balance – beginning of period	(8,895)	(4,403)	(10,185)	(1,074)
Other comprehensive income (loss)	(927)	(4,263)	363	(7,592)
Balance – end of period	(9,822)	(8,666)	(9,822)	(8,666)
Total shareholders' equity	\$ 52,875	\$ 51,268	\$ 52,875	\$ 51,268

See accompanying notes to the Consolidated Financial Statements

CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)

Chubb Limited and Subsidiaries

	Six Months Ended June 30	
	2023	2022
(in millions of U.S. dollars)		As Adjusted
Cash flows from operating activities		
Net income	\$ 3,685	\$ 3,143
Adjustments to reconcile net income to net cash flows from operating activities		
Net realized (gains) losses	381	480
Market risk benefits (gains) losses	122	(16)
Amortization of premiums/discounts on fixed maturities	(38)	148
Amortization of purchased intangibles	142	142
Equity in net income of partially-owned entities	(460)	(291)
Deferred income taxes	43	108
Unpaid losses and loss expenses	561	1,949
Unearned premiums	1,913	1,554
Future policy benefits	351	99
Insurance and reinsurance balances payable	588	670
Accounts payable, accrued expenses, and other liabilities	(388)	67
Income taxes payable	(38)	(83)
Insurance and reinsurance balances receivable	(2,044)	(1,560)
Reinsurance recoverable	455	(642)
Deferred policy acquisition costs	(546)	(232)
Other	39	(370)
Net cash flows from operating activities	4,766	5,166
Cash flows from investing activities		
Purchases of fixed maturities available for sale	(12,800)	(13,474)
Purchases of fixed maturities held to maturity	(208)	(380)
Purchases of equity securities	(240)	(664)
Sales of fixed maturities available for sale	7,229	8,053
Sales of equity securities	81	2,445
Maturities and redemptions of fixed maturities available for sale	3,203	5,753
Maturities and redemptions of fixed maturities held to maturity	708	820
Net change in short-term investments	898	(340)
Net derivative instruments settlements	(63)	117
Private equity contributions	(1,046)	(1,287)
Private equity distributions	568	448
Acquisition of subsidiaries	(23)	—
Payment for Huatai Group interest	(229)	(113)
Other	(340)	(253)
Net cash flows from (used for) investing activities	(2,262)	1,125
Cash flows from financing activities		
Dividends paid on Common Shares	(688)	(681)
Common Shares repurchased	(1,267)	(2,127)
Proceeds from issuance of repurchase agreements	3,774	3,002
Repayment of long-term debt	(475)	—
Repayment of repurchase agreements	(3,674)	(1,000)
Proceeds from share-based compensation plans	102	170
Policyholder contract deposits	170	188
Policyholder contract withdrawals	(101)	(144)
Tax withholding payments for share-based compensation plans	(97)	(98)
Other	(56)	(35)
Net cash flows used for financing activities	(2,312)	(725)
Effect of foreign currency rate changes on cash and restricted cash	56	(138)
Net increase in cash and restricted cash	248	5,428
Cash and restricted cash – beginning of period	2,127	1,811
Cash and restricted cash – end of period	\$ 2,375	\$ 7,239
Supplemental cash flow information		
Taxes paid	\$ 753	\$ 612
Interest paid	\$ 306	\$ 290

See accompanying notes to the Consolidated Financial Statements

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Unaudited)

Chubb Limited and Subsidiaries

1. General and significant accounting policies**a) Basis of presentation**

Chubb Limited is a holding company incorporated in Zurich, Switzerland. Chubb Limited, through its subsidiaries, provides a broad range of insurance and reinsurance products to insureds worldwide. Our results are reported through the following business segments: North America Commercial P&C Insurance, North America Personal P&C Insurance, North America Agricultural Insurance, Overseas General Insurance, Global Reinsurance, and Life Insurance. Refer to Note 18 for additional information.

The interim unaudited consolidated financial statements, which include the accounts of Chubb Limited and its subsidiaries (collectively, Chubb, we, us, or our), have been prepared in accordance with accounting principles generally accepted in the United States of America (GAAP) and, in the opinion of management, reflect all adjustments necessary for a fair statement of the results and financial position for such periods. All significant intercompany accounts and transactions, including internal reinsurance transactions, have been eliminated.

The results of operations and cash flows for any interim period are not necessarily indicative of the results for the full year. These consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our 2022 Form 10-K.

b) Restricted cash

Restricted cash in the Consolidated balance sheets represents amounts held for the benefit of third parties and is legally or contractually restricted as to withdrawal or usage. Amounts include deposits with U.S. and non-U.S. regulatory authorities, trust funds set up for the benefit of ceding companies, and amounts pledged as collateral to meet financing arrangements.

The following table provides a reconciliation of cash and restricted cash reported within the Consolidated balance sheets that total to the amounts shown in the Consolidated statements of cash flows:

(in millions of U.S. dollars)		June 30 2023	December 31 2022
Cash	\$	2,285	\$ 2,012
Restricted cash		90	115
Total cash and restricted cash shown in the Consolidated statements of cash flows	\$	2,375	\$ 2,127

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

c) Accounting guidance adopted in 2023

Targeted Improvements to the Accounting for Long-Duration Contracts

Effective January 1, 2023, we adopted new guidance on the accounting for long-duration contracts (LDTI). The new accounting guidance requires more frequent updating of assumptions and a standardized discount rate for the future policy benefit liability, a requirement to use the fair value measurement model for policies with market risk benefits, simplified amortization of deferred acquisition costs, and enhanced disclosures.

With the exception of market risk benefits, we adopted this guidance on a modified retrospective basis. Under the modified retrospective basis, the liability for future policy benefits is updated to remove any amounts related to changes to the original discount rate at January 1, 2021 (the transition date) in AOCI and future cash flow assumptions are applied to contracts in force. The liability for future policy benefits prior to the transition date continues to use the original discount rate (interest accretion rate). The guidance for long-duration contracts applicable to market risk benefits, primarily assumed reinsurance programs involving minimum benefit guarantees under variable annuity contracts, was adopted on a retrospective transition approach. Under the retrospective transition approach, we calculated the fair value of market risk benefits which were previously accounted for under an insurance accounting model and recognized an adjustment to retained earnings as of January 1, 2021.

On January 1, 2021, we recognized a cumulative effect adjustment and increased beginning retained earnings by \$52 million, and decreased AOCI by \$1.8 billion. Results for the prior reporting periods in this report are presented in accordance with the new guidance. We also adopted the required disclosures in Note 6 Deferred acquisition costs, Note 9 Future policy benefits, Note 10 Policyholders' account balances, Note 11 Market risk benefits, and Note 12 Separate accounts.

The impact of adoption of the new guidance on our historical financial statements is as follows:

	December 31, 2022		
(in millions of U.S. dollars)	As Previously Reported	LDTI Adoption Adjustment	As Adjusted
Consolidated balance sheet			
Reinsurance recoverable on losses and loss expenses	\$ 18,901	\$ (42)	\$ 18,859
Reinsurance recoverable on policy benefits	303	(1)	302
Deferred policy acquisition costs	5,788	243	6,031
Value of business acquired	3,596	106	3,702
Prepaid reinsurance premiums	3,140	(4)	3,136
Investments in partially-owned insurance companies	2,877	(370)	2,507
Unpaid losses and loss expenses	76,323	(576)	75,747
Unearned premiums	20,360	(647)	19,713
Future policy benefits	10,120	356	10,476
Market risk benefits	—	800	800
Insurance and reinsurance balances payable	7,795	(15)	7,780
Deferred tax liabilities	292	85	377
Retained Earnings	48,334	(29)	48,305
Accumulated other comprehensive income (loss)	(10,193)	8	(10,185)

Excluded from the table above is the reclassification of separate accounts assets, separate account liabilities, and Policyholders' account balances as separate line items on the consolidated balance sheets. Separate accounts assets were previously classified in Other assets, and separate account liabilities and Policyholders' account balances were previously classified in Accounts payable, accrued expenses, and other liabilities.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

	Three Months Ended June 30, 2022			Six Months Ended June 30, 2022		
(in millions of U.S. dollars)	As Previously Reported	LDTI Adoption Adjustment	As Adjusted	As Previously Reported	LDTI Adoption Adjustment	As Adjusted
Consolidated statements of operations and comprehensive income						
Net premiums written	\$ 10,302	\$ (9)	\$ 10,293	\$ 19,501	\$ (19)	\$ 19,482
Net premiums earned	9,557	(8)	9,549	18,303	(17)	18,286
Net realized gains (losses)	(504)	1	(503)	(403)	(77)	(480)
Market risk benefits gains (losses)	—	(33)	(33)	—	16	16
Losses and loss expenses	5,408	(202)	5,206	10,195	(425)	9,770
Policy benefits	159	202	361	304	430	734
Policy acquisition costs	1,739	(13)	1,726	3,476	(31)	3,445
Other (income) expense	101	—	101	(209)	(2)	(211)
Income tax expense	293	(2)	291	648	(4)	644
Net Income	1,215	(25)	1,190	3,189	(46)	3,143
Other comprehensive income						
Change in current discount rate on future policy benefits	—	632	632	—	1,067	1,067
Change in instrument-specific credit risk on market risk benefits	—	17	17	—	40	40
Income tax benefit related to OCI items	245	(62)	183	1,057	(95)	962
Comprehensive income	(3,656)	583	(3,073)	(5,436)	987	(4,449)

	Six Months Ended June 30, 2022		
(in millions of U.S. dollars)	As Previously Reported	LDTI Adoption Adjustment	As Adjusted
Consolidated statement of cash flows			
Net cash flows from operating activities	\$ 5,160	\$ 6	\$ 5,166
Net cash flows used for financing activities	(719)	(6)	(725)

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following table presents a reconciliation of the pre-adoption December 31, 2020, to the post adoption January 1, 2021, balance of future policy benefits:

(in millions of U.S. dollars)			Life Insurance		Overseas General Insurance	Offsetting Equity Line Classification	
	Term Life	Whole Life	A&H	Other	A&H	Total	
Future policy benefits							
Balance – December 31, 2020 ⁽¹⁾	\$ 391	\$ 2,578	\$ 2,270	\$ 72	\$ 754	\$ 6,065	
Effect of change in current discount rate	63	1,189	299	17	19	1,587	AOCI
Balance – January 1, 2021	\$ 454	\$ 3,767	\$ 2,569	\$ 89	\$ 773	\$ 7,652	

⁽¹⁾ Includes future policy benefits previously included within Unpaid losses on the pre-adoption consolidated balance sheets, primarily certain international A&H business, and excludes deferred profit liability and certain guaranteed minimum death benefits reclassified to Market risk benefits on the post adoption period balance sheets.

The following table presents a reconciliation of the pre-adoption December 31, 2020, to the post adoption January 1, 2021, balance of market risk benefits:

(in millions of U.S. dollars)	Offsetting Equity Line Classification	
Market risk benefits		
Balance – December 31, 2020	\$	1,138
Cumulative effect of changes in instrument-specific credit risk between original contract issuance date and transition date ⁽¹⁾		84 AOCI
Other fair value adjustments		(59) Retained Earnings
Balance – January 1, 2021	\$	1,163

⁽¹⁾ Includes \$77 million of instrument-specific credit risk allocated from retained earnings to AOCI.

Significant accounting policies

The following accounting policies have been updated to reflect the adoption of LDTI. Refer to Note 1 in the 2022 Form 10-K for a complete description of our accounting policies.

Deferred policy acquisition costs (DAC)

Policy acquisition costs on long-duration contracts are grouped by contract type and issue year into cohorts consistent with the grouping used in estimating the associated liability. Deferred policy acquisition costs are amortized on a constant level basis over the expected term of the related contracts to approximate straight-line amortization. The constant level basis used for amortization is the face amount in force and is projected using the same assumptions used in estimating the liability for future policy benefits. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected changes in the in-force portfolio, due to variances in mortality and lapse experience, are recognized over the contract term. Changes in future mortality and lapse assumptions are also recognized prospectively over the remaining expected contract term.

Future policy benefits

For traditional and limited-payment contracts, contracts are grouped into cohorts by contract type and issue year to determine a liability for future policy benefits. The future policy benefit liability (FPBL) is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, and is accrued as premium revenue is recognized. The valuation of this liability requires management to make estimates and assumptions regarding expenses, mortality, and persistency. Estimates are primarily based on historical experience. Actual results could differ materially from these estimates.

The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, we review our future cash flow assumptions at least annually to determine if the net premium ratio (NPR), the mechanism used to record the liability as premium is earned, used to calculate the liability should be changed at that time. We have elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated. Each quarter, we update the cash flows expected over the entire life of each cohort for actual historical experience and projected future cash

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

flows. These updated cash flows are used to calculate the revised NPR, which is used to derive an updated FPBL as of the beginning of the current reporting period, discounted at the original contract issuance discount rate. This amount is then compared to the carrying amount of the liability as of that same date, but before the updating of cash flow assumptions, to determine the current period change in FPBL. This current period change in the liability is the liability remeasurement gain or loss and is recorded in Policy benefits in the Consolidated statements of operations. In subsequent periods, the revised NPR is used to measure the FPBL until future revisions become required.

For traditional and limited-payment contracts, the discount rate assumption based on an upper-medium grade fixed-income instrument yield. An equivalent rate is derived based on A-credit-rated fixed-income instruments with similar duration to the liability. The discount rate assumption is updated quarterly and used to remeasure the liability at each reporting date, with the resulting change reflected in Other comprehensive income. For liability cash flows that are projected beyond the duration of market-observable A-credit-rated fixed-income instruments, we use the last market-observable yield level, as the basis for a linear interpolation to determine yield assumptions for durations that do not have market-observable yields.

Deferred profit liability

For limited-payment products, gross premiums received in excess of net premiums are deferred at initial recognition as a deferred profit liability (DPL) and recorded as a component of Future policy benefits in the Consolidated balance sheets. Net premiums are measured using actual cash flows and future cash flow assumptions consistent with those used in the measurement of the liability for future policy benefits and remeasured quarterly. The DPL is amortized in proportion to the discounted in-force policies. Interest is accreted on the balance of the DPL using the discount rate consistent with the interest accretion on the FPBL. The recalculated DPL, including adjusted amortization through the current period, is compared to the current carrying amount and the difference is recognized as an adjustment to Policy benefits in the Consolidated statements of operations as a remeasurement gain or loss.

Market risk benefits

Chubb reinsures various death and living benefit guarantees associated with variable annuities issued primarily in the United States, which are referred to as market risk benefits. These reinsurance contracts provide both protection to the ceding entity from other-than-nominal capital market risk and expose us to other-than-nominal capital market risk.

Market risk benefits are measured at fair value using a valuation model based on current net exposures, market data, our experience, and other factors. Changes in fair value are recognized in Market risk benefits gains (losses) in the Consolidated statements of operations, except the change in fair value due to a change in the instrument-specific credit risk, which is recognized in other comprehensive income. Refer to Note 11 for additional information.

2. Acquisitions***Cigna's Accident and Health (A&H) and Life Insurance Business in Asian Markets***

On July 1, 2022, we completed the acquisition of the life and non-life insurance companies that house the personal accident, supplemental health, and life insurance business of Cigna in several Asian markets. Chubb paid approximately \$5.4 billion in cash for the operations, which include Cigna's accident and health (A&H) and life business in Korea, Taiwan, New Zealand, Thailand, Hong Kong, and Indonesia, collectively referred to as Cigna's business in Asia. This complementary strategic acquisition expands our presence and advances our long-term growth opportunity in Asia. Effective July 1, 2022, the results of operations of this acquired business are reported primarily in our Life Insurance segment and, to a lesser extent, our Overseas General Insurance segment. Refer to the 2022 Form 10-K for additional information on this acquisition.

The acquisition of Cigna's business in Asia generated \$1,177 million of goodwill, attributable to expected growth and profitability, and \$309 million of other intangible assets. None of the goodwill is expected to be deductible for income tax purposes. Additionally, the acquisition of Cigna's business in Asia generated \$3,633 million of value of business acquired (VOBA). Chubb financed the transaction through a combination of available cash and \$2.0 billion in repurchase agreements that expired at the end of 2022. Direct costs related to the acquisition were expensed as incurred.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following table summarizes the fair value of the assets acquired and liabilities assumed at July 1, 2022.

Assets acquired and liabilities assumed from Cigna's business in Asia (in millions of U.S. dollars)	July 1 2022
Assets	
Investments and Cash	\$ 5,274
Accrued investment income	33
Insurance and reinsurance balances receivable	52
Reinsurance recoverable on losses and loss expenses	3
Reinsurance recoverable on future policy benefits	85
Value of business acquired	3,633
Goodwill and intangible assets	1,486
Other assets	648
Total assets	\$ 11,214
Liabilities	
Unpaid losses and loss expenses	\$ 12
Unearned premiums	60
Future policy benefits	3,856
Insurance and reinsurance balances payable	115
Accounts payable, accrued expenses, and other liabilities	926
Deferred tax liabilities	886
Total liabilities	\$ 5,855
Net acquired assets, including goodwill	5,359
Total	\$ 11,214

The following table presents supplemental unaudited pro forma consolidated information for the periods indicated as though the acquisition of Cigna's business in Asia that occurred on July 1, 2022, had instead occurred on January 1, 2021. The unaudited pro forma consolidated financial information is presented for informational purposes only and is not necessarily indicative of the operating results that would have occurred had the acquisition been consummated on January 1, 2021, nor is it necessarily indicative of future operating results. Significant assumptions used to determine pro forma operating results include amortization of VOBA and other intangible assets and recognition of interest expense associated with the repurchase agreement transactions used to effect the acquisition.

Pro forma: (in millions of U.S. dollars)	Three Months Ended June 30 2022	Six Months Ended June 30 2022
Net premiums earned	\$ 10,299	\$ 19,811
Total revenues	\$ 10,620	\$ 21,037
Net income	\$ 1,276	\$ 3,335

Huatai Group

Huatai Insurance Group Co., Ltd. (Huatai Group) is a Chinese financial services holding company, and the parent company of, among others, Huatai Property & Casualty Insurance Co., Ltd. (Huatai P&C), Huatai Life Insurance Co., Ltd. (Huatai Life), and Huatai Asset Management Co., Ltd., of which Huatai Group owns 100 percent, 80 percent, and 82 percent, respectively (collectively, Huatai).

As of June 30, 2023, Chubb's aggregate ownership interest in Huatai Group was approximately 64.2 percent. Chubb applied the equity method of accounting to its investment in Huatai Group by recording its share of net income or loss in Other (income) expense in the Consolidated statements of operations.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

On July 1, 2023, Chubb completed the acquisition of an additional 5.4 percent of ownership interest in Huatai Group, increasing its aggregate ownership interest to approximately 69.6 percent. Effective July 1, 2023, and starting with our third quarter 2023 reporting, Chubb will apply consolidation accounting to its investment in Huatai Group.

Chubb has agreements in place to acquire approximately 16.6 percent of incremental ownership interests, pending completion of certain closing conditions. Of those incremental ownership interests, approximately 3 percent also require regulatory approval. We have paid deposits of \$464 million for the approximately 16.6 percent of ownership interests, and the remaining aggregate purchase price to be paid upon closing is approximately \$0.5 billion, based on current exchange rates. Refer to Note 2 to the Consolidated Financial Statements in our 2022 Form 10-K for additional information.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

3. Investments

a) Transfers of securities

In June 2023, we determined that we no longer have the intent to hold securities in our held to maturity (HTM) portfolio until maturity. As a result, our entire HTM securities portfolio was transferred to the available for sale (AFS) portfolio. This decision allowed us to increase our flexibility to execute on our investment strategy and take advantage of the continuing higher reinvestment environment while not making any major change to our current asset allocation. At the time of the transfer on June 30, 2023, these securities had a carrying value of \$8.2 billion and a fair value of \$7.8 billion, resulting in an increase to Unrealized depreciation in OCI of \$428 million, after-tax. This transfer represents a non-cash transaction and does not impact the Consolidated Statements of Cash Flows.

b) Fixed maturities

June 30, 2023 (in millions of U.S. dollars)	Amortized Cost	Valuation Allowance	Gross Unrealized Appreciation	Gross Unrealized Depreciation	Fair Value
<i>Available for sale</i>					
U.S. Treasury / Agency	\$ 3,942	\$ —	\$ 6	\$ (204)	\$ 3,744
Non-U.S.	31,513	(64)	267	(2,014)	29,702
Corporate and asset-backed securities	43,348	(127)	90	(3,134)	40,177
Mortgage-backed securities	20,032	(2)	10	(2,068)	17,972
Municipal	5,389	—	9	(204)	5,194
	\$ 104,224	\$ (193)	\$ 382	\$ (7,624)	\$ 96,789

December 31, 2022 (in millions of U.S. dollars)	Amortized Cost	Valuation Allowance	Gross Unrealized Appreciation	Gross Unrealized Depreciation	Fair Value
<i>Available for sale</i>					
U.S. Treasury / Agency	\$ 2,792	\$ —	\$ 5	\$ (171)	\$ 2,626
Non-U.S.	28,064	(59)	108	(2,205)	25,908
Corporate and asset-backed securities	40,547	(107)	49	(3,534)	36,955
Mortgage-backed securities	17,871	(3)	4	(2,021)	15,851
Municipal	4,081	—	8	(209)	3,880
	\$ 93,355	\$ (169)	\$ 174	\$ (8,140)	\$ 85,220

December 31, 2022 (in millions of U.S. dollars)	Amortized Cost	Valuation Allowance	Net Carrying Value	Gross Unrealized Appreciation	Gross Unrealized Depreciation	Fair Value
<i>Held to maturity</i>						
U.S. Treasury / Agency	\$ 1,417	\$ —	\$ 1,417	\$ 1	\$ (48)	\$ 1,370
Non-U.S.	1,140	(4)	1,136	—	(82)	1,054
Corporate and asset-backed securities	1,733	(28)	1,705	1	(126)	1,580
Mortgage-backed securities	1,456	(1)	1,455	—	(104)	1,351
Municipal	3,136	(1)	3,135	1	(52)	3,084
	\$ 8,882	\$ (34)	\$ 8,848	\$ 3	\$ (412)	\$ 8,439

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following table presents the amortized cost of our held to maturity securities according to S&P rating:

(in millions of U.S. dollars, except for percentages)	December 31, 2022	
	Amortized cost	% of Total
AAA	\$ 1,612	18 %
AA	5,023	57 %
A	1,634	18 %
BBB	593	7 %
BB	20	— %
Total	\$ 8,882	100 %

The following table presents fixed maturities by contractual maturity:

(in millions of U.S. dollars)	June 30, 2023		December 31, 2022	
	Net Carrying Value	Fair Value	Net Carrying Value	Fair Value
<i>Available for sale</i>				
Due in 1 year or less	\$ 4,355	\$ 4,355	\$ 2,962	\$ 2,962
Due after 1 year through 5 years	30,067	30,067	24,791	24,791
Due after 5 years through 10 years	28,491	28,491	26,679	26,679
Due after 10 years	15,904	15,904	14,937	14,937
	78,817	78,817	69,369	69,369
Mortgage-backed securities	17,972	17,972	15,851	15,851
	\$ 96,789	\$ 96,789	\$ 85,220	\$ 85,220
<i>Held to maturity</i>				
Due in 1 year or less	\$ —	\$ —	\$ 1,015	\$ 1,003
Due after 1 year through 5 years	—	—	3,658	3,531
Due after 5 years through 10 years	—	—	1,460	1,423
Due after 10 years	—	—	1,260	1,131
	—	—	7,393	7,088
Mortgage-backed securities	—	—	1,455	1,351
	\$ —	\$ —	\$ 8,848	\$ 8,439

Expected maturities could differ from contractual maturities because borrowers may have the right to call or prepay obligations, with or without call or prepayment penalties.

c) Gross unrealized loss

Fixed maturities in an unrealized loss position at June 30, 2023, and December 31, 2022, comprised both investment grade and below investment grade securities for which fair value declined, principally due to rising interest rates since the date of purchase. Refer to Note 1 e) in the 2022 Form 10-K for further information on factors considered in the evaluation of expected credit losses.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following tables present, for AFS fixed maturities in an unrealized loss position (including securities on loan) that are not deemed to have expected credit losses, the aggregate fair value and gross unrealized loss by length of time the security has been in an unrealized loss position:

June 30, 2023 (in millions of U.S. dollars)	0 – 12 Months		Over 12 Months		Total	
	Fair Value	Gross Unrealized Loss	Fair Value	Gross Unrealized Loss	Fair Value	Gross Unrealized Loss
U.S. Treasury / Agency	\$ 1,843	\$ (70)	\$ 1,779	\$ (134)	\$ 3,622	\$ (204)
Non-U.S.	7,895	(243)	14,825	(1,377)	22,720	(1,620)
Corporate and asset-backed securities	11,053	(352)	19,674	(1,718)	30,727	(2,070)
Mortgage-backed securities	6,081	(258)	11,418	(1,763)	17,499	(2,021)
Municipal	3,626	(63)	856	(141)	4,482	(204)
Total AFS fixed maturities	\$ 30,498	\$ (986)	\$ 48,552	\$ (5,133)	\$ 79,050	\$ (6,119)

December 31, 2022 (in millions of U.S. dollars)	0 – 12 Months		Over 12 Months		Total	
	Fair Value	Gross Unrealized Loss	Fair Value	Gross Unrealized Loss	Fair Value	Gross Unrealized Loss
U.S. Treasury / Agency	\$ 2,152	\$ (125)	\$ 386	\$ (46)	\$ 2,538	\$ (171)
Non-U.S.	15,538	(1,012)	5,490	(704)	21,028	(1,716)
Corporate and asset-backed securities	25,687	(1,793)	4,190	(552)	29,877	(2,345)
Mortgage-backed securities	10,561	(1,033)	4,770	(941)	15,331	(1,974)
Municipal	3,251	(152)	155	(48)	3,406	(200)
Total AFS fixed maturities	\$ 57,189	\$ (4,115)	\$ 14,991	\$ (2,291)	\$ 72,180	\$ (6,406)

At June 30, 2023, the tax benefit on certain unrealized losses in our investment portfolio was reduced by a valuation allowance of \$768 million necessary due to limitations on the utilization of these losses. As part of evaluating whether it was more likely than not that we could realize these losses, we considered realized gains, carryback ability and available tax planning strategies.

The following table presents a roll-forward of valuation allowance for expected credit losses on fixed maturities:

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Available for sale				
Valuation allowance for expected credit losses - beginning of period	\$ 168	\$ 27	\$ 169	\$ 14
Provision for expected credit loss	79	61	138	78
Write-offs charged against the expected credit loss	(2)	—	(4)	—
Recovery of expected credit loss	(52)	(10)	(110)	(14)
Valuation allowance for expected credit losses - end of period	\$ 193	\$ 78	\$ 193	\$ 78
Held to maturity				
Valuation allowance for expected credit losses - beginning of period	\$ 33	\$ 34	\$ 34	\$ 35
Provision for expected credit loss	—	1	—	1
Recovery of expected credit loss	(33)	(1)	(34)	(2)
Valuation allowance for expected credit losses - end of period	\$ —	\$ 34	\$ —	\$ 34

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

d) Net realized gains (losses)

The following table presents the components of Net realized gains (losses):

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Fixed maturities:				
Gross realized gains	\$ 17	\$ 362	\$ 19	\$ 401
Gross realized losses	(113)	(700)	(272)	(827)
Net (provision for) recovery of expected credit losses	8	(51)	10	(63)
Impairment ⁽¹⁾	(19)	(53)	(44)	(89)
Total fixed maturities	(107)	(442)	(287)	(578)
Equity securities	28	(263)	39	(207)
Other investments	20	4	35	59
Foreign exchange	(186)	270	(55)	344
Investment and embedded derivative instruments	(55)	(81)	(101)	(34)
Other derivative instruments	2	9	1	10
Other	(6)	—	(13)	(74)
Net realized gains (losses) (pre-tax)	\$ (304)	\$ (503)	\$ (381)	\$ (480)

⁽¹⁾ Relates to certain securities we intended to sell and securities written to market entering default.

Realized gains and losses from Equity securities and Other investments from the table above include sales of securities and unrealized gains and losses from fair value changes as follows:

(in millions of U.S. dollars)	Three Months Ended June 30			Three Months Ended June 30		
	2023			2022		
	Equity Securities	Other Investments	Total	Equity Securities	Other Investments	Total
Net gains (losses) recognized during the period	\$ 28	\$ 20	\$ 48	\$ (263)	\$ 4	\$ (259)
Less: Net gains (losses) recognized from sales of securities	2	—	2	163	—	163
Unrealized gains (losses) recognized for securities still held at reporting date	\$ 26	\$ 20	\$ 46	\$ (426)	\$ 4	\$ (422)

(in millions of U.S. dollars)	Six Months Ended June 30			Six Months Ended June 30		
	2023			2022		
	Equity Securities	Other Investments	Total	Equity Securities	Other Investments	Total
Net gains (losses) recognized during the period	\$ 39	\$ 35	\$ 74	\$ (207)	\$ 59	\$ (148)
Less: Net gains (losses) recognized from sales of securities	(3)	—	(3)	418	—	418
Unrealized gains (losses) recognized for securities still held at reporting date	\$ 42	\$ 35	\$ 77	\$ (625)	\$ 59	\$ (566)

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

e) Alternative investments

Alternative investments include partially-owned investment companies, investment funds, and limited partnerships measured at fair value using net asset value (NAV) as a practical expedient. The following table presents, by investment category, the expected liquidation period, fair value, and maximum future funding commitments of alternative investments:

(in millions of U.S. dollars)	Expected Liquidation Period of Underlying Assets	June 30, 2023		December 31, 2022	
		Fair Value	Maximum Future Funding Commitments	Fair Value	Maximum Future Funding Commitments
Financial	2 to 10 Years	\$ 1,177	\$ 428	\$ 1,074	\$ 505
Real assets	2 to 13 Years	2,149	560	2,166	681
Distressed	2 to 8 Years	1,141	620	1,048	755
Private credit	3 to 8 Years	304	316	215	429
Traditional	2 to 14 Years	8,068	4,297	7,424	5,025
Vintage	1 to 2 Years	50	—	55	—
Investment funds	Not Applicable	399	—	373	—
		\$ 13,288	\$ 6,221	\$ 12,355	\$ 7,395

Included in all categories in the above table, except for Investment funds, are investments for which Chubb will never have the contractual option to redeem but receives distributions based on the liquidation of the underlying assets. Further, for all categories except for Investment funds, Chubb does not have the ability to sell or transfer the investments without consent from the general partner of the individual funds.

Investment Category:	Consists of investments in private equity funds:
Financial	targeting financial services companies, such as financial institutions and insurance services worldwide
Real assets	targeting investments related to hard physical assets, such as real estate, infrastructure and natural resources
Distressed	targeting distressed corporate debt/credit and equity opportunities in the U.S.
Private credit	targeting privately originated corporate debt investments, including senior secured loans and subordinated bonds
Traditional	employing traditional private equity investment strategies, such as buyout and growth equity globally
Vintage	funds where the initial fund term has expired

Investment funds employ various investment strategies, such as long/short equity and arbitrage/distressed. Included in this category are investments for which Chubb has the option to redeem at agreed upon value as described in each investment fund's subscription agreement. Depending on the terms of the various subscription agreements, investment fund investments may be redeemed monthly, quarterly, semi-annually, or annually. If Chubb wishes to redeem an investment fund investment, it must first determine if the investment fund is still in a lock-up period (a time when Chubb cannot redeem its investment so that the investment fund manager has time to build the portfolio). If the investment fund is no longer in its lock-up period, Chubb must then notify the investment fund manager of its intention to redeem by the notification date prescribed by the subscription agreement. Subsequent to notification, the investment fund can redeem Chubb's investment within several months of the notification. Notice periods for redemption of the investment funds are up to 270 days. Chubb can redeem its investment funds without consent from the investment fund managers.

f) Restricted assets

Chubb is required to maintain assets on deposit with various regulatory authorities to support its insurance and reinsurance operations. These requirements are generally promulgated in the statutory regulations of the individual jurisdictions. The assets on deposit are available to settle insurance and reinsurance liabilities. Chubb is also required to restrict assets pledged under repurchase agreements, which represent Chubb's agreement to sell securities and repurchase them at a future date for a predetermined price. We use trust funds in certain large reinsurance transactions where the trust funds are set up for the benefit of the ceding companies and generally take the place of letter of credit (LOC) requirements. We have investments in segregated portfolios primarily to provide collateral or guarantees for LOC and derivative transactions. Included in restricted assets at June

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

30, 2023, and December 31, 2022, are investments, primarily fixed maturities, totaling \$15,982 million and \$15,721 million, respectively, and cash of \$90 million and \$115 million, respectively.

The following table presents the components of restricted assets:

(in millions of U.S. dollars)		June 30 2023		December 31 2022
Trust funds	\$	8,194	\$	8,120
Deposits with U.S. regulatory authorities		2,337		2,345
Deposits with non-U.S. regulatory authorities		3,115		2,959
Assets pledged under repurchase agreements		1,565		1,527
Other pledged assets		861		885
Total	\$	16,072	\$	15,836

4. Fair value measurements

a) Fair value hierarchy

Fair value of financial assets and financial liabilities is estimated based on the framework established in the fair value accounting guidance. The guidance defines fair value as the price to sell an asset or transfer a liability (an exit price) in an orderly transaction between market participants and establishes a three-level valuation hierarchy based on the reliability of the inputs. The fair value hierarchy gives the highest priority to quoted prices in active markets and the lowest priority to unobservable data.

The three levels of the hierarchy are as follows:

- Level 1 – Unadjusted quoted prices for identical assets or liabilities in active markets;
- Level 2 – Includes, among other items, inputs other than quoted prices that are observable for the asset or liability such as interest rates and yield curves, quoted prices for similar assets and liabilities in active markets, and quoted prices for identical or similar assets and liabilities in markets that are not active; and
- Level 3 – Inputs that are unobservable and reflect management's judgments about assumptions that market participants would use in pricing an asset or liability.

We categorize financial instruments within the valuation hierarchy at the balance sheet date based upon the lowest level of inputs that are significant to the fair value measurement.

We use pricing services to obtain fair value measurements for the majority of our investment securities. Based on management's understanding of the methodologies used, these pricing services only produce an estimate of fair value if there is observable market information that would allow them to make a fair value estimate. Based on our understanding of the market inputs used by the pricing services, all applicable investments have been valued in accordance with GAAP. We do not adjust prices obtained from pricing services. The following is a description of the valuation techniques and inputs used to determine fair values for financial instruments carried at fair value, as well as the general classification of such financial instruments pursuant to the valuation hierarchy.

Fixed maturities

We use pricing services to estimate fair value measurements for the majority of our fixed maturities. The pricing services use market quotations for fixed maturities that have quoted prices in active markets; such securities are classified within Level 1. For fixed maturities other than U.S. Treasury securities that generally do not trade on a daily basis, the pricing services prepare estimates of fair value measurements using their pricing applications or pricing models, which include available relevant market information, benchmark curves, benchmarking of like securities, sector groupings, and matrix pricing. Additional valuation factors that can be taken into account are nominal spreads, dollar basis, and liquidity adjustments. The pricing services evaluate each asset class based on relevant market and credit information, perceived market movements, and sector news. The market inputs used in the pricing evaluation, listed in the approximate order of priority include: benchmark yields, reported trades, broker/dealer quotes, issuer spreads, two-sided markets, benchmark securities, bids, offers, reference data, and industry and economic events. The extent of the use of each input is dependent on the asset class and the market conditions. Given the asset class, the priority of the use of inputs may change, or some market inputs may not be relevant. Additionally, fixed maturities valuation is more subjective when markets are less liquid due to the lack of market based inputs (i.e., stale pricing) and may

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

require the use of models to be priced. The lack of market based inputs may increase the potential that an investment's estimated fair value is not reflective of the price at which an actual transaction would occur. The overwhelming majority of fixed maturities are classified within Level 2 because the most significant inputs used in the pricing techniques are observable. For a small number of fixed maturities, we obtain a single broker quote (typically from a market maker). Due to the disclaimers on the quotes that indicate that the price is indicative only, we include these fair value estimates in Level 3.

Equity securities

Equity securities with active markets are classified within Level 1 as fair values are based on quoted market prices. For equity securities in markets which are less active, fair values are based on market valuations and are classified within Level 2. Equity securities for which pricing is unobservable are classified within Level 3.

Short-term investments

Short-term investments, which comprise securities due to mature within one year of the date of purchase that are traded in active markets, are classified within Level 1 as fair values are based on quoted market prices. Securities such as commercial paper and discount notes are classified within Level 2 because these securities are typically not actively traded due to their approaching maturity, and as such, their cost approximates fair value. Short-term investments for which pricing is unobservable are classified within Level 3.

Other investments

Fair values for the majority of Other investments including investments in partially-owned investment companies, investment funds, and limited partnerships are based on their respective NAV and are excluded from the fair value hierarchy table below. Certain of our long-duration contracts are supported by assets that do not qualify for separate account reporting under GAAP. These assets comprise mutual funds, classified within Level 1 in the valuation hierarchy on the same basis as other equity securities traded in active markets. Other investments also include equity securities, classified within Level 1 and fixed maturities, classified within Level 2, held in rabbi trusts maintained by Chubb for deferred compensation plans and supplemental retirement plans and are classified within the valuation hierarchy on the same basis as other equity securities and fixed maturities.

Securities lending collateral

The underlying assets included in Securities lending collateral in the Consolidated balance sheets are fixed maturities which are classified in the valuation hierarchy on the same basis as other fixed maturities. Excluded from the valuation hierarchy is the corresponding liability related to Chubb's obligation to return the collateral plus interest as it is reported at contract value and not fair value in the Consolidated balance sheets.

Investment derivatives

Actively traded investment derivative instruments, including futures, options, and forward contracts are classified within Level 1 as fair values are based on quoted market prices. The fair value of cross-currency swaps and interest rate swaps is based on market valuations and is classified within Level 2. Investment derivative instruments are recorded in either Other assets or Accounts payable, accrued expenses, and other liabilities in the Consolidated balance sheets.

Derivatives designated as hedging instruments

Certain of our derivatives are cross-currency swaps designated as fair value and net investment hedging instruments. The fair value of cross-currency swaps and interest rate swaps is based on market valuations and is classified within Level 2. Investment derivative instruments are recorded in either Other assets or Accounts payable, accrued expenses, and other liabilities in the Consolidated balance sheets.

Other derivative instruments

We maintain positions in exchange-traded equity futures contracts designed to limit exposure to a severe equity market decline, which would cause an increase in expected claims and, therefore, an increase in market risk benefits (MRB) reserves and our MRB reinsurance business. Our positions in exchange-traded equity futures contracts are classified within Level 1. The fair value of the majority of the remaining positions in other derivative instruments is based on significant observable inputs including equity security and interest rate indices. Accordingly, these are classified within Level 2. Other derivative instruments based on unobservable inputs are classified within Level 3. Other derivative instruments are recorded in either Other assets or Accounts payable, accrued expenses, and other liabilities in the Consolidated balance sheets.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Separate account assets

Separate account assets represent segregated funds where investment risks are borne by the customers, except to the extent of certain guarantees made by Chubb. Separate account assets principally comprise mutual funds classified within Level 1 in the valuation hierarchy on the same basis as other equity securities traded in active markets. Separate account assets also include fixed maturities classified within Level 2 because the most significant inputs used in the pricing techniques are observable. Excluded from the valuation hierarchy are the corresponding liabilities as they are reported at contract value and not fair value in the Consolidated balance sheets.

Financial instruments measured at fair value on a recurring basis, by valuation hierarchy

June 30, 2023

(in millions of U.S. dollars)

(in millions of U.S. dollars)	Level 1		Level 2		Level 3		Total
Assets:							
Fixed maturities available for sale							
U.S. Treasury / Agency	\$	3,121	\$	623	\$	—	\$ 3,744
Non-U.S.		—		29,053		649	29,702
Corporate and asset-backed securities		—		37,653		2,524	40,177
Mortgage-backed securities		—		17,962		10	17,972
Municipal		—		5,194		—	5,194
		3,121		90,485		3,183	96,789
Equity securities		957		—		86	1,043
Short-term investments		2,335		1,759		3	4,097
Other investments ⁽¹⁾		542		441		—	983
Securities lending collateral		—		1,525		—	1,525
Investment derivatives		27		—		—	27
Derivatives designated as hedging instruments		—		64		—	64
Other derivative instruments		10		—		—	10
Separate account assets		5,480		94		—	5,574
Total assets measured at fair value ⁽¹⁾	\$	12,472	\$	94,368	\$	3,272	\$ 110,112
Liabilities:							
Investment derivatives	\$	158	\$	—	\$	—	\$ 158
Derivatives designated as hedging instruments		—		47		—	47
Other derivative instruments		32		4		—	36
Market risk benefits ⁽²⁾		—		—		722	722
Total liabilities measured at fair value	\$	190	\$	51	\$	722	\$ 963

⁽¹⁾ Excluded from the table above are partially-owned investments, investment funds, and limited partnerships of \$13,288 million, policy loans of \$389 million, and other investments of \$47 million at June 30, 2023, measured using NAV as a practical expedient.

⁽²⁾ Refer to Note 11 for additional information on Market risk benefits.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

December 31, 2022

(in millions of U.S. dollars)

	Level 1	Level 2	Level 3	Total
Assets:				
<i>Fixed maturities available for sale</i>				
U.S. Treasury / Agency	\$ 2,100	\$ 526	\$ —	\$ 2,626
Non-U.S.	—	25,344	564	25,908
Corporate and asset-backed securities	—	34,506	2,449	36,955
Mortgage-backed securities	—	15,840	11	15,851
Municipal	—	3,880	—	3,880
	2,100	80,096	3,024	85,220
Equity securities	737	—	90	827
Short-term investments	3,108	1,849	3	4,960
Other investments ⁽¹⁾	552	399	—	951
Securities lending collateral	—	1,523	—	1,523
Investment derivative instruments	82	—	—	82
Derivatives designated as hedging instruments	—	17	—	17
Other derivative instruments	33	—	—	33
Separate account assets	5,101	89	—	5,190
Total assets measured at fair value ⁽¹⁾	\$ 11,713	\$ 83,973	\$ 3,117	\$ 98,803
Liabilities:				
Investment derivatives	\$ 139	\$ —	\$ —	\$ 139
Derivatives designated as hedging instruments	—	53	—	53
Market risk benefits ⁽²⁾	—	—	800	800
Total liabilities measured at fair value	\$ 139	\$ 53	\$ 800	\$ 992

⁽¹⁾ Excluded from the table above are partially-owned investments, investment funds, and limited partnerships of \$12,355 million, policy loans of \$343 million and other investments of \$47 million at December 31, 2022, measured using NAV as a practical expedient.

⁽²⁾ Refer to Note 11 for additional information on Market risk benefits.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Level 3 financial instruments

The following tables present a reconciliation of the beginning and ending balances of financial instruments measured at fair value using significant unobservable inputs (Level 3). Excluded from the following tables is the reconciliation of Market risk benefits, refer to Note 11 for additional information:

Three Months Ended June 30, 2023 (in millions of U.S. dollars)	Available-for-Sale Debt Securities									
		Corporate and asset- backed securities		Mortgage- backed securities	Equity securities	Short-term investments				
	Non-U.S.									
Balance, beginning of period	\$	561	\$	2,544	\$	10	\$	88	\$	7
Transfers into Level 3		21		3		—		—		—
Transfers out of Level 3		—		(2)		—		—		—
Change in Net Unrealized Gains/Losses in OCI		15		4		—		—		—
Net Realized Gains/Losses		(1)		(5)		—		(2)		—
Purchases		62		118		—		4		(2)
Sales		(4)		(10)		—		(4)		(2)
Settlements		(5)		(128)		—		—		—
Balance, end of period	\$	649	\$	2,524	\$	10	\$	86	\$	3
Net Realized Gains/Losses Attributable to Changes in Fair Value at the Balance Sheet date	\$	—	\$	(6)	\$	—	\$	(3)	\$	—
Change in Net Unrealized Gains/Losses included in OCI at the Balance Sheet date	\$	15	\$	3	\$	—	\$	—	\$	1

Three Months Ended June 30, 2022 (in millions of U.S. dollars)	Available-for-Sale Debt Securities					
		Corporate and asset- backed securities	Mortgage- backed securities	Equity securities	Short-term investments	
	Non-U.S.					
Balance, beginning of period	\$ 618	\$ 2,229	\$ 20	\$ 82	\$ 4	
Transfers into Level 3	5	10	—	—	—	
Transfers out of Level 3	—	(43)		—	—	
Change in Net Unrealized Gains/Losses in OCI	(41)	(30)	—	—	—	
Purchases	26	179	—	—	5	
Sales	(19)	(24)	—	(1)	—	
Settlements	(40)	(60)	(1)	—	—	
Balance, end of period	\$ 549	\$ 2,261	\$ 19	\$ 81	\$ 9	
Net Realized Gains/Losses Attributable to Changes in Fair Value at the Balance Sheet date	\$ —	\$ (1)	\$ —	\$ (1)	\$ —	
Change in Net Unrealized Gains/Losses included in OCI at the Balance Sheet date	\$ (41)	\$ (30)	\$ —	\$ —	\$ —	

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Six Months Ended June 30, 2023 (in millions of U.S. dollars)	Available-for-Sale Debt Securities				
	Non-U.S.	Corporate and asset- backed securities	Mortgage- backed securities	Equity securities	Short-term investments
Balance, beginning of period	\$ 564	\$ 2,449	\$ 11	\$ 90	\$ 3
Transfers into Level 3	21	3	—	—	—
Transfers out of Level 3	—	(13)	—	—	—
Change in Net Unrealized Gains/Losses in OCI	11	2	—	—	(1)
Net Realized Gains/Losses	(1)	(3)	—	(6)	—
Purchases	105	323	—	11	3
Sales	(35)	(30)	—	(9)	(2)
Settlements	(16)	(207)	(1)	—	—
Balance, end of period	\$ 649	\$ 2,524	\$ 10	\$ 86	\$ 3
Net Realized Gains/Losses Attributable to Changes in Fair Value at the Balance Sheet date	\$ —	\$ (2)	\$ —	\$ (6)	\$ —
Change in Net Unrealized Gains/Losses included in OCI at the Balance Sheet date	\$ 9	\$ (2)	\$ —	\$ —	\$ —

Six Months Ended June 30, 2022 (in millions of U.S. dollars)	Available-for-Sale Debt Securities				
	Non-U.S.	Corporate and asset- backed securities	Mortgage- backed securities	Equity securities	Short-term investments
Balance, beginning of period	\$ 633	\$ 2,049	\$ 26	\$ 77	\$ 7
Transfers into Level 3	23	39	—	1	—
Transfers out of Level 3	(23)	(93)	(5)	—	—
Change in Net Unrealized Gains/Losses in OCI	(54)	(52)	—	—	—
Net Realized Gains/Losses	(2)	—	—	4	—
Purchases	69	494	—	3	7
Sales	(25)	(51)	—	(4)	—
Settlements	(72)	(125)	(2)	—	(5)
Balance, end of period	\$ 549	\$ 2,261	\$ 19	\$ 81	\$ 9
Net Realized Gains/Losses Attributable to Changes in Fair Value at the Balance Sheet date	\$ (2)	\$ (1)	\$ —	\$ 3	\$ —
Change in Net Unrealized Gains/Losses included in OCI at the Balance Sheet date	\$ (54)	\$ (52)	\$ —	\$ —	\$ —

b) Financial instruments disclosed, but not measured, at fair value

Chubb uses various financial instruments in the normal course of its business. Our insurance contracts are excluded from fair value of financial instruments accounting guidance, and therefore, are not included in the amounts discussed below.

The carrying values of cash, other assets, other liabilities, and other financial instruments not included below approximated their fair values. Refer to the 2022 Form 10-K for information on the fair value methods and assumptions for investments in partially-owned insurance companies, short-term and long-term debt, repurchase agreements, and trust-preferred securities.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following tables present fair value, by valuation hierarchy, and carrying value of the financial instruments not measured at fair value:

June 30, 2023 (in millions of U.S. dollars)				Fair Value		Net Carrying Value	
	Level 1	Level 2	Level 3	Total			
Liabilities:							
Repurchase agreements	\$ —	\$ 1,518	\$ —	\$ 1,518	\$		1,518
Short-term debt	—	686	—	686			699
Long-term debt	—	12,133	—	12,133			13,782
Trust preferred securities	—	369	—	369			308
Total liabilities	\$ —	\$ 14,706	\$ —	\$ 14,706	\$		16,307

December 31, 2022 (in millions of U.S. dollars)				Fair Value		Net Carrying Value	
	Level 1	Level 2	Level 3	Total			
Assets:							
<i>Fixed maturities held to maturity</i>							
U.S. Treasury / Agency	\$ 1,299	\$ 71	\$ —	\$ 1,370	\$		1,417
Non-U.S.	—	1,054	—	1,054			1,136
Corporate and asset-backed securities	—	1,580	—	1,580			1,705
Mortgage-backed securities	—	1,351	—	1,351			1,455
Municipal	—	3,084	—	3,084			3,135
Total assets	\$ 1,299	\$ 7,140	\$ —	\$ 8,439	\$		8,848
Liabilities:							
Repurchase agreements	\$ —	\$ 1,419	\$ —	\$ 1,419	\$		1,419
Short-term debt	—	473	—	473			475
Long-term debt	—	12,495	—	12,495			14,402
Trust preferred securities	—	383	—	383			308
Total liabilities	\$ —	\$ 14,770	\$ —	\$ 14,770	\$		16,604

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

5. Reinsurance

Reinsurance recoverable on ceded reinsurance

(in millions of U.S. dollars)	June 30, 2023		December 31, 2022	
	Net Reinsurance Recoverable ⁽¹⁾	Valuation allowance	Net Reinsurance Recoverable ⁽¹⁾	Valuation allowance
Reinsurance recoverable on unpaid losses and loss expenses	\$ 16,608	\$ 306	\$ 17,086	\$ 289
Reinsurance recoverable on paid losses and loss expenses	1,790	55	1,773	62
Reinsurance recoverable on losses and loss expenses	\$ 18,398	\$ 361	\$ 18,859	\$ 351
Reinsurance recoverable on policy benefits	\$ 315	\$ 1	\$ 302	\$ 4

⁽¹⁾ Net of valuation allowance for uncollectible reinsurance.

The decrease in reinsurance recoverable on losses and loss expenses was primarily due to a seasonal decrease in crop insurance recoverables.

The following table presents a roll-forward of valuation allowance for uncollectible reinsurance related to Reinsurance recoverable on loss and loss expenses:

(in millions of U.S. dollars)	Six Months Ended June 30	
	2023	2022
Valuation allowance for uncollectible reinsurance - beginning of period	\$ 351	\$ 329
Provision for uncollectible reinsurance	15	17
Write-offs charged against the valuation allowance	(6)	(4)
Foreign exchange revaluation	1	(1)
Valuation allowance for uncollectible reinsurance - end of period	\$ 361	\$ 341

For additional information, refer to Note 1 d) to the Consolidated Financial Statements of our 2022 Form 10-K.

6. Deferred acquisition costs

Deferred acquisition costs comprise capitalized costs on short-duration contracts of \$3,201 million and \$2,876 million and long-duration contracts of \$3,465 million and \$2,929 million at June 30, 2023, and June 30, 2022, respectively. The assumptions used to amortize DAC were consistent with the assumptions used to estimate the liability for future policy benefits for nonparticipating traditional and limited-payment contracts.

The following tables present a roll-forward of deferred acquisitions costs on long-duration contracts included in the Life Insurance segment:

(in millions of U.S. dollars)	Six Months Ended June 30, 2023					
	Term Life	Universal Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 320	\$ 776	\$ 395	\$ 902	\$ 121	\$ 2,514
Capitalizations	75	54	62	246	7	444
Amortization expense	(49)	(38)	(11)	(63)	(10)	(171)
Other (including foreign exchange)	10	11	10	(4)	—	27
Balance - end of period	\$ 356	\$ 803	\$ 456	\$ 1,081	\$ 118	\$ 2,814
Overseas General Insurance segment excluded from table						651
Total deferred acquisition costs on long-duration contracts						\$ 3,465

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

(in millions of U.S. dollars)	Six Months Ended June 30, 2022					
	Term Life	Universal Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 246	\$ 771	\$ 334	\$ 745	\$ 108	\$ 2,204
Capitalizations	72	58	19	50	29	228
Amortization expense	(36)	(37)	(9)	(47)	(10)	(139)
Other (including foreign exchange)	1	(27)	(8)	(8)	(9)	(51)
Balance - end of period	\$ 283	\$ 765	\$ 336	\$ 740	\$ 118	\$ 2,242
Overseas General Insurance segment excluded from table						687
Total deferred acquisition costs on long-duration contracts						\$ 2,929

7. Goodwill and Value of business acquired
Goodwill

The following table presents a roll-forward of Goodwill by segment:

(in millions of U.S. dollars)	North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Life Insurance	Chubb Consolidated
Balance at December 31, 2022	\$ 6,945	\$ 2,230	\$ 134	\$ 4,605	\$ 371	\$ 1,943	\$ 16,228
Foreign exchange revaluation and other	10	4	—	139	—	(59)	94
Balance at June 30, 2023	\$ 6,955	\$ 2,234	\$ 134	\$ 4,744	\$ 371	\$ 1,884	\$ 16,322

VOBA

Value of business acquired (VOBA) represents the fair value of the future profits of in-force long duration contracts from businesses acquired, principally Cigna's Asian business, and is amortized in relation to the profit emergence of the underlying contracts. The VOBA calculation is based on many factors including mortality, morbidity, persistency, investment yields, expenses, and the discount rate, with the discount rate being the most significant factor.

The following table presents a roll-forward of VOBA:

(in millions of U.S. dollars)	Six Months Ended June 30	
		2023
Balance, beginning of period	\$	3,702
Amortization of VOBA ⁽¹⁾		(162)
Foreign exchange revaluation and other		35
Balance, end of period	\$	3,575

⁽¹⁾ Recognized in Policy acquisition costs in the Consolidated statements of operations.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

8. Unpaid losses and loss expenses

The following table presents a reconciliation of beginning and ending Unpaid losses and loss expenses:

	Six Months Ended June 30	
	2023	2022
(in millions of U.S. dollars)		As Adjusted
Gross unpaid losses and loss expenses – beginning of period	\$ 75,747	\$ 72,330
Reinsurance recoverable on unpaid losses – beginning of period ⁽¹⁾	(17,086)	(16,132)
Net unpaid losses and loss expenses – beginning of period	58,661	56,198
Net losses and loss expenses incurred in respect of losses occurring in:		
Current year	11,227	10,391
Prior years ⁽²⁾	(396)	(621)
Total	10,831	9,770
Net losses and loss expenses paid in respect of losses occurring in:		
Current year	2,264	1,881
Prior years	7,527	6,566
Total	9,791	8,447
Foreign currency revaluation and other	171	(577)
Net unpaid losses and loss expenses – end of period	59,872	56,944
Reinsurance recoverable on unpaid losses ⁽¹⁾	16,608	16,504
Gross unpaid losses and loss expenses – end of period	\$ 76,480	\$ 73,448

⁽¹⁾ Net of valuation allowance for uncollectible reinsurance.

⁽²⁾ Relates to prior period loss reserve development only and excludes prior period development related to reinstatement premiums, expense adjustments, earned premiums, and development on international A&H lines totaling \$0 million and \$134 million for the six months ended June 30, 2023 and 2022, respectively.

Gross and net unpaid losses and loss expenses increased \$733 million and \$1.2 billion for the six months ended June 30, 2023, respectively, principally reflecting underlying exposure growth and the unfavorable impact of foreign currency movement. This increase was partially offset by large payments related to the Boy Scouts of America and favorable prior period development. The increase in net unpaid losses also reflected seasonality in our crop insurance business.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Prior Period Development

Prior period development (PPD) arises from changes to loss estimates recognized in the current year that relate to loss events that occurred in previous calendar years and excludes the effect of losses from the development of earned premium from previous accident years. Long-tail lines include lines such as workers' compensation, general liability, and financial lines; while short-tail lines include lines such as most property lines, energy, personal accident, and agriculture.

The following table summarizes (favorable) and adverse PPD by segment:

(in millions of U.S. dollars)	Three Months Ended June 30			Six Months Ended June 30		
	Long-tail	Short-tail	Total	Long-tail	Short-tail	Total
2023						
North America Commercial P&C Insurance	\$ (139)	\$ (7)	\$ (146)	\$ (130)	\$ (88)	\$ (218)
North America Personal P&C Insurance	—	(33)	(33)	—	(16)	(16)
North America Agricultural Insurance	—	(3)	(3)	—	(3)	(3)
Overseas General Insurance	—	(61)	(61)	—	(204)	(204)
Global Reinsurance	7	(24)	(17)	7	(32)	(25)
Corporate	60	—	60	70	—	70
Total	\$ (72)	\$ (128)	\$ (200)	\$ (53)	\$ (343)	\$ (396)
2022						
North America Commercial P&C Insurance	\$ (266)	\$ (21)	\$ (287)	\$ (286)	\$ (109)	\$ (395)
North America Personal P&C Insurance	—	(3)	(3)	—	(54)	(54)
North America Agricultural Insurance	—	—	—	—	(26)	(26)
Overseas General Insurance	—	(173)	(173)	—	(233)	(233)
Global Reinsurance	(7)	32	25	(7)	29	22
Corporate	191	—	191	199	—	199
Total	\$ (82)	\$ (165)	\$ (247)	\$ (94)	\$ (393)	\$ (487)

Significant prior period movements by segment, principally driven by reserve reviews completed during each respective period, are discussed in more detail below. The remaining net development for long-tail lines and short-tail business for each segment and Corporate comprises numerous favorable and adverse movements across a number of lines and accident years, none of which is significant individually or in the aggregate.

North America Commercial P&C Insurance. Net favorable development for the three and six months ended June 30, 2023 included \$264 million and \$308 million, respectively, from workers' compensation lines due to lower-than-expected loss experience and our annual assessment of multi-claimant events, including industrial accidents. The favorable development was partially offset by net adverse development of \$119 million and \$125 million, respectively, in commercial auto liability due to adverse reported loss experience.

Net favorable development for the three and six months ended June 30, 2022 included \$286 million and \$328 million, respectively, from workers' compensation lines due to lower-than-expected loss experience, related updates to loss development factors, and our annual assessment of multi-claimant events, including industrial accidents. Favorable development also included \$132 million and \$136 million, respectively, in primary general liability portfolios, due to lower-than-expected paid and reported case incurred activity. The favorable development was partially offset by net adverse development of \$123 million and \$116 million, respectively, in commercial auto liability due to adverse reported loss experience. Development for the six months ended June 30, 2022 also included favorable development of \$78 million in A&H due to lower-than-expected loss emergence.

North America Personal P&C Insurance. Net favorable development for the three and six months ended June 30, 2023 had no individually significant movements. Net favorable development for the six months ended June 30, 2022 included favorable development in the homeowners line of business driven by lower-than-expected paid and reported loss activity.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Overseas General Insurance. Net favorable development for the three months ended June 30, 2023 included \$61 million in short-tail property and casualty and A&H due to favorable claim development. Net favorable development for the six months ended June 30, 2023 was \$204 million and included \$110 million of favorable catastrophe development and non-catastrophe property loss emergence.

Net favorable development for the three and six months ended June 30, 2022 included \$173 million and \$233 million primarily due to favorable loss development in A&H and property lines, as well as reduced loss frequency in personal lines.

Corporate. Net adverse development for the three and six months ended June 30, 2023 was \$60 million and \$70 million, respectively, driven primarily by adverse development for molestation claims. Net adverse development for the three and six months ended June 30, 2022 was \$191 million and \$199 million, respectively, driven by adverse development of \$155 million for molestation claims, primarily from updated modeling and specific account reviews. The remainder of the adverse development was driven by increased claim costs on non-A&E runoff workers' compensation exposures, and charges relating to run-off operating expenses incurred.

9. Future policy benefits

The following tables present a roll-forward of the liability for future policy benefits included in the Life Insurance segment:

Present Value of Expected Net Premiums (in millions of U.S. dollars)	Six Months Ended June 30, 2023				
	Term Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 818	\$ 2,301	\$ 9,863	\$ 42	\$ 13,024
Beginning balance at original discount rate	879	2,354	10,409	43	13,685
Effect of changes in cash flow assumptions	15	(1)	(771)	1	(756)
Effect of actual variances from expected experience	(4)	(7)	(35)	—	(46)
Adjusted beginning of period balance	890	2,346	9,603	44	12,883
Issuances	62	157	564	3	786
Interest accrual	37	35	226	1	299
Net premiums collected ⁽¹⁾	(86)	(171)	(654)	(10)	(921)
Other (including foreign exchange)	17	23	118	(1)	157
Ending balance at original discount rate	920	2,390	9,857	37	13,204
Effect of changes in discount rate assumptions	(56)	(21)	(347)	—	(424)
Balance – end of period	\$ 864	\$ 2,369	\$ 9,510	\$ 37	\$ 12,780

⁽¹⁾ Net premiums collected represent the portion of gross premiums collected from policyholders that is used to fund expected benefit.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Present Value of Expected Future Policy Benefits

(in millions of U.S. dollars)

Six Months Ended June 30, 2023

	Term Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 1,427	\$ 6,048	\$ 14,206	\$ 239	\$ 21,920
Beginning balance at original discount rate	1,555	6,225	15,022	250	23,052
Effect of changes in cash flow assumptions	17	(1)	(780)	2	(762)
Effect of actual variances from expected experience	(3)	(3)	(30)	—	(36)
Adjusted beginning of period balance	1,569	6,221	14,212	252	22,254
Issuances	62	158	562	3	785
Interest accrual	43	105	289	3	440
Benefits payments	(84)	(130)	(708)	(5)	(927)
Other (including foreign exchange)	71	400	(178)	6	299
Ending balance at original discount rate	1,661	6,754	14,177	259	22,851
Effect of changes in discount rate assumptions	(130)	(76)	(574)	(4)	(784)
Balance – end of period	\$ 1,531	\$ 6,678	\$ 13,603	\$ 255	\$ 22,067

June 30, 2023

Liability for Future Policy Benefits

(in millions of U.S. dollars, except for years)

(in millions of U.S. dollars, except for years)	Term Life		Whole Life		A&H		Other		A&H		Total	
Net liability for future policy benefits	\$	667	\$	4,309	\$	4,093	\$	218	\$	751	\$	10,038
Deferred profit liability		225		638		149		14		—		1,026
Net liability for future policy benefits, per consolidated balance sheet		892		4,947		4,242		232		751		11,064
Less: Reinsurance recoverable on future policy benefits		110		41		126		—		38		315
Net liability for future policy benefits, after reinsurance recoverable	\$	782	\$	4,906	\$	4,116	\$	232	\$	713	\$	10,749
Weighted average duration (years)		9.3		25.0		10.6		14.0		4.8		16.4

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Present Value of Expected Net Premiums

(in millions of U.S. dollars)	Six Months Ended June 30, 2022				
	Term Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 422	\$ 1,341	\$ 2,520	\$ 30	\$ 4,313
Beginning balance at original discount rate	397	1,243	2,323	28	3,991
Effect of changes in cash flow assumptions	—	(2)	—	—	(2)
Effect of actuarial variances from expected experience	(27)	(11)	(75)	1	(112)
Adjusted beginning of period balance	370	1,230	2,248	29	3,877
Issuances	66	71	67	2	206
Interest accrual	31	21	72	—	124
Net premiums collected ⁽¹⁾	(51)	(80)	(127)	(5)	(263)
Other (including foreign exchange)	(12)	(30)	(17)	(1)	(60)
Ending balance at original discount rate	404	1,212	2,243	25	3,884
Effect of changes in discount rate assumptions	(24)	(27)	(104)	—	(155)
Balance – end of period	\$ 380	\$ 1,185	\$ 2,139	\$ 25	\$ 3,729

⁽¹⁾ Net premiums collected represent the portion of gross premiums collected from policyholders that is used to fund expected benefit.

Present Value of Expected Future Policy Benefits

(in millions of U.S. dollars)	Six Months Ended June 30, 2022				
	Term Life	Whole Life	A&H	Other	Total
Balance – beginning of period	\$ 921	\$ 4,785	\$ 4,939	\$ 130	\$ 10,775
Beginning balance at original discount rate	858	3,833	4,589	122	9,402
Effect of changes in cash flow assumptions	(5)	(2)	—	11	4
Effect of actuarial variances from expected experience	(25)	(9)	(79)	1	(112)
Adjusted beginning of period balance	828	3,822	4,510	134	9,294
Issuances	69	71	67	2	209
Interest accrual	35	74	100	—	209
Benefits payments	(44)	(95)	(167)	—	(306)
Other (including foreign exchange)	(32)	(77)	(49)	—	(158)
Ending balance at original discount rate	856	3,795	4,461	136	9,248
Effect of changes in discount rate assumptions	(68)	76	(204)	(7)	(203)
Balance – end of period	\$ 788	\$ 3,871	\$ 4,257	\$ 129	\$ 9,045

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

	June 30, 2022					
Liability for Future Policy Benefits (in millions of U.S. dollars, except for years)	Life Insurance				Overseas General Insurance	Chubb Consolidated
	Term Life	Whole Life	A&H	Other	A&H	Total
Net liability for future policy benefits	\$ 408	\$ 2,686	\$ 2,118	\$ 104	\$ 748	\$ 6,064
Deferred profit liability	165	415	104	8	—	692
Net liability for future policy benefits, per consolidated balance sheet	573	3,101	2,222	112	748	6,756
Less: Reinsurance recoverable on future policy benefits	108	33	58	—	43	242
Net liability for future policy benefits, after reinsurance recoverable	\$ 465	\$ 3,068	\$ 2,164	\$ 112	\$ 705	\$ 6,514
Weighted average duration (years)	9.3	19.5	10.3	27.5	5.2	14.1

The following table presents the amount of undiscounted expected gross premiums and expected future policy benefit payments included in the Life Insurance segment:

(in millions of U.S. dollars)	June 30 2023	June 30 2022
Term Life		
Undiscounted expected future benefit payments	\$ 2,381	\$ 1,266
Undiscounted expected future gross premiums	2,701	1,382
Discounted expected future benefit payments	1,531	788
Discounted expected future gross premiums	1,805	1,045
Whole Life		
Undiscounted expected future benefit payments	16,890	9,799
Undiscounted expected future gross premiums	6,971	3,457
Discounted expected future benefit payments	6,678	3,871
Discounted expected future gross premiums	5,455	2,499
A&H		
Undiscounted expected future benefit payments	22,461	5,903
Undiscounted expected future gross premiums	33,371	8,752
Discounted expected future benefit payments	13,603	4,257
Discounted expected future gross premiums	20,339	5,683
Other		
Undiscounted expected future benefit payments	374	216
Undiscounted expected future gross premiums	94	72
Discounted expected future benefit payments	255	129
Discounted expected future gross premiums	\$ 84	\$ 64

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

The following table presents the amount of revenue and interest recognized in the statement of operations:

	Gross Premiums or Assessments		Interest Accretion	
	Six Months Ended		Six Months Ended	
	June 30		June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
Life Insurance				
Term Life	\$ 339	\$ 172	\$ 6	\$ 4
Whole Life	487	173	70	53
A&H	1,409	533	63	28
Other	32	134	2	—
Overseas General Insurance				
A&H	768	705	—	—
Total	\$ 3,035	\$ 1,717	\$ 141	\$ 85

The following table presents the weighted-average interest rates:

	Interest Accretion Rate		Current Discount Rate	
	June 30		June 30	
	2023	2022	2023	2022
Life Insurance				
Term Life	2.9 %	2.4 %	5.8 %	4.9 %
Whole Life	4.0 %	4.4 %	5.3 %	6.0 %
A&H	3.8 %	3.9 %	6.3 %	5.0 %
Other	3.8 %	3.3 %	5.1 %	4.4 %

10. Policyholders' account balances

The following tables present a roll-forward of policyholders' account balances:

(in millions of U.S. dollars)	Six Months Ended June 30, 2023		
	Universal Life	Other	Total
Balance – beginning of period	\$ 1,719	\$ 1,421	\$ 3,140
Premiums received	175	53	228
Policy charges ⁽¹⁾	(89)	(5)	(94)
Surrenders and withdrawals	(41)	(35)	(76)
Benefit payments	(4)	(22)	(26)
Interest credited	22	15	37
Other (including foreign exchange)	19	(13)	6
Balance, end of period	\$ 1,801	\$ 1,414	\$ 3,215

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

(in millions of U.S. dollars)	Six Months Ended June 30, 2022		
	Universal Life	Other	Total
Balance – beginning of period	\$ 1,612	\$ 1,154	\$ 2,766
Premiums received	195	58	253
Policy charges ⁽¹⁾	(92)	(5)	(97)
Surrenders and withdrawals	(37)	(35)	(72)
Benefit payments	(3)	(11)	(14)
Interest credited	20	18	38
Other (including foreign exchange)	(36)	(89)	(125)
Balance, end of period	\$ 1,659	\$ 1,090	\$ 2,749

⁽¹⁾ Contracts included in the policyholder account balances are generally charged a premium and/or monthly assessments on the basis of the account balance.

(in millions of U.S. dollars, except for percentages)	June 30	
	2023	2022
	Universal Life	Other
Weighted-average crediting rate	3.8 %	2.2 %
Net amount at risk ⁽¹⁾	\$ 10,405	\$ 10,041
Cash Surrender Value	\$ 978	\$ 876

⁽¹⁾ For those guarantees of benefits that are payable in the event of death, the net amount at risk is defined as the current guaranteed minimum death benefit in excess of the current account balance at the balance sheet date.

The following tables present the balance of account values by range of guaranteed minimum crediting rates and the related range of difference, in basis points, between rates being credited to policyholders and the respective guaranteed minimum:

Universal Life

(in millions of U.S. dollars)	June 30, 2023				
	At Guaranteed Minimum	1 Basis Point - 50 Basis Points Above	51 Basis Points - 150 Basis Points Above	Greater Than 150 Basis Points Above	Total
Guaranteed minimum crediting rates					
Up to 2.00%	\$ 4	\$ —	\$ 382	\$ 873	\$ 1,259
2.01% – 4.00%	471	50	—	—	521
Greater than 4.00%	20	—	—	1	21
Total	\$ 495	\$ 50	\$ 382	\$ 874	\$ 1,801

(in millions of U.S. dollars)	June 30, 2022				
	At Guaranteed Minimum	1 Basis Point - 50 Basis Points Above	51 Basis Points - 150 Basis Points Above	Greater Than 150 Basis Points Above	Total
Guaranteed minimum crediting rates					
Up to 2.00%	\$ 4	\$ —	\$ 410	\$ 730	\$ 1,144
2.01% – 4.00%	236	211	37	—	484
Greater than 4.00%	31	—	—	—	31
Total	\$ 271	\$ 211	\$ 447	\$ 730	\$ 1,659

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

Other policyholders' account balances

June 30, 2023

(in millions of U.S. dollars)	At Guaranteed Minimum	1 Basis Point - 50 Basis Points Above	51 Basis Points - 150 Basis Points Above	Greater Than 150 Basis Points Above	Total
Guaranteed minimum crediting rates					
Up to 2.00%	\$ 430	\$ 550	\$ 189	\$ 235	\$ 1,404
Greater than 4.00%	10	—	—	—	10
Total	\$ 440	\$ 550	\$ 189	\$ 235	\$ 1,414

June 30, 2022

(in millions of U.S. dollars)	At Guaranteed Minimum	1 Basis Point - 50 Basis Points Above	51 Basis Points - 150 Basis Points Above	Greater Than 150 Basis Points Above	Total
Guaranteed minimum crediting rates					
Up to 2.00%	\$ 120	\$ 521	\$ 209	\$ 236	\$ 1,086
Greater than 4.00%	4	—	—	—	4
Total	\$ 124	\$ 521	\$ 209	\$ 236	\$ 1,090

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

11. Market risk benefits

Our reinsurance programs covering variable annuity guarantees, comprising guaranteed living benefits (GLB) and guaranteed minimum death benefits (GMDB), meet the definition of Market risk benefits (MRB). The following table presents a roll-forward of MRB:

(in millions of U.S. dollars)	Six Months Ended June 30	
	2023	2022
Balance – beginning of period	\$ 800	\$ 812
Balance, beginning of period, before effect of changes in the instrument-specific credit risk	776	755
Interest rate changes	37	(356)
Effect of changes in equity markets	(144)	482
Effect of changes in volatilities	31	62
Effect of timing and all other	6	(46)
Balance, end of period, before effect of changes in the instrument-specific credit risk	\$ 706	\$ 897
Effect of changes in the instrument-specific credit risk	16	17
Balance – end of period	\$ 722	\$ 914
Weighted-average age of policyholders (years)	73	73
Net amount at risk	\$ 2,048	\$ 2,667

Excluded from the table above are MRB gains (losses) of \$(192) million and \$158 million for the six months ended June 30, 2023 and 2022, respectively, reported in the Consolidated statements of operations, relating to the market risk benefits' economic hedge and other net cash flows. There is no reinsurance recoverable associated with our liability for MRB.

For MRB reinsurance, Chubb estimates fair value using an internal valuation model which includes a number of factors including interest rates, equity markets, credit risk, current account value, market volatility, expected annuitization rates and other policyholder behavior, and changes in policyholder mortality. All reinsurance treaties contain claim limits, which are also factored into the valuation model.

	Valuation Technique	Significant Unobservable Inputs	June 30, 2023		June 30, 2022	
			Ranges	Weighted Average ⁽¹⁾	Ranges	Weighted Average ⁽¹⁾
MRB ⁽¹⁾	Actuarial model	Lapse rate	1% – 30%	4.0 %	3% – 31%	4.0 %
		Annuitization rate	0% – 100%	4.2 %	0% – 100%	4.4 %

⁽¹⁾ The weighted-average lapse and annuitization rates are determined by weighting each treaty's rates by the MRB contract's fair value.

The most significant policyholder behavior assumptions include lapse rates for MRBs, and GLB annuitization rates. Assumptions regarding lapse rates and GLB annuitization rates differ by treaty, but the underlying methodologies to determine rates applied to each treaty are comparable.

A lapse rate is the percentage of in-force policies surrendered in a given calendar year. All else equal, as lapse rates increase, ultimate claim payments will decrease. In general, the base lapse function assumes low lapse rates during the surrender charge period, followed by a "spike" lapse rate in the year immediately following the surrender charge period, and then reverting to an ultimate lapse rate, typically over a 2-year period. This base rate is adjusted downward for policies with more valuable guarantees (policies with guaranteed values far in excess of their account values). Partial withdrawals and the impact of older policyholders with tax-qualified contracts (due to required minimum distributions) are also reflected in our modeling.

The GLB annuitization rate is the percentage of policies for which the policyholder will elect to annuitize using the guaranteed benefit provided under the GLB. All else equal, as GLB annuitization rates increase, ultimate claim payments will increase, subject to treaty claim limits. All GLB reinsurance treaties include claim limits to protect Chubb in the event that actual annuitization behavior is significantly higher than expected. In general, Chubb assumes that GLB annuitization rates will be

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

higher for policies with more valuable guarantees (policies with guaranteed values far in excess of their account values). Chubb also assumes that GLB annuitization rates increase as policyholders get older. In addition, it is also assumed that GLB annuitization rates are higher in the first year immediately following the waiting period (the first year the policies are eligible to annuitize using the GLB) in comparison to all subsequent years. Chubb does not yet have fully credible annuitization experience for all clients.

The effect of changes in key market factors on assumed lapse and annuitization rates reflect emerging trends using data available from cedants. For treaties with limited experience, rates are established by blending the experience with data received from other ceding companies. The model and related assumptions are regularly re-evaluated by management and enhanced, as appropriate, based upon additional experience obtained related to policyholder behavior and availability of updated information such as market conditions, market participant assumptions, and demographics of in-force annuities.

12. Separate accounts

Separate account assets represent segregated funds where investment risks are borne by the customers, except to the extent of certain guarantees made by Chubb. The assets that support variable contracts are measured at fair value and are reported as Separate account assets and corresponding liabilities are reported within Separate account liabilities on the Consolidated balance sheets. Policy charges assessed against the policyholders for mortality, administration, and other services are included in Net premiums earned on the Consolidated statements of operations.

The following table presents the aggregate fair value of Separate account assets, by major security type:

(in millions of U.S. dollars)		June 30 2023		December 31 2022
Cash and cash equivalents	\$	98	\$	141
Mutual funds		5,382		4,960
Fixed maturities		94		89
Total	\$	5,574	\$	5,190

The following table presents a roll-forward of separate account liabilities:

(in millions of U.S. dollars)			Six Months Ended June 30
		2023	2022
Balance – beginning of period	\$	5,190	\$ 5,560
Premiums and deposits		517	796
Policy charges		(70)	(60)
Surrenders and withdrawals		(246)	(196)
Benefit payments		(193)	(193)
Investment performance		361	(936)
Other (including foreign exchange)		15	(146)
Balance – end of period	\$	5,574	\$ 4,825
Cash surrender value ⁽¹⁾	\$	5,369	\$ 4,625

⁽¹⁾ Cash surrender value represents the amount of the contract holder's account balances distributable at the balance sheet date less certain surrender charges.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

13. Commitments, contingencies, and guarantees

a) Derivative instruments

Chubb maintains positions in derivative instruments such as futures, options, swaps, and foreign currency forward contracts for which the primary purposes are to manage duration and foreign currency exposure, yield enhancement, or to obtain an exposure to a particular financial market. Chubb also maintains positions in convertible securities that contain embedded derivatives, and exchange-traded equity futures contracts on equity market indices to limit equity exposure in the MRB book of business. Investment derivative instruments and derivatives designated as hedges for accounting purposes are recorded in either Other assets (OA) or Accounts payable, accrued expenses, and other liabilities (AP); convertible bonds are recorded in Fixed maturities available for sale (FM AFS); and convertible equity securities are recorded in Equity securities (ES) in the Consolidated balance sheets. These are the most numerous and frequent derivative transactions. In addition, Chubb, from time to time, purchases to be announced mortgage-backed securities (TBAs) as part of its investing activities.

As a global company, Chubb entities transact business in multiple currencies. Our policy is to generally match assets, liabilities, and required capital for each individual jurisdiction in local currency, which would include the use of derivatives discussed below. Some of Chubb's derivatives satisfy hedge accounting requirements, as discussed below. We also consider economic hedging for planned cross border transactions.

The following table presents the balance sheet locations, fair values of derivative instruments in an asset or (liability) position, and notional values/payment provisions of our derivative instruments:

(in millions of U.S. dollars)	Consolidated Balance Sheet Location	June 30, 2023			December 31, 2022		
		Derivative Asset	Fair Value	Notional Value/ Payment Provision	Derivative Asset	Fair Value	Notional Value/ Payment Provision
			Derivative (Liability)			Derivative (Liability)	
<i>Investment and embedded derivatives not designated as hedging instruments:</i>							
Foreign currency forward contracts	OA / (AP)	\$ 24	\$ (131)	\$ 3,849	\$ 64	\$ (115)	\$ 4,134
Options/Futures contracts on notes and bonds	OA / (AP)	3	(27)	2,170	18	(24)	1,511
Convertible securities ⁽¹⁾	FM AFS / ES	26	—	32	30	—	37
		\$ 53	\$ (158)	\$ 6,051	\$ 112	\$ (139)	\$ 5,682
<i>Other derivative instruments:</i>							
Futures contracts on equities ⁽²⁾	OA / (AP)	\$ —	\$ (32)	\$ 1,080	\$ 33	\$ —	\$ 939
Other	OA / (AP)	10	(4)	348	—	—	—
		\$ 10	\$ (36)	\$ 1,428	\$ 33	\$ —	\$ 939
<i>Derivatives designated as hedging instruments:</i>							
Cross-currency swaps - fair value hedges	OA / (AP)	\$ 64	\$ —	\$ 1,625	\$ 17	\$ —	\$ 1,595
Cross-currency swaps - net investment hedges	OA / (AP)	—	(47)	1,625	—	(53)	1,604
		\$ 64	\$ (47)	\$ 3,250	\$ 17	\$ (53)	\$ 3,199

⁽¹⁾ Includes fair value of embedded derivatives.

⁽²⁾ Related to MRB book of business.

At June 30, 2023, and December 31, 2022, net derivative liabilities of \$139 million and \$60 million, respectively, included in the table above were subject to a master netting agreement. The remaining derivatives included in the table above were not subject to a master netting agreement.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

b) Hedge accounting

We designate certain derivatives as fair value hedges and net investment hedges for accounting purposes to hedge for foreign currency exposure associated with portions of our euro denominated debt and the net investment in certain foreign subsidiaries, respectively. These derivatives comprise cross-currency swaps, which are agreements under which two counterparties exchange interest payments and principal denominated in different currencies at a future date.

(i) Cross-currency swaps - fair value hedges

In September 2022, Chubb entered into certain cross-currency swaps designated as fair value hedges. The objective of these cross-currency swaps is to hedge the foreign currency risk on €1.5 billion, or approximately \$1.6 billion at June 30, 2023, of our euro denominated debt, by converting cash flows back into the U.S. dollar.

These fair value hedges are carried at fair value. The hedges are expected to be highly effective, with gains or losses on the fair value hedges offsetting the foreign currency remeasurement on the hedged euro denominated senior notes within Net realized gains (losses). The remaining change in fair value is recorded in Other comprehensive income (OCI), with an immaterial amount recorded in Interest expense.

The following table presents pre-tax gains (losses) recognized in OCI and reclassified into earnings for fair value hedges:

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023		2023	
Gain recognized in OCI	\$	57	\$	40
Net realized gains reclassified from OCI		11		31
Interest expense reclassified from OCI		(4)		(8)
OCI gain/(loss) after reclassifications	\$	50	\$	17

(ii) Cross-currency swaps - net investment hedges

In September 2022, Chubb entered into certain cross-currency swaps designated as net investment hedges. The objective of these cross-currency swaps is to hedge the foreign currency exposure in the net investments of certain foreign subsidiaries by converting cash flows from U.S. dollar to the British pound sterling, Japanese yen, and Swiss franc. The hedged risk is designated as the foreign currency exposure arising between the functional currency of the foreign subsidiary and the functional currency of its parent entity.

These net investment hedges are carried at fair value, with changes in fair value recorded in Cumulative translation adjustments (CTA) within OCI, and an immaterial amount recorded to Interest expense. The mark-to-market adjustments for foreign currency changes will remain until the underlying hedge subsidiary is deconsolidated or if hedge accounting is discontinued.

The following table presents pre-tax gains (losses) recognized in OCI and reclassified into earnings for net investment hedges:

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023		2023	
Gain recognized in OCI	\$	35	\$	12
Interest income reclassified from OCI		4		7
OCI gain/(loss) after reclassifications	\$	31	\$	5

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

c) Derivative instruments not designated as hedges

Derivative instruments which are not designated as hedges are carried at fair value with changes in fair value recorded in Net realized gains (losses) or, for futures contracts on equities, Market risk benefits gains (losses) in the Consolidated statements of operations. The following table presents net realized gains (losses) related to derivative instrument activity in the Consolidated statements of operations:

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
<i>Investment and embedded derivative instruments:</i>				
Foreign currency forward contracts	\$ (27)	\$ (214)	\$ (78)	\$ (268)
All other futures contracts, options, and equities	(29)	134	(24)	236
Convertible securities ⁽¹⁾	1	(1)	1	(2)
Total investment and embedded derivative instruments	\$ (55)	\$ (81)	\$ (101)	\$ (34)
<i>Other derivative instruments:</i>				
Futures contracts on equities ⁽²⁾	\$ (75)	\$ 144	\$ (132)	\$ 186
Other	2	9	1	10
Total other derivative instruments	\$ (73)	\$ 153	\$ (131)	\$ 196
	\$ (128)	\$ 72	\$ (232)	\$ 162

⁽¹⁾ Includes embedded derivatives.

⁽²⁾ Related to MRB book of business.

(i) Foreign currency exposure management

A foreign currency forward contract (forward) is an agreement between participants to exchange specific currencies at a future date. Chubb uses forwards to minimize the effect of fluctuating foreign currencies as discussed above.

(ii) Duration management and market exposure

Futures

Futures contracts give the holder the right and obligation to participate in market movements, determined by the index or underlying security on which the futures contract is based. Settlement is made daily in cash by an amount equal to the change in value of the futures contract times a multiplier that scales the size of the contract. Exchange-traded futures contracts on money market instruments, notes and bonds are used in fixed maturity portfolios to more efficiently manage duration, as substitutes for ownership of the money market instruments, bonds, and notes without significantly increasing the risk in the portfolio. Investments in futures contracts may be made only to the extent that there are assets under management not otherwise committed.

Exchange-traded equity futures contracts are used to limit exposure to a severe equity market decline, which would cause an increase in expected claims and, therefore, an increase in market risk benefit reserves.

Options

An option contract conveys to the holder the right, but not the obligation, to purchase or sell a specified amount or value of an underlying security at a fixed price. Option contracts are used in our investment portfolio as protection against unexpected shifts in interest rates, which would affect the duration of the fixed maturity portfolio. By using options in the portfolio, the overall interest rate sensitivity of the portfolio can be reduced. Option contracts may also be used as an alternative to futures contracts in the synthetic strategy as described above.

The price of an option is influenced by the underlying security, level of interest rates, expected volatility, time to expiration, and supply and demand.

The credit risk associated with the above derivative financial instruments relates to the potential for non-performance by counterparties. Although non-performance is not anticipated, in order to minimize the risk of loss, management monitors the creditworthiness of its counterparties and obtains collateral. The performance of exchange-traded instruments is guaranteed by

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

the exchange on which they trade. For non-exchange-traded instruments, the counterparties are principally banks which must meet certain criteria according to our investment guidelines.

Other

Included within Other are derivatives intended to reduce potential losses which may arise from certain exposures in our insurance business. The economic benefit provided by these derivatives is similar to purchased reinsurance. For example, Chubb may, from time to time, enter into crop derivative contracts to protect underwriting results in the event of a significant decline in commodity prices.

(iii) Convertible security investments

A convertible security is a debt instrument or preferred stock that can be converted into a predetermined amount of the issuer's equity. The convertible option is an embedded derivative within the host instruments which are classified in the investment portfolio as either available for sale or as an equity security. Chubb purchases convertible securities for their total return and not specifically for the conversion feature.

(iv) TBA

By acquiring TBAs, we make a commitment to purchase a future issuance of mortgage-backed securities. For the period between purchase of the TBAs and issuance of the underlying security, we account for our position as a derivative in the Consolidated Financial Statements. Chubb purchases TBAs, from time to time, both for their total return and for the flexibility they provide related to our mortgage-backed security strategy.

(v) Futures contracts on equities

Under the MRB program, as the assuming entity, Chubb is obligated to provide coverage until the expiration or maturity of the underlying deferred annuity contracts or the expiry of the reinsurance treaty. We may recognize a loss for changes in fair value due to adverse changes in the capital markets (e.g., declining interest rates and/or declining U.S. and/or international equity markets). To mitigate adverse changes in the capital markets, we maintain positions in exchange-traded equity futures contracts, as noted under section "(ii) Futures" above. These futures increase in fair value when the S&P 500 index decreases (and decrease in fair value when the S&P 500 index increases). The net impact of gains or losses related to changes in fair value of the MRB liability and the exchange-traded equity futures are included in Market risk benefits gains (losses) in the Consolidated statements of operations.

d) Securities lending and secured borrowings

Chubb participates in a securities lending program operated by a third-party banking institution whereby certain assets are loaned to qualified borrowers and from which we earn an incremental return. The securities lending collateral can only be drawn down by Chubb in the event that the institution borrowing the securities is in default under the lending agreement. An indemnification agreement with the lending agent protects us in the event a borrower becomes insolvent or fails to return any of the securities on loan. The collateral is recorded in Securities lending collateral and the liability is recorded in Securities lending payable in the Consolidated balance sheets.

The following table presents the carrying value of collateral held under securities lending agreements by investment category and remaining contractual maturity of the underlying agreements:

	Remaining contractual maturity	
	June 30, 2023	December 31, 2022
(in millions of U.S. dollars)	Overnight and Continuous	
<i>Collateral held under securities lending agreements:</i>		
Cash	\$ 741	\$ 820
U.S. Treasury / Agency	89	72
Non-U.S.	663	604
Corporate and asset-backed securities	28	27
Municipal	4	—
	\$ 1,525	\$ 1,523
Gross amount of recognized liability for securities lending payable	\$ 1,525	\$ 1,523

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

At June 30, 2023, and December 31, 2022, our repurchase agreement obligations of \$1,518 million and \$1,419 million, respectively, were fully collateralized. In contrast to securities lending programs, the use of cash received is not restricted for the repurchase obligations. The fair value of the underlying securities sold remains in Fixed maturities available for sale, and the repurchase agreement obligation is recorded in Repurchase agreements in the Consolidated balance sheets.

The following table presents the carrying value of collateral pledged under repurchase agreements by investment category and remaining contractual maturity of the underlying agreements:

(in millions of U.S. dollars)	June 30, 2023				Remaining contractual maturity		
					December 31, 2022		
	Up to 30 Days	30-90 Days	Greater than 90 Days	Total	Up to 30 Days	30-90 Days	Total
Collateral pledged under repurchase agreements:							
Cash	\$ —	\$ —	\$ 2	\$ 2	\$ 12	\$ —	\$ 12
U.S. Treasury / Agency	—	—	102	102	—	101	101
Mortgage-backed securities	1	51	1,409	1,461	921	493	1,414
	\$ 1	\$ 51	\$ 1,513	\$ 1,565	\$ 933	\$ 594	\$ 1,527
Gross amount of recognized liabilities for repurchase agreements				\$ 1,518			\$ 1,419
Difference ⁽¹⁾				\$ 47			\$ 108

⁽¹⁾ Per the repurchase agreements, the amount of collateral posted is required to exceed the amount of gross liability.

Potential risks exist in our secured borrowing transactions due to market conditions and counterparty exposure. With collateral that we pledge, there is a risk that the collateral may not be returned at the expiration of the agreement. If the counterparty fails to return the collateral, Chubb will have free use of the borrowed funds until our collateral is returned. In addition, we may encounter the risk that Chubb may not be able to renew outstanding borrowings with a new term or with an existing counterparty due to market conditions including a decrease in demand as well as more restrictive terms from banks due to increased regulatory and capital constraints. Should this condition occur, Chubb may seek alternative borrowing sources or reduce borrowings. Additionally, increased margins and collateral requirements due to market conditions would increase our restricted assets as we are required to provide additional collateral to support the transaction.

e) Fixed maturities

At June 30, 2023, and December 31, 2022, commitments to purchase fixed income securities over the next several years were \$892 million and \$770 million, respectively.

f) Other investments

At June 30, 2023, included in Other investments in the Consolidated balance sheet are investments in limited partnerships and partially-owned investment companies with a carrying value of \$12.9 billion. In connection with these investments, we have commitments that may require funding of up to \$6.2 billion over the next several years. At December 31, 2022, these investments had a carrying value of \$12.0 billion with commitments that may have required funding of up to \$7.4 billion.

g) Income taxes

At June 30, 2023, \$61 million of unrecognized tax benefits remain outstanding. It is reasonably possible that, over the next twelve months, the amount of unrecognized tax benefits may change resulting from the re-evaluation of unrecognized tax benefits arising from examinations by taxing authorities, settlements, and the lapses of statutes of limitations. With few exceptions, Chubb is no longer subject to income tax examinations for years before 2012.

h) Legal proceedings

Our insurance subsidiaries are subject to claims litigation involving disputed interpretations of policy coverages and, in some jurisdictions, direct actions by allegedly-injured persons seeking damages from policyholders. These lawsuits, involving claims on policies issued by our subsidiaries which are typical to the insurance industry in general and in the normal course of business, are considered in our loss and loss expense reserves. In addition to claims litigation, we are subject to lawsuits and

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regulatory actions in the normal course of business that do not arise from or directly relate to claims on insurance policies. This category of business litigation typically involves, among other things, allegations of underwriting errors or misconduct, employment claims, regulatory activity, or disputes arising from our business ventures. In the opinion of management, our ultimate liability for these matters could be, but we believe is not likely to be, material to our consolidated financial condition and results of operations.

i) Lease commitments

At June 30, 2023, and December 31, 2022, the right-of-use asset was \$543 million and \$607 million, respectively, recorded within Other assets, and the lease liability was \$575 million and \$633 million, respectively, recorded within Accounts payable, accrued expenses, and other liabilities on the Consolidated balance sheets. These leases consist principally of real estate operating leases that are amortized on a straight-line basis over the term of the lease, which expire at various dates.

14. Shareholders' equity

All of Chubb's Common Shares are authorized under Swiss corporate law. Though the par value of Common Shares is stated in Swiss francs, Chubb continues to use U.S. dollars as its reporting currency for preparing the Consolidated Financial Statements. Under Swiss corporate law, dividends, including distributions from legal reserves or through a reduction in par value (par value reduction), must be stated in Swiss francs though dividend payments are made by Chubb in U.S. dollars. At our May 2023 annual general meeting, our shareholders approved the reduction of share capital by reducing par value from CHF 24.15 per share to CHF 0.50 per share and thereby increasing capital contribution reserves. The par value reduction did not change our number of Common Shares issued. At June 30, 2023, our Common Shares had a par value of CHF 0.50 per share.

At our May 2023 annual general meeting, our shareholders approved an annual dividend for the following year of up to \$3.44 per share, expected to be paid in four quarterly installments of \$0.86 per share after the general meeting by way of distribution from capital contribution reserves, transferred to free reserves for payment. The Board of Directors (Board) will determine the record and payment dates at which the annual dividend may be paid until the date of 2024 annual general meeting, and is authorized to abstain from distributing a dividend at its discretion.

At our May 2022 and 2021 annual general meetings, our shareholders approved annual dividends for the following year of up to \$3.32 per share and \$3.20 per share, respectively, which were paid in four quarterly installments of \$0.83 per share and \$0.80 per share, respectively, at dates determined by the Board after the annual general meetings by way of a distribution from capital contribution reserves, transferred to free reserves for payment.

The following table presents dividend distributions per Common Share in Swiss francs (CHF) and U.S. dollars (USD):

	Three Months Ended June 30				Six Months Ended June 30			
	2023		2022		2023		2022	
	CHF	USD	CHF	USD	CHF	USD	CHF	USD
Total dividend distributions per common share	0.77	\$ 0.86	0.80	\$ 0.83	1.54	\$ 1.69	1.54	\$ 1.63

Increases in Common Shares in treasury are due to open market repurchases of Common Shares and the surrender of Common Shares to satisfy tax withholding obligations in connection with the vesting of restricted stock and the forfeiture of unvested restricted stock. Decreases in Common Shares in treasury are principally due to grants of restricted stock, exercises of stock options, purchases under the Employee Stock Purchase Plan (ESPP), and share cancellations. At the Chubb Limited Extraordinary General Meeting of Shareholders, held on November 3, 2021, shareholders approved the cancellation of 14,465,400 shares repurchased under our share repurchase program during the first six months of 2021. The capital reduction by cancellation of shares was subject to publication requirements and a two-month waiting period in accordance with Swiss law and became effective on January 17, 2022. At our May 2022 annual general meeting, held on May 19, 2022, our shareholders approved the cancellation of 13,179,100 shares purchased under our share repurchase program during the last six months of 2021. The capital reduction by cancellation of shares was subject to publication requirements and a two-month waiting period in accordance with Swiss law and became effective on August 4, 2022. At our May 2023 annual general meeting, held on May 17, 2023, our shareholders approved the cancellation of 14,925,028 shares purchased under our share repurchase programs during 2022. The capital reduction was subject to publication requirements and became effective in

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

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accordance with Swiss law on May 22, 2023. During the six months ended June 30, 2023, 5,684,700 shares were repurchased, 14,925,028 shares were canceled, and 1,781,198 net shares were issued under employee share-based compensation plans. At June 30, 2023, 20,760,232 Common Shares remain in treasury.

Chubb Limited securities repurchase authorizations

The Board has authorized share repurchase programs as follows:

- One-time incremental share repurchase program of \$5.0 billion of Chubb Common Shares from July 19, 2021 through June 30, 2022;
- \$2.5 billion of Chubb Common Shares from May 19, 2022 through June 30, 2023; and
- \$5.0 billion of Chubb Common Shares effective July 1, 2023 with no expiration date.

The following table presents repurchases of Chubb's Common Shares conducted in a series of open market transactions under the Board authorizations:

	Three Months Ended		Six Months Ended	
	June 30		June 30	
(in millions of U.S. dollars, except share data)	2023	2022	2023	2022
Number of shares repurchased	3,674,300	5,476,300	5,684,700	10,346,200
Cost of shares repurchased	\$ 724	\$ 1,129	\$ 1,152	\$ 2,130
Repurchase authorization remaining at end of period ⁽¹⁾	\$ —	\$ 2,500	\$ —	\$ 2,500

⁽¹⁾ As of June 30, 2023, \$474 million expired under the May 2022 \$2.5 billion share repurchase authorization.

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Chubb Limited and Subsidiaries

The following table presents changes in accumulated other comprehensive income (loss):

	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022 As Adjusted	2023	2022 As Adjusted
(in millions of U.S. dollars)				
Accumulated other comprehensive income (loss) (AOCI)				
Net unrealized appreciation (depreciation) on investments				
Balance – beginning of period, net of tax	\$ (5,659)	\$ (1,584)	\$ (7,279)	\$ 2,256
Change in period, before reclassification from AOCI (before tax)	(1,301)	(4,786)	305	(9,574)
Amounts reclassified from AOCI (before tax)	107	442	287	578
Change in period, before tax	(1,194)	(4,344)	592	(8,996)
Income tax (expense) benefit	44	215	(122)	1,027
Balance – end of period, net of tax	(6,809)	(5,713)	(6,809)	(5,713)
Current discount rate on liability for future policy benefits				
Balance – beginning of period, net of tax	(205)	(997)	(75)	(1,399)
Change in period, before tax	(35)	632	(186)	1,067
Income tax (expense) benefit	(7)	(62)	14	(95)
Balance – end of period, net of tax	(247)	(427)	(247)	(427)
Instrument-specific credit risk on market risk benefits				
Balance – beginning of period, net of tax	(27)	(34)	(24)	(57)
Change in period, before and net of tax	11	17	8	40
Balance – end of period, net of tax	(16)	(17)	(16)	(17)
Cumulative foreign currency translation adjustment				
Balance – beginning of period, net of tax	(3,136)	(2,043)	(2,966)	(2,114)
Change in period, before reclassification from AOCI (before tax)	219	(756)	45	(689)
Amounts reclassified from AOCI (before tax)	(4)	—	(7)	—
Change in period, before tax	215	(756)	38	(689)
Income tax benefit	1	31	8	35
Balance – end of period, net of tax	(2,920)	(2,768)	(2,920)	(2,768)
Fair value hedging instruments				
Balance – beginning of period, net of tax	(92)	—	(66)	—
Change in period, before reclassification from AOCI (before tax)	57	—	40	—
Amounts reclassified from AOCI (before tax)	(7)	—	(23)	—
Change in period, before tax	50	—	17	—
Income tax expense	(11)	—	(4)	—
Balance – end of period, net of tax	(53)	—	(53)	—
Postretirement benefit liability adjustment				
Balance – beginning of period, net of tax	224	255	225	240
Change in period, before tax	(2)	5	(2)	24
Income tax (expense) benefit	1	(1)	—	(5)
Balance – end of period, net of tax	223	259	223	259
Accumulated other comprehensive income (loss)	\$ (9,822)	\$ (8,666)	\$ (9,822)	\$ (8,666)

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The following table presents reclassifications from accumulated other comprehensive income (loss) to the Consolidated statements of operations:

	Three Months Ended			Six Months Ended			
	June 30			June 30			Consolidated Statement of Operations Location
(in millions of U.S. dollars)	2023	2022		2023	2022		
Fixed maturities available for sale	\$ (107)	\$ (442)	\$	\$ (287)	\$ (578)		Net realized gains (losses)
Income tax benefit	16	77		34	99		Income tax expense
	\$ (91)	\$ (365)	\$	\$ (253)	\$ (479)		Net income
Cumulative foreign currency translation adjustment							
Cross-currency swaps	\$ 4	\$ —	\$	\$ 7	\$ —		Interest expense
Income tax expense	—	—		(1)	—		Income tax expense
	\$ 4	\$ —	\$	\$ 6	\$ —		Net income
Net gains (losses) of fair value hedging instruments							
Cross-currency swaps	\$ 11	\$ —	\$	\$ 31	\$ —		Net realized gains (losses)
Cross-currency swaps	(4)	—		(8)	—		Interest expense
Income tax expense	(2)	—		(5)	—		Income tax expense
	\$ 5	\$ —	\$	\$ 18	\$ —		Net income
Total amounts reclassified from AOCI	\$ (82)	\$ (365)	\$	\$ (229)	\$ (479)		

15. Share-based compensation

The Chubb Limited 2016 Long-Term Incentive Plan, as amended and restated (the Amended 2016 LTIP), permits grants of both incentive and non-qualified stock options principally at an option price per share equal to the grant date fair value of Chubb's Common Shares. Stock options are generally granted with a 3-year vesting period and a 10-year term. Stock options typically vest in equal annual installments over the respective vesting period, which is also the requisite service period. On February 23, 2023, Chubb granted 1,540,002 stock options with a weighted-average grant date fair value of \$51.32 each. The fair value of the options issued is estimated on the grant date using the Black-Scholes option pricing model.

The Amended 2016 LTIP also permits grants of service-based restricted stock and restricted stock units as well as performance-based restricted stock awards. Chubb generally grants service-based restricted stock and restricted stock units with a 4-year vesting period, based on a graded vesting schedule. The performance-based restricted stock awards granted comprise target awards and premium awards that cliff vest at the end of a 3-year performance period based on both tangible book value (shareholders' equity less goodwill and intangible assets, net of tax) per share growth and P&C combined ratio compared to a defined group of peer companies. Premium awards are subject to an additional vesting provision based on total shareholder return compared to our peer group. The restricted stock is principally granted at market close price on the grant date. On February 23, 2023, Chubb granted 785,319 service-based restricted stock awards, 315,545 service-based restricted stock units, and 407,825 performance-based stock awards to employees and officers with a grant date fair value of \$208.60 each. Each restricted stock unit represents our obligation to deliver to the holder one Common Share upon vesting.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

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16. Postretirement benefits

The components of net pension and other postretirement benefit costs (benefits) reflected in Net income in the Consolidated statements of operations were as follows:

	Pension Benefit Plans				Other Postretirement Benefit Plans	
	2023		2022		2023	2022
	U.S. Plans	Non-U.S. Plans	U.S. Plans	Non-U.S. Plans		
Three Months Ended June 30 (in millions of U.S. dollars)						
Service cost	\$ —	\$ 2	\$ —	\$ 1	\$ —	\$ —
Non-service cost (benefit):						
Interest cost	34	9	22	6	1	1
Expected return on plan assets	(56)	(13)	(71)	(11)	(1)	(1)
Amortization of net actuarial loss	—	—	—	—	—	—
Amortization of prior service cost	—	—	—	—	—	—
Settlements	—	—	—	—	—	—
Total non-service cost (benefit)	(22)	(4)	(49)	(5)	—	—
Net periodic benefit cost (benefit)	\$ (22)	\$ (2)	\$ (49)	\$ (4)	\$ —	\$ —

	Pension Benefit Plans				Other Postretirement Benefit Plans	
	2023		2022		2023	2022
	U.S. Plans	Non-U.S. Plans	U.S. Plans	Non-U.S. Plans		
Six Months Ended June 30 (in millions of U.S. dollars)						
Service cost:	\$ —	\$ 4	\$ —	\$ 2	\$ —	\$ —
Non-service cost (benefit):						
Interest cost	68	18	43	12	1	1
Expected return on plan assets	(112)	(25)	(142)	(22)	(2)	(1)
Amortization of net actuarial loss	—	—	—	—	—	—
Amortization of prior service cost	—	—	—	—	—	—
Settlements	—	—	—	—	—	—
Total non-service cost (benefit)	(44)	(7)	(99)	(10)	(1)	—
Net periodic benefit cost (benefit)	\$ (44)	\$ (3)	\$ (99)	\$ (8)	\$ (1)	\$ —

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The line items in which the service cost and non-service cost (benefit) components of net periodic cost (benefit) are included in the Consolidated statements of operations were as follows:

Three Months Ended June 30 (in millions of U.S. dollars)	Pension Benefit Plans		Other Postretirement Benefit Plans	
	2023	2022	2023	2022
Service cost:				
Losses and loss expenses	\$ —	\$ —	\$ —	\$ —
Administrative expenses	2	1	—	—
Total service cost	2	1	—	—
Non-service cost (benefit):				
Losses and loss expenses	(3)	(5)	—	—
Administrative expenses	(23)	(49)	—	—
Total non-service cost (benefit)	(26)	(54)	—	—
Net periodic benefit cost (benefit)	\$ (24)	\$ (53)	\$ —	\$ —

Six Months Ended June 30 (in millions of U.S. dollars)	Pension Benefit Plans		Other Postretirement Benefit Plans	
	2023	2022	2023	2022
Service cost:				
Losses and loss expenses	\$ —	\$ —	\$ —	\$ —
Administrative expenses	4	2	—	—
Total service cost	4	2	—	—
Non-service cost (benefit):				
Losses and loss expenses	(5)	(10)	—	—
Administrative expenses	(46)	(99)	(1)	—
Total non-service cost (benefit)	(51)	(109)	(1)	—
Net periodic benefit cost (benefit)	\$ (47)	\$ (107)	\$ (1)	\$ —

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17. Other income and expense

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Equity in net income (loss) of partially-owned entities ⁽¹⁾	\$ 120	\$ (72)	\$ 460	\$ 291
Gains (losses) from fair value changes in separate account assets ⁽²⁾	(12)	(18)	(37)	(49)
Federal excise and capital taxes	(6)	(5)	(11)	(9)
Other	(2)	(6)	(16)	(22)
Total	\$ 100	\$ (101)	\$ 396	\$ 211

⁽¹⁾ Equity in net income (loss) of partially-owned entities includes mark-to-market gains (losses) on private equities where we own more than three percent of \$(3) million and \$239 million for the three and six months ended June 30, 2023, respectively, and \$(134) million and \$121 million, respectively, for the prior year periods. This line item also includes net income of \$22 million and \$36 million attributable to our investments in Huatai for the three and six months ended June 30, 2023, respectively, compared to \$15 million and \$55 million, respectively, for the prior year periods.

⁽²⁾ Related to gains (losses) from fair value changes in separate account assets that do not qualify for separate account reporting under GAAP.

Other income and expense includes equity in net income of partially-owned entities, which includes our share of net income or loss, both underlying operating income and mark-to-market movement, related to partially-owned investment companies (private equity) and partially-owned insurance companies. Also included in Other income and expense are gains (losses) from fair value changes in separate account assets that do not qualify for separate account reporting under GAAP. The offsetting movement in the separate account liabilities is included in Policy benefits in the Consolidated statements of operations. Certain federal excise and capital taxes incurred as a result of capital management initiatives are included in Other income and expense as these are considered capital transactions and are excluded from underwriting results. Bad debt expense for uncollectible premiums is also included in Other income and expense.

18. Segment information

Chubb operates through six business segments: North America Commercial P&C Insurance, North America Personal P&C Insurance, North America Agricultural Insurance, Overseas General Insurance, Global Reinsurance, and Life Insurance. These segments distribute their products through various forms of brokers, agencies, and direct marketing programs. All business segments have established relationships with reinsurance intermediaries. Segment results for the three and six months ended June 30, 2023, include the results of Cigna's business in Asia, which are principally assigned to our Life Insurance segment and, to a lesser extent, our Overseas General Insurance segment according to the nature of the business written.

Management uses underwriting income (loss) as the basis for segment performance for its P&C operations. P&C underwriting income (loss) excludes the Life Insurance segment and is calculated by subtracting Losses and loss expenses, Policy benefits, Policy acquisition costs, and Administrative expenses from Net premiums earned. Segment income (loss) includes underwriting income (loss), net investment income (loss), and other operating income and expense items such as each segment's share of the operating income (loss) related to partially-owned entities and miscellaneous income and expense items for which the segments are held accountable. Our main measure of segment performance is Segment income (loss), which also includes amortization of purchased intangibles acquired by the segment. We determined that this definition of segment income (loss) is appropriate and aligns with how the business is managed. We continue to evaluate our segments as our business continues to evolve and may further refine our segments and segment income (loss) measures.

Revenue and expenses managed at the corporate level, including net realized gains (losses), market risk benefits gains (losses), interest expense, Cigna integration expenses, and income tax are reported within Corporate. Cigna integration expenses are one-time costs that are directly attributable to third-party consulting fees, employee-related retention costs, and other professional and legal fees primarily related to the acquisition of Cigna's business in Asia. These items are not allocated to the segment level as they are one-time in nature and are not related to the ongoing business activities of the segment. The Chief Executive Officer does not manage segment results or allocate resources to segments when considering these costs, and therefore are excluded from our definition of segment income (loss).

Certain items are presented in a different manner for segment reporting purposes than in the Consolidated Financial Statements. These items are reconciled to the consolidated presentation in the Segment measure reclass column below and include:

- Losses and loss expenses include realized gains and losses on crop derivatives. These derivatives were purchased to provide economic benefit, in a manner similar to reinsurance protection, in the event that a significant decline in

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commodity pricing impacts underwriting results. We view gains and losses on these derivatives as part of the results of our underwriting operations, and therefore realized gains (losses) from these derivatives are reclassified to losses and loss expenses.

- Policy benefits include fair value changes on separate accounts that do not qualify for separate accounting under GAAP. These gains and losses have been reclassified from Other (income) expense. We view gains and losses from fair value changes in both separate account assets and liabilities as part of the results of our underwriting operations, and therefore these gains and losses are reclassified to policy benefits.
- Net investment income includes investment income reclassified from Other (income) expense related to partially-owned investment companies (private equity partnerships) where our ownership interest is in excess of three percent. We view investment income from these equity-method private equity partnerships as net investment income for segment reporting purposes.

The following tables present the Statement of Operations by segment:

For the Three Months Ended June 30, 2023 (in millions of U.S. dollars)	North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Life Insurance	Corporate	Segment Measure Reclass	Chubb Consolidated
Net premiums written	\$ 5,155	\$ 1,581	\$ 767	\$ 2,885	\$ 293	\$ 1,270	\$ —	\$ —	\$ 11,951
Net premiums earned	4,606	1,357	635	2,908	237	1,256	—	—	10,999
Losses and loss expenses	2,871	846	507	1,267	91	35	61	5	5,683
Policy benefits	—	—	—	137	—	705	—	(12)	830
Policy acquisition costs	614	277	37	746	65	277	—	—	2,016
Administrative expenses	316	84	3	292	9	170	95	—	969
Underwriting income (loss)	805	150	88	466	72	69	(156)	7	1,501
Net investment income	726	86	14	200	48	161	3	(93)	1,145
Other (income) expense	5	(1)	(1)	(10)	—	(26)	14	(81)	(100)
Amortization expense of purchased intangibles	—	3	7	15	—	2	43	—	70
Segment income (loss)	\$ 1,526	\$ 234	\$ 96	\$ 661	\$ 120	\$ 254	\$ (210)	\$ (5)	\$ 2,676
Net realized gains (losses)							(309)	5	(304)
Market risk benefits gains (losses)							(7)	—	(7)
Interest expense							165	—	165
Cigna integration expenses							15	—	15
Income tax expense							392	—	392
Net income (loss)							\$ (1,098)	\$ —	\$ 1,793

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For the Three Months Ended June 30, 2022 (As Adjusted) (in millions of U.S. dollars)	North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Life Insurance	Corporate	Segment Measure Reclass	Chubb Consolidated
Net premiums written	\$ 4,665	\$ 1,426	\$ 738	\$ 2,640	\$ 262	\$ 562	\$ —	\$ —	\$ 10,293
Net premiums earned	4,248	1,271	573	2,696	222	539	—	—	9,549
Losses and loss expenses	2,446	773	478	1,143	139	27	191	9	5,206
Policy benefits	—	—	—	81	—	298	—	(18)	361
Policy acquisition costs	545	258	31	697	57	138	—	—	1,726
Administrative expenses	277	73	2	278	10	88	90	—	818
Underwriting income (loss)	980	167	62	497	16	(12)	(281)	9	1,438
Net investment income (loss)	522	64	7	162	76	109	(4)	(48)	888
Other (income) expense	—	1	—	3	1	(12)	138	(30)	101
Amortization expense of purchased intangibles	—	3	6	14	—	3	45	—	71
Segment income (loss)	\$ 1,502	\$ 227	\$ 63	\$ 642	\$ 91	\$ 106	\$ (468)	\$ (9)	\$ 2,154
Net realized gains (losses)							(512)	9	(503)
Market risk benefits gains (losses)							(33)	—	(33)
Interest expense							134	—	134
Cigna integration expenses							3	—	3
Income tax expense							291	—	291
Net income (loss)							\$ (1,441)	\$ —	\$ 1,190

For the Six Months Ended June 30, 2023 (in millions of U.S. dollars)	North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Life Insurance	Corporate	Segment Measure Reclass	Chubb Consolidated
Net premiums written	\$ 9,443	\$ 2,877	\$ 1,060	\$ 6,148	\$ 570	\$ 2,563	\$ —	\$ —	\$ 22,661
Net premiums earned	8,975	2,677	794	5,694	481	2,520	—	—	21,141
Losses and loss expenses	5,600	1,734	647	2,504	203	67	72	4	10,831
Policy benefits	—	—	—	247	—	1,417	—	(37)	1,627
Policy acquisition costs	1,227	549	52	1,459	127	550	—	—	3,964
Administrative expenses	611	163	6	572	18	337	192	—	1,899
Underwriting income (loss)	1,537	231	89	912	133	149	(264)	33	2,820
Net investment income	1,424	168	31	388	97	314	14	(184)	2,252
Other (income) expense	12	—	—	(19)	(1)	(41)	(200)	(147)	(396)
Amortization expense of purchased intangibles	—	5	13	33	—	6	85	—	142
Segment income (loss)	\$ 2,949	\$ 394	\$ 107	\$ 1,286	\$ 231	\$ 498	\$ (135)	\$ (4)	\$ 5,326
Net realized gains (losses)							(385)	4	(381)
Market risk benefits gains (losses)							(122)	—	(122)
Interest expense							325	—	325
Cigna integration expenses							37	—	37
Income tax expense							776	—	776
Net income (loss)							\$ (1,780)	\$ —	\$ 3,685

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For the Six Months Ended June 30, 2022 (As Adjusted) (in millions of U.S. dollars)	North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Life Insurance	Corporate	Segment Measure Reclass	Chubb Consolidated
Net premiums written	\$ 8,704	\$ 2,606	\$ 800	\$ 5,719	\$ 515	\$ 1,138	\$ —	\$ —	\$ 19,482
Net premiums earned	8,362	2,518	544	5,324	457	1,081	—	—	18,286
Losses and loss expenses	4,943	1,486	386	2,439	254	51	201	10	9,770
Policy benefits	—	—	—	174	—	609	—	(49)	734
Policy acquisition costs	1,118	518	43	1,376	119	271	—	—	3,445
Administrative expenses	542	142	1	547	19	172	173	—	1,596
Underwriting income (loss)	1,759	372	114	788	65	(22)	(374)	39	2,741
Net investment income (loss)	1,011	123	14	309	161	212	(9)	(111)	1,710
Other (income) expense	6	2	—	5	1	(42)	(121)	(62)	(211)
Amortization expense of purchased intangibles	—	5	13	28	—	5	91	—	142
Segment income (loss)	\$ 2,764	\$ 488	\$ 115	\$ 1,064	\$ 225	\$ 227	\$ (353)	\$ (10)	\$ 4,520
Net realized gains (losses)							(490)	10	(480)
Market risk benefits gains (losses)							16	—	16
Interest expense							266	—	266
Cigna integration expenses							3	—	3
Income tax expense							644	—	644
Net income (loss)							\$ (1,740)	\$ —	\$ 3,143

Underwriting assets are reviewed in total by management for purposes of decision-making. Other than Unpaid losses and loss expenses, Future policy benefits, Reinsurance recoverables, DAC, VOBA, Goodwill and Other intangible assets, Chubb does not allocate assets to its segments.

19. Earnings per share

	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
(in millions of U.S. dollars, except share and per share data)	As Adjusted		As Adjusted	
Numerator:				
Net income	\$ 1,793	\$ 1,190	\$ 3,685	\$ 3,143
Denominator:				
Denominator for basic earnings per share:				
Weighted-average shares outstanding	412,487,400	421,624,660	413,383,304	423,703,328
Denominator for diluted earnings per share:				
Share-based compensation plans	3,084,476	3,793,686	3,387,233	3,982,116
Weighted-average shares outstanding and assumed conversions	415,571,876	425,418,346	416,770,537	427,685,444
Basic earnings per share	\$ 4.35	\$ 2.82	\$ 8.92	\$ 7.42
Diluted earnings per share	\$ 4.32	\$ 2.80	\$ 8.84	\$ 7.35
Potential anti-dilutive share conversions	3,143,311	1,690,893	2,190,304	1,196,180

Excluded from weighted-average shares outstanding and assumed conversions is the impact of securities that would have been anti-dilutive during the respective periods. These securities consisted of stock options in which the underlying exercise prices

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – continued (Unaudited)

Chubb Limited and Subsidiaries

were greater than the average market prices of our Common Shares. Refer to Note 12 to the Consolidated Financial Statements of our 2022 Form 10-K for additional information on stock options.

ITEM 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following is a discussion of our results of operations, financial condition, and liquidity and capital resources as of and for the three and six months ended June 30, 2023.

All comparisons in this discussion are to the corresponding prior year period unless otherwise indicated. All dollar amounts are rounded. However, percent changes and ratios are calculated using whole dollars. Accordingly, calculations using rounded dollars may differ.

Our results of operations and cash flows for any interim period are not necessarily indicative of our results for the full year. This discussion should be read in conjunction with our consolidated financial statements and related notes and our Management's Discussion and Analysis of Financial Condition and Results of Operations included in our Annual Report on Form 10-K for the year ended December 31, 2022 (2022 Form 10-K).

Other Information

We routinely post important information for investors on our website (investors.chubb.com). We use this website as a means of disclosing material, non-public information and for complying with our disclosure obligations under Securities and Exchange Commission (SEC) Regulation FD (Fair Disclosure). Accordingly, investors should monitor the Investor Information portion of our website, in addition to following our press releases, SEC filings, public conference calls, and webcasts. The information contained on, or that may be accessed through, our website is not incorporated by reference into, and is not a part of, this report.

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Forward-Looking Statements

The Private Securities Litigation Reform Act of 1995 provides a “safe harbor” for forward-looking statements. Any written or oral statements made by us or on our behalf may include forward-looking statements that reflect our current views with respect to future events and financial performance. The words “believe,” “anticipate,” “estimate,” “project,” “should,” “plan,” “expect,” “intend,” “hope,” “feel,” “foresee,” “will likely result,” “will continue,” and variations thereof and similar expressions, identify forward-looking statements. These forward-looking statements are subject to certain risks, uncertainties, and other factors that could, should potential events occur, cause actual results to differ materially from such statements. These risks, uncertainties, and other factors, which are described in more detail elsewhere herein and in other documents we file with the U.S. Securities and Exchange Commission (SEC), include but are not limited to:

- actual amount of new and renewal business, premium rates, underwriting margins, market acceptance of our products, and risks associated with the introduction of new products and services and entering new markets; the competitive environment in which we operate, including trends in pricing or in policy terms and conditions, which may differ from our projections and changes in market conditions that could render our business strategies ineffective or obsolete;
- losses arising out of natural or man-made catastrophes; actual loss experience from insured or reinsured events and the timing of claim payments; the uncertainties of the loss-reserving and claims-settlement processes, including the difficulties associated with assessing environmental damage and asbestos-related latent injuries, the impact of aggregate-policy-coverage limits, the impact of bankruptcy protection sought by various asbestos producers and other related businesses, and the timing of loss payments;
- changes in the distribution or placement of risks due to increased consolidation of insurance and reinsurance brokers; material differences between actual and expected assessments for guaranty funds and mandatory pooling arrangements; the ability to collect reinsurance recoverable, credit developments of reinsurers, and any delays with respect thereto and changes in the cost, quality, or availability of reinsurance;
- uncertainties relating to governmental, legislative and regulatory policies, developments, actions, investigations, and treaties; judicial decisions and rulings, new theories of liability, legal tactics, and settlement terms; the effects of data privacy or cyber laws or regulation; global political conditions and possible business disruption or economic contraction that may result from such events;
- severity of pandemics and related risks, and their effects on our business operations and claims activity, and any adverse impact to our insureds, brokers, agents, and employees; actual claims may exceed our best estimate of ultimate insurance losses incurred which could change including as a result of, among other things, the impact of legislative or regulatory actions taken in response to a pandemic;
- developments in global financial markets, including changes in interest rates, stock markets, and other financial markets; increased government involvement or intervention in the financial services industry; the cost and availability of financing, and foreign currency exchange rate fluctuations; changing rates of inflation; and other general economic and business conditions, including the depth and duration of potential recession;
- the availability of borrowings and letters of credit under our credit facilities; the adequacy of collateral supporting funded high deductible programs; the amount of dividends received from subsidiaries;
- changes to our assessment as to whether it is more likely than not that we will be required to sell, or have the intent to sell, available for sale fixed maturity investments before their anticipated recovery;
- actions that rating agencies may take from time to time, such as financial strength or credit ratings downgrades or placing these ratings on credit watch negative or the equivalent;
- the effects of public company bankruptcies and accounting restatements, as well as disclosures by and investigations of public companies relating to possible accounting irregularities, and other corporate governance issues;
- acquisitions made performing differently than expected, our failure to realize anticipated expense-related efficiencies or growth from acquisitions, the impact of acquisitions on our pre-existing organization, and risks and uncertainties relating to our planned purchases of additional interests in Huatai Insurance Group Co., Ltd. (Huatai Group), including our ability to receive Chinese insurance regulatory approval and complete the purchases;
- risks associated with being a Swiss corporation, including reduced flexibility with respect to certain aspects of capital management and the potential for additional regulatory burdens; share repurchase plans and share cancellations;
- loss of the services of any of our executive officers without suitable replacements being recruited in a reasonable time frame;

- the ability of our technology resources, including information systems and security, to perform as anticipated such as with respect to preventing material information technology failures or third-party infiltrations or hacking resulting in consequences adverse to Chubb or its customers or partners; the ability of our company to increase use of data analytics and technology as part of our business strategy and adapt to new technologies; and
- management's response to these factors and actual events (including, but not limited to, those described above).

You are cautioned not to place undue reliance on these forward-looking statements, which speak only as of their dates. We undertake no obligation to publicly update or review any forward-looking statements, whether as a result of new information, future events or otherwise.

Overview

Chubb Limited is the Swiss-incorporated holding company of the Chubb Group of Companies. Chubb Limited, which is headquartered in Zurich, Switzerland, and its direct and indirect subsidiaries (collectively, the Chubb Group of Companies, Chubb, we, us, or our) are a global insurance and reinsurance organization, serving the needs of a diverse group of clients worldwide. At June 30, 2023, we had total assets of \$205 billion and shareholders' equity of \$53 billion. Chubb was incorporated in 1985 at which time it opened its first business office in Bermuda and continues to maintain operations in Bermuda. We operate through six business segments: North America Commercial P&C Insurance, North America Personal P&C Insurance, North America Agricultural Insurance, Overseas General Insurance, Global Reinsurance, and Life Insurance. For more information on our segments refer to "Segment Information" under Item 1 in our 2022 Form 10-K.

Consolidated Operating Results – Three and Six Months Ended June 30, 2023 and 2022

(in millions of U.S. dollars, except for percentages)	Three Months Ended			Six Months Ended		
	June 30		% Change	June 30		% Change
	2023	2022	Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22
Net premiums written	\$ 11,951	\$ 10,293	16.1 %	\$ 22,661	\$ 19,482	16.3 %
Net premiums written - constant dollars ⁽¹⁾			16.8 %			17.5 %
Net premiums earned	10,999	9,549	15.2 %	21,141	18,286	15.6 %
Net investment income	1,145	888	28.9 %	2,252	1,710	31.7 %
Net realized gains (losses)	(304)	(503)	(39.5)%	(381)	(480)	(20.5)%
Market risk benefits gains (losses)	(7)	(33)	(79.9)%	(122)	16	NM
Total revenues	11,833	9,901	19.5 %	22,890	19,532	17.2 %
Losses and loss expenses	5,683	5,206	9.2 %	10,831	9,770	10.9 %
Policy benefits	830	361	130.2 %	1,627	734	121.6 %
Policy acquisition costs	2,016	1,726	16.8 %	3,964	3,445	15.0 %
Administrative expenses	969	818	18.5 %	1,899	1,596	19.0 %
Interest expense	165	134	22.8 %	325	266	22.2 %
Other (income) expense	(100)	101	NM	(396)	(211)	88.1 %
Amortization of purchased intangibles	70	71	(2.0)%	142	142	—
Cigna integration expenses	15	3	NM	37	3	NM
Total expenses	9,648	8,420	14.6 %	18,429	15,745	17.0 %
Income before income tax	2,185	1,481	47.6 %	4,461	3,787	17.8 %
Income tax expense	392	291	34.8 %	776	644	20.4 %
Net income	\$ 1,793	\$ 1,190	50.7 %	\$ 3,685	\$ 3,143	17.2 %

NM - not meaningful

⁽¹⁾ On a constant-dollar basis. Amounts are calculated by translating prior period results using the same local currency exchange rates as the comparable current period.

Financial Highlights for the Three Months Ended June 30, 2023

- Net income was \$1.8 billion compared with \$1.2 billion in the prior year period. Net income in the current quarter was driven by strong underwriting results, including growth in net premiums earned, and record net investment income. The acquisition of Cigna's Asian business in 2022 added to net income. In addition, there were after-tax mark-to-market gains on public and private equities of \$52 million in the current quarter compared to losses of \$489 million in the prior year.
- Consolidated net premiums written were \$12.0 billion, up 16.1 percent, or 16.8 percent in constant dollars. P&C net premiums written were up 9.8 percent, or 10.4 percent in constant dollars, with commercial and consumer lines up 10.4 percent and 10.5 percent, respectively. Life net premiums written up were up 126.1 percent, or 127.6 percent in constant dollars, driven substantially by the acquisition of Cigna's Asian business.
- Consolidated net premiums earned were \$11.0 billion, up 15.2 percent, or 15.8 percent in constant dollars. P&C net premiums earned increased 8.1 percent, or 8.7 percent in constant dollars, with commercial and consumer lines up 9.1 percent and 7.7 percent, respectively.
- Total pre-tax and after-tax catastrophe losses were \$400 million (4.1 percentage points of the P&C combined ratio) and \$319 million, respectively, compared with \$291 million (3.2 percentage points of the P&C combined ratio) and \$241 million, respectively, in the prior year period. Catastrophe losses in the current quarter comprise 25 individual events, primarily in North America.
- Total pre-tax and after-tax favorable prior period development were \$200 million (2.0 percentage points of the P&C combined ratio) and \$155 million, respectively. This compares with \$247 million (2.7 percentage points of the P&C combined ratio) and \$205 million, respectively, in the prior year period.
- The P&C combined ratio was 85.4 percent compared with 84.0 percent in the prior year period. The current year P&C combined ratio increased primarily due to higher catastrophe losses and lower favorable prior period development. The P&C current accident year (CAY) combined ratio excluding catastrophe losses was 83.3 percent compared with 83.5 percent in the prior year period.
- Net investment income was a record \$1.1 billion compared with \$888 million in the prior year period, primarily reflecting higher reinvestment rates.
- Operating cash flow was \$2.5 billion compared with \$2.7 billion in the prior year period.
- Shareholders' equity remained essentially flat in the quarter, as net income of \$1.8 billion and cumulative translation gains of \$216 million were partially offset by net unrealized losses on investments of \$1.2 billion from higher interest rates. In addition, shareholders' equity reflects total capital returned to shareholders in the quarter of \$1.1 billion, including share repurchases of \$724 million, at an average purchase price of \$197.04 per share, and dividends of \$354 million. We previously announced that our Board of Directors approved a new share repurchase program of up to \$5 billion with no expiration date, effective July 1, 2023.
- Effective January 1, 2023, we adopted the Long-Duration Targeted Improvements (LDTI) U.S. GAAP guidance, which principally impacted the Life Insurance segment. Financial data for the prior reporting periods in this report are adjusted, as applicable, and are presented in accordance with the new guidance. The impact to 2022 results was immaterial.
- On July 1, 2023 we closed on an additional 5.4% ownership interests in Huatai Group, a Chinese financial services holding company, that brings our total aggregate ownership to approximately 69.6%. We will apply consolidation accounting to our Huatai Group investment effective in the third quarter of 2023. Refer to Note 2 to the Consolidated Financial Statements for additional information.

Net Premiums Written	Three Months Ended June 30		% Change		Six Months Ended June 30		% Change	
	2023	2022	Q-23 vs. Q-22	C\$ Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22	C\$ YTD-23 vs. YTD-22
(in millions of U.S. dollars, except for percentages)								
Commercial casualty	\$ 2,024	\$ 1,773	14.1 %	15.2 %	\$ 3,927	\$ 3,610	8.8 %	10.2 %
Workers' compensation	537	546	(1.6)%	(1.6)%	1,155	1,149	0.5 %	0.5 %
Financial lines	1,244	1,275	(2.3)%	(1.5)%	2,400	2,457	(2.3)%	(1.0)%
Surety	174	172	1.3 %	1.1 %	334	325	2.8 %	2.6 %
Commercial multiple peril ⁽¹⁾	391	341	14.3 %	14.3 %	731	631	15.8 %	15.8 %
Property and other short-tail lines	2,346	1,970	19.1 %	20.4 %	4,371	3,747	16.7 %	18.5 %
Total Commercial P&C lines	6,716	6,077	10.5 %	11.4 %	12,918	11,919	8.4 %	9.6 %
Agriculture	767	738	4.0 %	4.0 %	1,060	800	32.5 %	32.5 %
Personal automobile	460	423	8.8 %	4.9 %	887	835	6.2 %	2.9 %
Personal homeowners	1,174	1,057	11.1 %	11.7 %	2,076	1,887	10.0 %	10.7 %
Personal other	485	460	5.2 %	6.6 %	992	955	3.8 %	6.6 %
Total Personal lines	2,119	1,940	9.2 %	9.0 %	3,955	3,677	7.6 %	7.8 %
Global A&H - P&C	786	714	10.1 %	12.1 %	1,595	1,433	11.3 %	14.2 %
Reinsurance lines	293	262	11.6 %	12.4 %	570	515	10.6 %	11.4 %
Total Property and Casualty lines	10,681	9,731	9.8 %	10.4 %	20,098	18,344	9.6 %	10.7 %
Global A&H - Life	811	244	233.3 %	237.3 %	1,620	500	224.1 %	227.9 %
Life	459	318	44.1 %	44.4 %	943	638	47.8 %	49.8 %
Life Insurance	1,270	562	126.1 %	127.6 %	2,563	1,138	125.3 %	128.1 %
Total consolidated	\$ 11,951	\$ 10,293	16.1 %	16.8 %	\$ 22,661	\$ 19,482	16.3 %	17.5 %

⁽¹⁾ Commercial multiple peril represents retail package business (property and general liability).

The increase in consolidated net premiums written for the three and six months ended June 30, 2023, reflects growth across most product lines driven by strong premium retention, including rate and exposure increases, and strong new business. In addition, growth for the three and six months ended June 30, 2023 includes the results of Cigna's business acquired during the third quarter of 2022.

- Commercial casualty grew in all regions globally, principally in North America and Europe, driven by strong premium retention, including both rate and exposure increases, and strong new business.
- Workers' compensation decreased in the quarter from lower new business in North America.
- Financial lines decreased, reflecting lower renewal business in North America.
- Commercial multiple peril increased due to strong premium retention, including both rate and exposure increases, and strong new business in North America.
- Property and other short-tail lines grew globally due to strong premium retention, including both rate and exposure increases, and strong new business.
- Agriculture increased due to underlying growth in crop insurance, reflecting higher commodity prices, principally from our fall-seeded crops, and strong new business in Chubb Agribusiness. In addition, the prior year included a return of premium to the U.S. government of \$161 million.
- Personal lines grew principally in North America and Europe, with growth strongest in homeowners.
- Global A&H – P&C increased due to growth in Asia, primarily due to the acquisition of Cigna's business in 2022, and higher new business and increased consumer activity, including higher travel volume, in Europe, Latin America, and Japan.
- Reinsurance lines increased reflecting new business and rate increases in property, partially offset by lower catastrophe reinstatement premiums.

- Global A&H – Life increased due to the acquisition of Cigna's business in Asia. Growth in our North American Combined Insurance supplemental A&H business was more than offset by the non-renewal of a large program.
- Life increased primarily due to the acquisition of Cigna's business in Asia. In addition, there was growth in Latin America and Asia, principally in Hong Kong.

For additional information on net premiums written, refer to the segment results discussions.

Net Premiums Earned

Net premiums earned for short-duration contracts, typically P&C contracts, generally reflect the portion of net premiums written that was recorded as revenues for the period as the exposure periods expire. Net premiums earned for long-duration contracts, typically traditional life contracts, generally are recognized as earned when due from policyholders. For the three months ended June 30, 2023, net premiums earned increased \$1.5 billion, up 15.2 percent, or 15.8 percent in constant dollars. P&C net premiums earned increased 8.1 percent, or 8.7 percent in constant dollars, comprising growth in commercial and consumer lines of 9.1 percent and 7.7 percent, respectively. For the six months ended June 30, 2023, net premiums earned increased \$2.9 billion, up 15.6 percent, or 16.7 percent in constant dollars. P&C net premiums earned increased 8.2 percent, or 9.2 percent in constant dollars, comprising growth in commercial and consumer lines of 9.7 percent and 7.8 percent, respectively.

Catastrophe Losses and Prior Period Development

We generally define catastrophe loss events consistent with the definition of the Property Claims Service (PCS) for events in the U.S. and Canada. PCS defines a catastrophe as an event that causes damage of \$25 million or more in insured losses and affects a significant number of insureds. For events outside of the U.S. and Canada, we generally use a similar definition.

Prior period development (PPD) arises from changes to loss estimates recognized in the current year that relate to loss events that occurred in previous calendar years and excludes the effect of losses from the development of earned premium from previous accident years. PPD includes adjustments relating to either profit commission reserves or policyholder dividend reserves based on actual claim experience that develops after the policy period ends. The expense adjustments correlate to the prior period loss development on these same policies. Refer to the Non-GAAP Reconciliation section for further information on reinstatement premiums on catastrophe losses and adjustments to prior period development.

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Catastrophe losses	\$ 400	\$ 291	\$ 858	\$ 624
Favorable prior period development	\$ 200	\$ 247	\$ 396	\$ 487

Catastrophe losses through June 30, 2023 and 2022, were primarily from the following events:

- 2023: Severe weather-related events in the U.S. and internationally; and New Zealand storms.
- 2022: Severe weather-related events in the U.S. and internationally, Australia storms, and Colorado wildfires.

Pre-tax net favorable PPD for the three months ended June 30, 2023, was \$200 million, including adverse development of \$49 million for molestation claims.

Pre-tax net favorable PPD for the six months ended June 30, 2023, was \$396 million, including adverse development of \$49 million for molestation claims. Excluding the adverse development, we had net favorable development of \$445 million with 23 percent in long-tail lines, principally from accident years 2011 through 2019, and 77 percent in short-tail lines, primarily in A&H and surety lines.

Pre-tax net favorable PPD for the three months ended June 30, 2022, was \$247 million, including adverse development of \$155 million for molestation claims, predominantly revival statute-related. Excluding the adverse development, we had favorable development of \$402 million, with 59 percent in long-tail lines, principally from accident years 2017 and prior, and 41 percent in short-tail lines, primarily in A&H, specialty, and automobile lines.

Pre-tax net favorable PPD for the six months ended June 30, 2022, was \$487 million, including adverse development of \$155 million for molestation claims described above, predominantly revival statute-related. This molestation adverse development included no change to the previously established reserve for the Boy Scouts of America settlement. Excluding the adverse

development, we had favorable development of \$642 million with 39 percent in long-tail lines, principally from accident years 2017 and prior, and 61 percent in short-tail lines, primarily in A&H, property, and specialty lines.

Refer to the prior period development discussion in Note 8 to the Consolidated Financial Statements for additional information.

P&C Combined Ratio

In evaluating our segments, excluding Life Insurance financial performance, we use the P&C combined ratio. We calculate this ratio by dividing the respective expense amounts by net premiums earned. We do not calculate this ratio for the Life Insurance segment as we do not use this measure to monitor or manage that segment. A P&C combined ratio under 100 percent indicates underwriting income, and a combined ratio exceeding 100 percent indicates underwriting loss.

	Three Months Ended		Six Months Ended	
	June 30		June 30	
	2023	2022	2023	2022
Loss and loss expense ratio				
CAY loss ratio excluding catastrophe losses	57.4 %	57.8 %	56.7 %	57.1 %
Catastrophe losses	4.1 %	3.2 %	4.6 %	3.6 %
Prior period development	(2.2)%	(2.7)%	(2.2)%	(3.3)%
Loss and loss expense ratio	59.3 %	58.3 %	59.1 %	57.4 %
Policy acquisition cost ratio	17.9 %	17.6 %	18.3 %	18.5 %
Administrative expense ratio	8.2 %	8.1 %	8.4 %	8.3 %
P&C Combined ratio	85.4 %	84.0 %	85.8 %	84.2 %

The loss and loss expense ratio increased for the three and six months ended June 30, 2023, reflecting higher catastrophe losses and lower favorable prior period development. The CAY loss ratio excluding catastrophe losses decreased for the three and six months ended June 30, 2023, primarily from a higher percentage of net premiums earned from lines with a lower loss ratio.

The policy acquisition cost ratio increased for the three months ended June 30, 2023, primarily due to lower ceded commissions and the absence of earned premium adjustments recorded in prior year that have a lower expense ratio. The policy acquisition cost ratio decreased for the six months ended June 30, 2023, due to the favorable impact of higher net premiums earned, partially offset by lower ceded commissions.

The administrative expense ratio remained essentially flat for the three and six months ended June 30, 2023, as higher pension expenses, which will continue through 2023, is mostly offset by the favorable impact of higher net premiums earned. The increase in pension expense reflects the adverse impact of market conditions in 2022.

Policy benefits

Policy benefits represent losses on contracts classified as long-duration and generally include accident and supplemental health products, term and whole life products, endowment products, and annuities. In addition, Policy benefits for the three and six months ended June 30, 2023 includes the results of Cigna's business acquired during the third quarter of 2022. Refer to the Life Insurance segment operating results section for further discussion.

For the three months ended June 30, 2023 and 2022, Policy benefits were \$830 million and \$361 million, respectively, which included (gains) losses from fair value changes in separate account liabilities that do not qualify for separate account reporting under GAAP of \$(12) million and \$(18) million, respectively. The offsetting movements of these liabilities are recorded in Other (income) expense on the Consolidated statements of operations. Excluding the separate account gains and losses, Policy benefits were \$842 million and \$379 million for the three months ended June 30, 2023 and 2022, respectively.

For the six months ended June 30, 2023 and 2022, Policy benefits were \$1,627 million and \$734 million, respectively, which included (gains) losses from fair value changes in separate account liabilities that do not qualify for separate account reporting under GAAP of \$(37) million and \$(49) million, respectively. The offsetting movements of these liabilities are recorded in Other (income) expense on the Consolidated statements of operations. Excluding the separate account gains and losses, Policy benefits were \$1,664 million and \$783 million for the six months ended June 30, 2023 and 2022, respectively.

Refer to the respective sections that follow for a discussion of Net investment income, Other (income) expense, Net realized gains (losses), Amortization of purchased intangibles, and Income tax expense.

Segment Operating Results – Three and Six Months Ended June 30, 2023 and 2022

We operate through six business segments: North America Commercial P&C Insurance, North America Personal P&C Insurance, North America Agricultural Insurance, Overseas General Insurance, Global Reinsurance, and Life Insurance. For more information on our segments refer to “Segment Information” under Item 1 in our 2022 Form 10-K.

North America Commercial P&C Insurance

The North America Commercial P&C Insurance segment comprises operations that provide P&C insurance and services to large, middle market, and small commercial businesses in the U.S., Canada, and Bermuda. This segment includes our North America Major Accounts and Specialty Insurance division (large corporate accounts and wholesale business), and the North America Commercial Insurance division (principally middle market and small commercial accounts).

	Three Months Ended			% Change	Six Months Ended			% Change
	June 30				June 30			
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22		2023	2022	YTD-23 vs. YTD-22	
Net premiums written	\$ 5,155	\$ 4,665	10.5 %		\$ 9,443	\$ 8,704	8.5 %	
Net premiums earned	4,606	4,248	8.4 %		8,975	8,362	7.3 %	
Losses and loss expenses	2,871	2,446	17.4 %		5,600	4,943	13.3 %	
Policy acquisition costs	614	545	12.6 %		1,227	1,118	9.7 %	
Administrative expenses	316	277	13.8 %		611	542	12.7 %	
Underwriting income	805	980	(17.9)%		1,537	1,759	(12.6)%	
Net investment income	726	522	39.1 %		1,424	1,011	40.8 %	
Other (income) expense	5	—	NM		12	6	88.2 %	
Segment income	\$ 1,526	\$ 1,502	1.6 %		\$ 2,949	\$ 2,764	6.7 %	
Loss and loss expense ratio:								
CAY loss ratio excluding catastrophe losses	60.7 %	61.4 %	(0.7) pts		60.6 %	61.5 %	(0.9) pts	
Catastrophe losses	5.0 %	2.9 %	2.1 pts		4.4 %	2.4 %	2.0 pts	
Prior period development	(3.4)%	(6.7)%	3.3 pts		(2.6)%	(4.8)%	2.2 pts	
Loss and loss expense ratio	62.3 %	57.6 %	4.7 pts		62.4 %	59.1 %	3.3 pts	
Policy acquisition cost ratio	13.3 %	12.8 %	0.5 pts		13.7 %	13.4 %	0.3 pts	
Administrative expense ratio	6.9 %	6.5 %	0.4 pts		6.8 %	6.5 %	0.3 pts	
Combined ratio	82.5 %	76.9 %	5.6 pts		82.9 %	79.0 %	3.9 pts	

NM - Not meaningful

Catastrophe Losses and Prior Period Development

	Three Months Ended		Six Months Ended	
	June 30		June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
Catastrophe losses	\$ 231	\$ 124	\$ 393	\$ 205
Favorable prior period development	\$ 146	\$ 287	\$ 218	\$ 395

Catastrophe losses through June 30, 2023 and 2022, were primarily from the following events:

- 2023: U.S. flooding, hail, tornadoes, wind events, and winter storm losses.
- 2022: Severe weather-related events and winter storm losses in the U.S.

Refer to Note 8 in the Consolidated Financial Statements for detail on prior period development.

Premiums

Net premiums written increased \$490 million, or 10.5 percent, and \$739 million, or 8.5 percent for the three and six months ended June 30, 2023, respectively, reflecting strong premium retention, including both rate and exposure increases, and strong new business. The increase in premiums was across most lines of business, most notably in property, but also in casualty excluding workers' compensation and commercial multiple peril lines. This growth was partially offset by a decline in financial lines due to lower renewal business.

Net premiums earned increased \$358 million, or 8.4 percent, and \$613 million, or 7.3 percent for the three and six months ended June 30, 2023, respectively, reflecting the growth in net premiums written described above.

Combined Ratio

The loss and loss expense ratio increased for the three and six months ended June 30, 2023, primarily from higher catastrophe losses and lower favorable prior period development. Refer to Note 8 in the Consolidated Financial Statements for detail on prior period development. The CAY loss ratio excluding catastrophe losses decreased for the three and six months ended June 30, 2023, primarily from a higher percentage of net premiums earned from property lines that have a lower loss ratio.

The policy acquisition cost ratio increased for the three and six months ended June 30, 2023, primarily due to lower ceded commissions.

The administrative expense ratio increased for the three and six months ended June 30, 2023, primarily from higher pension expenses which will continue through 2023, partially offset by the favorable impact of higher net premiums earned. The increase in pension expense reflects the adverse impact of market conditions in 2022.

North America Personal P&C Insurance

The North America Personal P&C Insurance segment comprises operations that provide high net worth personal lines products, including homeowners and complementary products such as valuable articles, excess liability, automobile, and recreational marine insurance and services in the U.S. and Canada.

	Three Months Ended June 30			% Change	Six Months Ended June 30			% Change
(in millions of U.S. dollars, except for percentages)	2023	2022		Q-23 vs. Q-22	2023	2022		YTD-23 vs. YTD-22
Net premiums written	\$ 1,581	\$ 1,426		10.8 %	\$ 2,877	\$ 2,606		10.4 %
Net premiums earned	1,357	1,271		6.7 %	2,677	2,518		6.3 %
Losses and loss expenses	846	773		9.4 %	1,734	1,486		16.7 %
Policy acquisition costs	277	258		7.1 %	549	518		6.1 %
Administrative expenses	84	73		14.0 %	163	142		14.1 %
Underwriting income	150	167		(9.8)%	231	372		(37.9)%
Net investment income	86	64		33.3 %	168	123		36.1 %
Other (income) expense	(1)	1		NM	—	2		NM
Amortization of purchased intangibles	3	3		—	5	5		—
Segment income	\$ 234	\$ 227		2.9 %	\$ 394	\$ 488		(19.4)%
Loss and loss expense ratio:								
CAY loss ratio excluding catastrophe losses	54.0 %	53.6 %		0.4 pts	53.9 %	53.4 %		0.5 pts
Catastrophe losses	10.9 %	7.4 %		3.5 pts	11.4 %	7.7 %		3.7 pts
Prior period development	(2.5)%	(0.2)%		(2.3) pts	(0.5)%	(2.1)%		1.6 pts
Loss and loss expense ratio	62.4 %	60.8 %		1.6 pts	64.8 %	59.0 %		5.8 pts
Policy acquisition cost ratio	20.4 %	20.3 %		0.1 pts	20.5 %	20.5 %		— pts
Administrative expense ratio	6.1 %	5.8 %		0.3 pts	6.1 %	5.7 %		0.4 pts
Combined ratio	88.9 %	86.9 %		2.0 pts	91.4 %	85.2 %		6.2 pts

NM - Not meaningful

Catastrophe Losses and Prior Period Development

	Three Months Ended June 30		Six Months Ended June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
Catastrophe losses	\$ 147	\$ 95	\$ 306	\$ 195
Favorable prior period development	\$ 33	\$ 3	\$ 16	\$ 54

Catastrophe losses through June 30, 2023 and 2022, were primarily from the following events:

- 2023: U.S. flooding, hail, tornadoes, wind events, and winter storm losses.
- 2022: Severe weather-related events in the U.S. and Colorado wildfires.

Refer to Note 8 in the Consolidated Financial Statements for detail on prior period development.

Premiums

Net premiums written increased \$155 million, or 10.8 percent, and \$271 million, or 10.4 percent for the three and six months ended June 30, 2023, respectively, primarily driven by record new business and strong renewal retention, from both rate and exposure increases, across all lines, principally in homeowners.

Net premiums earned increased \$86 million, or 6.7 percent, and \$159 million, or 6.3 percent for the three and six months ended June 30, 2023, respectively, reflecting the growth in net premiums written described above.

Combined Ratio

The loss and loss expense ratio increased for the three months ended June 30, 2023, primarily reflecting higher catastrophe losses, partially offset by higher favorable prior period development. The loss and loss expense ratio increased for the six months ended June 30, 2023, primarily reflecting higher catastrophe losses in the current year, and a reserve release in the prior year due to lower than expected paid and reported loss activity. The CAY loss ratio excluding catastrophe losses increased for the three and six months ended June 30, 2023, primarily reflecting higher auto and excess liability losses, partially offset by homeowners earned rate and exposure exceeding loss cost trends.

The administrative expense ratio increased for the three and six months ended June 30, 2023, primarily from higher pension expenses which will continue through 2023, partially offset by the favorable impact of higher net premiums earned. The increase in pension expense reflects the adverse impact of market conditions in 2022.

North America Agricultural Insurance

The North America Agricultural Insurance segment comprises our North American based businesses that provide a variety of coverages in the U.S. and Canada including crop insurance, primarily Multiple Peril Crop Insurance (MPCI) and crop-hail through Rain and Hail Insurance Service, Inc. (Rain and Hail), as well as farm and ranch and specialty P&C commercial insurance products and services through our Chubb Agribusiness unit.

	Three Months Ended June 30			Six Months Ended June 30		
	% Change			% Change		
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22
Net premiums written	\$ 767	\$ 738	4.0 %	\$ 1,060	\$ 800	32.5 %
Net premiums earned	635	573	11.0 %	794	544	46.0 %
Losses and loss expenses	507	478	6.2 %	647	386	67.9 %
Policy acquisition costs	37	31	20.1 %	52	43	21.3 %
Administrative expenses	3	2	65.7 %	6	1	NM
Underwriting income	88	62	41.1 %	89	114	(22.3)%
Net investment income	14	7	90.1 %	31	14	119.9 %
Other (income) expense	(1)	—	NM	—	—	—
Amortization of purchased intangibles	7	6	2.4 %	13	13	—
Segment income	\$ 96	\$ 63	52.2 %	\$ 107	\$ 115	(6.9)%
Loss and loss expense ratio:						
CAY loss ratio excluding catastrophe losses	80.9 %	79.6 %	1.3 pts	79.4 %	77.9 %	1.5 pts
Catastrophe losses	(0.9)%	3.7 %	(4.6) pts	2.4 %	4.0 %	(1.6) pts
Prior period development	(0.3)%	—	(0.3) pts	(0.3)%	(11.0)%	10.7 pts
Loss and loss expense ratio	79.7 %	83.3 %	(3.6) pts	81.5 %	70.9 %	10.6 pts
Policy acquisition cost ratio	5.9 %	5.4 %	0.5 pts	6.6 %	8.0 %	(1.4) pts
Administrative expense ratio	0.6 %	0.4 %	0.2 pts	0.7 %	0.1 %	0.6 pts
Combined ratio	86.2 %	89.1 %	(2.9) pts	88.8 %	79.0 %	9.8 pts

NM - Not meaningful

Catastrophe Losses and Prior Period Development

	Three Months Ended June 30		Six Months Ended June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
(Favorable) unfavorable catastrophe losses	\$ (5)	\$ 21	\$ 19	\$ 21
Favorable prior period development	\$ 3	\$ —	\$ 3	\$ 26

Catastrophe activity for the three months ended June 30, 2023, relates to development from the first quarter of 2023. Catastrophe losses through June 30, 2023 and 2022, were primarily from the following events:

- 2023: U.S. flooding, hail, tornadoes, and wind events.
- 2022: Severe weather-related events in Chubb Agribusiness and winter storm losses in the U.S.

Refer to Note 8 in the Consolidated Financial Statements for detail on prior period development.

Premiums

Net premiums written increased \$29 million, or 4.0 percent, and \$260 million, or 32.5 percent for the three and six months ended June 30, 2023, respectively, reflecting growth in MPCl due to higher commodity prices, principally from our fall-seeded crops, and strong new business in Chubb Agribusiness. In addition, growth for the six months ended June 30, 2023 reflects the return of premium to the U.S. government of \$161 million in the first quarter of 2022 as part of a profit-sharing agreement. Under the profit-sharing agreement, we returned additional premiums to the government because of the lower losses experienced in certain states in 2021.

Net premiums earned increased \$62 million, or 11.0 percent, and \$250 million, or 46.0 percent for the three and six months ended June 30, 2023, respectively, reflecting the factors described above.

Combined Ratio

The CAY loss ratio excluding catastrophe losses increased for the three and six months ended June 30, 2023, primarily due to lower crop year gain estimated in the current year compared to the prior year through June 30 and the year-over-year impact of crop commodity price hedge activity, which resulted in an increase of 0.7 percentage points and 0.8 percentage points, respectively. The decrease in the loss and loss expense ratio for the three months ended June 30, 2023, reflects catastrophe loss development from the first quarter of 2023. The increase in the loss and loss expense ratio for the six months ended June 30, 2023, reflects the prior year impact of the return of premium to the U.S. government mentioned above which had a corresponding reduction in incurred losses, partially offset by lower catastrophe losses.

The policy acquisition cost ratio increased for the three months ended June 30, 2023, reflecting changes in mix of business away from products that have a lower acquisition cost ratio. The policy acquisition cost ratio decreased for the six months ended June 30, 2023, primarily from the favorable impact of higher net premiums earned from MPCl.

The administrative expense ratio increased for the six months ended June 30, 2023, reflecting lower Administrative and Operating (A&O) reimbursements on the MPCl business.

Overseas General Insurance

Overseas General Insurance segment comprises Chubb International and Chubb Global Markets (CGM). Chubb International comprises our international commercial P&C traditional and specialty lines serving large corporations, middle market and small customers; A&H and traditional and specialty personal lines business serving local territories outside the U.S., Bermuda, and Canada. CGM, our London-based international commercial P&C excess and surplus lines business, includes Lloyd's of London (Lloyd's) Syndicate 2488. Chubb provides funds at Lloyd's to support underwriting by Syndicate 2488 which is managed by Chubb Underwriting Agencies Limited.

	Three Months Ended June 30			Six Months Ended June 30		
			% Change			% Change
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22
Net premiums written	\$ 2,885	\$ 2,640	9.3 %	\$ 6,148	\$ 5,719	7.5 %
Net premiums written - constant dollars			10.9 %			10.4 %
Net premiums earned	2,908	2,696	7.9 %	5,694	5,324	7.0 %
Loss and loss expenses	1,267	1,143	10.8 %	2,504	2,439	2.7 %
Policy benefits	137	81	69.1 %	247	174	42.0 %
Policy acquisition costs	746	697	7.2 %	1,459	1,376	6.1 %
Administrative expenses	292	278	4.9 %	572	547	4.4 %
Underwriting income	466	497	(6.2)%	912	788	15.8 %
Net investment income	200	162	23.5 %	388	309	25.7 %
Other (income) expense	(10)	3	NM	(19)	5	NM
Amortization of purchased intangibles	15	14	9.6 %	33	28	16.6 %
Segment income	\$ 661	\$ 642	2.9 %	\$ 1,286	\$ 1,064	20.9 %
Loss and loss expense ratio:						
CAY loss ratio excluding catastrophe losses	49.5 %	50.0 %	(0.5) pts	49.5 %	49.7 %	(0.2) pts
Catastrophe losses	0.9 %	1.8 %	(0.9) pts	2.4 %	3.8 %	(1.4) pts
Prior period development	(2.1)%	(6.4)%	4.3 pts	(3.6)%	(4.4)%	0.8 pts
Loss and loss expense ratio	48.3 %	45.4 %	2.9 pts	48.3 %	49.1 %	(0.8) pts
Policy acquisition cost ratio	25.7 %	25.9 %	(0.2) pts	25.6 %	25.8 %	(0.2) pts
Administrative expense ratio	10.0 %	10.3 %	(0.3) pts	10.1 %	10.3 %	(0.2) pts
Combined ratio	84.0 %	81.6 %	2.4 pts	84.0 %	85.2 %	(1.2) pts

NM - Not meaningful

Catastrophe Losses and Prior Period Development

	Three Months Ended June 30		Six Months Ended June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
Catastrophe losses	\$ 26	\$ 49	\$ 139	\$ 200
Favorable prior period development	\$ 61	\$ 173	\$ 204	\$ 233

Catastrophe losses through June 30, 2023 and 2022, were primarily from the following events:

- 2023: Storms in New Zealand, flooding in Italy, and international weather-related events.
- 2022: Storms in Australia and international weather-related events.

Refer to Note 8 to the Consolidated Financial Statements for detail on prior period development.

Net Premiums Written by Region

Three months ended June 30

(in millions of U.S. dollars, except for percentages)

Region	2023	2023 % of Total	2022	2022 % of Total	C\$ 2022	Q-23 vs. Q-22	C\$ Q-23 vs. Q-22
Europe, Middle East, and Africa	\$ 1,307	45 %	\$ 1,203	46 %	\$ 1,183	8.7 %	10.5 %
Latin America	613	21 %	549	21 %	571	11.7 %	7.3 %
Asia Pacific	772	27 %	690	26 %	657	12.0 %	17.4 %
Japan	142	5 %	143	5 %	134	(1.2)%	5.9 %
Other ⁽¹⁾	51	2 %	55	2 %	55	(9.1)%	(7.1)%
Net premiums written	\$ 2,885	100 %	\$ 2,640	100 %	\$ 2,600	9.3 %	10.9 %

Six months ended June 30

(in millions of U.S. dollars, except for percentages)

Region	2023	2023 % of Total	2022	2022 % of Total	C\$ 2022	Y-23 vs. Y-22	C\$ Y-23 vs. Y-22
Europe, Middle East, and Africa	\$ 3,028	49 %	\$ 2,857	50 %	\$ 2,745	6.0 %	10.3 %
Latin America	1,274	21 %	1,154	20 %	1,199	10.4 %	6.2 %
Asia Pacific	1,505	24 %	1,333	23 %	1,276	13.0 %	18.0 %
Japan	247	4 %	258	5 %	232	(4.3)%	6.4 %
Other ⁽¹⁾	94	2 %	117	2 %	114	(20.1)%	(17.8)%
Net premiums written	\$ 6,148	100 %	\$ 5,719	100 %	\$ 5,566	7.5 %	10.4 %

⁽¹⁾ Includes the international supplemental A&H business of Combined Insurance and other international operations including mainland China.

Premiums

Overall, net premiums written increased \$245 million and \$429 million, or \$285 million and \$582 million on a constant dollar basis, for the three and six months ended June 30, 2023, respectively, reflecting growth in both commercial and consumer lines. For the three and six months ended June 30, 2023, commercial lines grew 9.2 percent and 7.6 percent, or 11.9 percent and 11.3 percent on a constant-dollar basis, respectively, and consumer lines grew 9.3 percent and 7.4 percent, or 9.5 percent and 9.0 percent on a constant-dollar basis, respectively.

Our European division increased for the three and six months ended June 30, 2023, supported by both our wholesale and retail divisions. The growth in commercial lines was primarily driven by higher new business, and positive rate increases, including commercial property and casualty lines. Consumer lines increased primarily due to increased travel volume in A&H.

Latin America increased for the three and six months ended June 30, 2023, driven by growth in commercial lines due to exposure increases, positive rate increases, and new business, primarily property and casualty lines. Consumer lines grew due to increased A&H.

Asia Pacific increased for the three and six months ended June 30, 2023, driven by higher new business, higher retention and positive rate increases in commercial lines, including property and casualty lines and growth attributable to the acquisition of Cigna's business in Asia. Consumer lines increased primarily from travel in A&H.

Japan increased for the three and six months ended June 30, 2023, on a constant-dollar basis, primarily from higher new business in A&H.

Net premiums earned increased \$212 million and \$370 million, or \$244 million and \$496 million on a constant-dollar basis, for the three and six months ended June 30, 2023, respectively, reflecting the increase in net premiums written described above.

Combined Ratio

The loss and loss expense ratio increased for the three months ended June 30, 2023, due to lower favorable prior period development, partially offset by lower catastrophe losses. The loss and loss expense ratio decreased for the six months ended June 30, 2023, due to lower catastrophe losses, partially offset by lower favorable prior period development. The CAY loss ratio excluding catastrophe losses decreased for the three and six months ended June 30, 2023, primarily due to underlying loss ratio improvement.

The administrative expense ratio decreased for the three and six months ended June 30, 2023, reflecting the favorable impact of higher net premiums earned, partially offset by increased investment to support growth.

Global Reinsurance

The Global Reinsurance segment represents our reinsurance operations comprising Chubb Tempest Re Bermuda, Chubb Tempest Re USA, Chubb Tempest Re International, and Chubb Tempest Re Canada. Global Reinsurance markets its reinsurance products worldwide primarily through reinsurance brokers under the Chubb Tempest Re brand name and provides a broad range of traditional and non-traditional reinsurance coverage to a diverse array of primary P&C companies.

	Three Months Ended June 30			% Change	Six Months Ended June 30			% Change
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22		2023	2022	YTD-23 vs. YTD-22	
Net premiums written	\$ 293	\$ 262	11.6 %		\$ 570	\$ 515	10.6 %	
Net premiums written - constant dollars			12.4 %				11.4 %	
Net premiums earned	237	222	6.7 %		481	457	5.3 %	
Losses and loss expenses	91	139	(34.1)%		203	254	(19.9)%	
Policy acquisition costs	65	57	12.4 %		127	119	6.0 %	
Administrative expenses	9	10	(9.9)%		18	19	(1.2)%	
Underwriting income	72	16	NM		133	65	103.4 %	
Net investment income	48	76	(37.1)%		97	161	(39.5)%	
Other (income) expense	—	1	NM		(1)	1	NM	
Segment income	\$ 120	\$ 91	31.2 %		\$ 231	\$ 225	2.7 %	
Loss and loss expense ratio:								
CAY loss ratio excluding catastrophe losses	46.7 %	49.7 %	(3.0)	pts	47.8 %	49.8 %	(2.0)	pts
Catastrophe losses	0.4 %	0.8 %	(0.4)	pts	0.2 %	0.6 %	(0.4)	pts
Prior period development	(8.4)%	12.1 %	(20.5)	pts	(5.7)%	5.1 %	(10.8)	pts
Loss and loss expense ratio	38.7 %	62.6 %	(23.9)	pts	42.3 %	55.5 %	(13.2)	pts
Policy acquisition cost ratio	27.0 %	25.6 %	1.4	pts	26.3 %	26.1 %	0.2	pts
Administrative expense ratio	3.9 %	4.6 %	(0.7)	pts	3.8 %	4.1 %	(0.3)	pts
Combined ratio	69.6 %	92.8 %	(23.2)	pts	72.4 %	85.7 %	(13.3)	pts

NM - not meaningful

Catastrophe Losses and Prior Period Development

	Three Months Ended June 30		Six Months Ended June 30	
(in millions of U.S. dollars)	2023	2022	2023	2022
Catastrophe losses	\$ 1	\$ 2	\$ 1	\$ 3
Favorable (unfavorable) prior period development	\$ 17	\$ (25)	\$ 25	\$ (22)

Refer to Note 8 in the Consolidated Financial Statements for detail on prior period development.

Premiums

Net premiums written increased \$31 million and \$55 million for the three and six months ended June 30, 2023, respectively, primarily from new business and rate increases in property, partially offset by lower catastrophe reinstatement premiums.

Net premiums earned increased \$15 million and \$24 million for the three and six months ended June 30, 2023, respectively, primarily reflecting the increase in net premiums written described above.

Combined Ratio

The loss and loss expense ratio decreased for the three and six months ended June 30, 2023, mainly from favorable prior period development and lower catastrophe losses. The CAY loss ratio excluding catastrophe losses decreased for the three and six months ended June 30, 2023, primarily from an improvement in market conditions which lowered loss ratio expectations in several lines of business, including property, casualty, and workers' compensation lines.

The policy acquisition cost ratio increased for the three months ended June 30, 2023, primarily due to lower catastrophe reinstatement premiums which have a lower acquisition cost ratio.

The administrative expense ratio decreased for the three and six months ended June 30, 2023, primarily due to the favorable impact of higher net premiums earned.

Life Insurance

The Life Insurance segment comprises our international life operations, which commencing in the third quarter of 2022, includes Cigna's A&H and life business in Korea, Taiwan, New Zealand, Hong Kong, and Indonesia, acquired on July 1, 2022. The Life Insurance segment also includes Chubb Tempest Life Re (Chubb Life Re), and the North American supplemental A&H and life business of Combined Insurance. Results for the three and six months ended June 30, 2022, respectively, are adjusted to reflect the adoption of LDTI. Refer to Note 1 c).

	Three Months Ended			Six Months Ended		
	June 30		% Change	June 30		% Change
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22
Net premiums written	\$ 1,270	\$ 562	126.1 %	\$ 2,563	\$ 1,138	125.3 %
Net premiums written - constant dollars			127.6 %			128.1 %
Net premiums earned	1,256	539	132.9 %	2,520	1,081	133.0 %
Losses and loss expenses	35	27	29.6 %	67	51	31.4 %
Policy benefits	705	298	136.2 %	1,417	609	132.5 %
Policy acquisition costs	277	138	100.2 %	550	271	102.2 %
Administrative expenses	170	88	93.5 %	337	172	96.7 %
Net investment income	161	109	48.7 %	314	212	48.3 %
Other (income) expense	(26)	(12)	138.0 %	(41)	(42)	(1.2)%
Amortization of purchased intangibles	2	3	(9.7)%	6	5	34.1 %
Segment income	\$ 254	\$ 106	140.3 %	\$ 498	\$ 227	119.9 %

Premiums

Net premiums written increased \$708 million and \$1,425 million, or \$712 million and \$1,440 million on a constant-dollar basis, for the three and six months ended June 30, 2023, respectively. For our international life operations, net premiums written increased 234.5 percent and 236.1 percent for the three and six months ended June 30, 2023, respectively, primarily due to the acquisition of Cigna's business in Asia. In addition, there was growth in Latin America, primarily in our bank distribution channels, and in Asia, principally in Hong Kong. Net premiums written in our North American Combined Insurance business declined 5.7 percent and 6.3 percent, for the three and six months ended June 30, 2023, respectively, as growth in the supplemental A&H business was more than offset by the non-renewal of a large program.

Deposits

The following table presents deposits collected on universal life and investment contracts:

(in millions of U.S. dollars, except for percentages)	Three Months Ended					Six Months Ended				
	June 30				% Change	June 30				% Change
	2023	2022	C\$ 2022	Q-23 vs. Q-22	C\$ Q-23 vs. Q-22	2023	2022	C\$ 2022	Y-23 vs. Y-22	C\$ Y-23 vs. Y-22
Deposits collected on universal life and investment contracts ⁽¹⁾	\$ 400	\$ 427	\$ 408	(6.6)%	(2.0)%	\$ 709	\$ 984	\$ 919	(27.9)%	(22.8)%

⁽¹⁾ The three months ended June 30, 2023, includes a favorable adjustment of \$27 million; excluding this item, deposits decreased 13.0 percent, or 8.7 percent on a constant-dollar basis.

Deposits collected on universal life and investment contracts (life deposits) are not reflected as revenues in our Consolidated statements of operations in accordance with GAAP. New life deposits are an important component of production, and although they do not significantly affect current period income from operations, they are key to our efforts to grow our business. Life deposits collected decreased \$27 million and \$275 million for the three and six months ended June 30, 2023, respectively, primarily in Taiwan, reflecting challenging market conditions for deposit products. Partially offsetting the decline for the three and six months ended June 30, 2023, respectively, are deposits collected through the acquired Cigna businesses in Asia.

Life Insurance segment income

Life Insurance segment income increased \$148 million and \$271 million for the three and six months ended June 30, 2023, respectively, reflecting growth from the acquisition of Cigna's business in Asia, primarily in Korea. Growth for the three and six months ended June 30, 2023 also reflected higher net investment income due to a higher invested asset base, including from the Cigna acquisition, and \$5 million and \$10 million, respectively, from equity securities supporting policyholder dividends. Growth for the three months ended June 30, 2023, also included higher income from our investment in Huatai, our partially-owned insurance entity in China from higher investment income as well as from our increased ownership interest compared to prior year. Income from Huatai is recorded under the equity method of accounting with our share of net income or loss reported in Other (income) expense. Effective July 1, 2023, and starting with our third quarter 2023 reporting, we will apply consolidation accounting to our investment in Huatai.

Corporate

Corporate results primarily include the results of our non-insurance companies, income and expenses not attributable to reportable segments and loss and loss expenses of asbestos and environmental (A&E) liabilities and certain other non-A&E run-off exposures, including molestation. Results for the three and six months ended June 30, 2022, are adjusted to reflect the adoption of LDTI. Refer to Note 1 c).

	Three Months Ended June 30			Six Months Ended June 30		
			% Change			% Change
(in millions of U.S. dollars, except for percentages)	2023	2022	Q-23 vs. Q-22	2023	2022	YTD-23 vs. YTD-22
Losses and loss expenses	\$ 61	\$ 191	(68.4)%	\$ 72	\$ 201	(64.5)%
Administrative expenses	95	90	7.4 %	192	173	11.3 %
Underwriting loss	156	281	(44.6)%	264	374	(29.5)%
Net investment income (loss)	3	(4)	NM	14	(9)	NM
Other (income) expense	14	138	(91.0)%	(200)	(121)	66.0 %
Amortization of purchased intangibles	43	45	(6.1)%	85	91	(6.4)%
Net realized gains (losses)	(309)	(512)	(39.6)%	(385)	(490)	(21.2)%
Market risk benefits gains (losses)	(7)	(33)	(79.9)%	(122)	16	NM
Interest expense	165	134	22.8 %	325	266	22.2 %
Cigna integration expenses	15	3	NM	37	3	NM
Income tax expense	392	291	34.8 %	776	644	20.4 %
Net loss	\$ (1,098)	\$ (1,441)	(24.0)%	\$ (1,780)	\$ (1,740)	2.1 %

NM - not meaningful

Losses and loss expenses primarily includes unfavorable prior period development for molestation claims.

Administrative expenses increased \$5 million and \$19 million for the three and six months ended June 30, 2023, respectively, primarily due to increased spending to support digital growth initiatives.

Cigna integration expenses of \$15 million and \$37 million for the three and six months ended June 30, 2023, respectively, principally comprised legal and professional fees and all other costs directly related to the integration activities of the Cigna acquisition. These expenses are one-time in nature and are not related to the on-going business activities of the segments. The Chief Executive Officer does not manage segment results or allocate resources to segments when considering these costs and they are therefore excluded from our definition of segment income.

Refer to the respective sections that follow for a discussion of Net realized gains (losses), Net investment income (loss), Amortization of purchased intangibles, and Income tax expense (benefit). Refer to Notes 11 and 17 to the Consolidated Financial Statements for additional information on Market risk benefits gains (losses) and Other (income) expense, respectively.

Net Realized and Unrealized Gains (Losses)

We take a long-term view with our investment strategy, and our investment managers manage our investment portfolio to maximize total return within specific guidelines designed to minimize risk. The majority of our investment portfolio is available for sale and reported at fair value.

The effect of market movements on our fixed maturities portfolio impacts Net income (through Net realized gains (losses)) when securities are sold, when we write down an asset, or when we record a change to the valuation allowance for expected credit losses. For a further discussion related to how we assess the valuation allowance for expected credit losses and the related impact on Net income, refer to Note 1 e) to the Consolidated Financial Statements in our 2022 Form 10-K. Additionally, Net income is impacted through the reporting of changes in the fair value of public and private equity securities and derivatives, including financial futures, options, and swaps. Changes in unrealized appreciation and depreciation on available for sale securities, resulting from the revaluation of securities held, changes in cumulative foreign currency translation adjustment, changes in current discount rate on future policy benefits, changes in instrument-specific credit risk on market risk benefits,

unrealized postretirement benefit obligations liability adjustment, and cross-currency swaps designated as hedges for accounting purposes are reported as separate components of Accumulated other comprehensive income (loss) in Shareholders' equity in the Consolidated balance sheets.

The following tables present our net realized and unrealized gains (losses):

(in millions of U.S. dollars)	Three Months Ended June 30					
	2023			2022		
				(As Adjusted)		
	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Net Impact	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Net Impact
Fixed maturities	\$ (107)	\$ (1,194)	\$ (1,301)	\$ (442)	\$ (4,344)	\$ (4,786)
Fixed income and investment derivatives	(55)	—	(55)	(81)	—	(81)
Public equity						
Sales	2	—	2	163	—	163
Mark-to-market	26	—	26	(426)	—	(426)
Private equity (less than 3 percent ownership)						
Mark-to-market	20	—	20	4	—	4
Total investment portfolio	(114)	(1,194)	(1,308)	(782)	(4,344)	(5,126)
Other derivatives	2	—	2	9	—	9
Foreign exchange	(186)	215	29	270	(756)	(486)
Current discount rate on future policy benefits	—	(35)	(35)	—	632	632
Instrument-specific credit risk on market risk benefits	—	11	11	—	17	17
Other	(6)	48	42	—	5	5
Net (losses), pre-tax	\$ (304)	\$ (955)	\$ (1,259)	\$ (503)	\$ (4,446)	\$ (4,949)

(in millions of U.S. dollars)	Six Months Ended June 30					
	2023			2022		
				(As Adjusted)		
	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Net Impact	Net Realized Gains (Losses)	Net Unrealized Gains (Losses)	Net Impact
Fixed maturities	\$ (287)	\$ 592	\$ 305	\$ (578)	\$ (8,996)	\$ (9,574)
Fixed income and investment derivatives	(101)	—	(101)	(34)	—	(34)
Public equity						
Sales	(3)	—	(3)	418	—	418
Mark-to-market	42	—	42	(625)	—	(625)
Private equity (less than 3 percent ownership)						
Mark-to-market	35	—	35	59	—	59
Total investment portfolio	(314)	592	278	(760)	(8,996)	(9,756)
Other derivatives	1	—	1	10	—	10
Foreign exchange	(55)	38	(17)	344	(689)	(345)
Current discount rate on future policy benefits	—	(186)	(186)	—	1,067	1,067
Instrument-specific credit risk on market risk benefits	—	8	8	—	40	40
Other	(13)	15	2	(74)	24	(50)
Net gains (losses), pre-tax	\$ (381)	\$ 467	\$ 86	\$ (480)	\$ (8,554)	\$ (9,034)

Pre-tax net unrealized losses of \$1,194 million in our investment portfolio for the three months ended June 30, 2023 was primarily driven by higher interest rates as well as the \$423 million pre-tax impact of the reclassification of our approximately \$8 billion HTM portfolio to our AFS portfolio. This reclassification to AFS increases management's flexibility to execute on its investment strategy to take advantage of higher yields when the opportunity arises, while not making any major change to its current asset allocation. Refer to Note 3 a) to the Consolidated Financial Statements. Pre-tax net unrealized gains of \$592 million for the six months ended June 30, 2023 were principally the result of changes in interest rates.

In addition, there were pre-tax net realized losses of \$114 million and \$314 million for the three and six months ended June 30, 2023, respectively, comprising losses from sales and impairments of fixed maturities and derivative losses.

Effective Income Tax Rate

Our effective tax rate (ETR) reflects a mix of income or losses in jurisdictions with a wide range of tax rates, permanent differences between GAAP and local tax laws, and the impact of discrete items. A change in the geographic mix of earnings could impact our ETR.

For the three and six months ended June 30, 2023, our ETR was 17.9 percent and 17.4 percent, respectively. This compares to an ETR of 19.6 percent and 17.0 percent for the three and six months ended June 30, 2022. The ETR for each period in 2023 was impacted by our mix of earnings among various jurisdictions, most notably related to gains/(losses) that were realized, the impact of our Cigna acquisition, and an increase in the enacted UK tax rate, partially offset by discrete tax items.

Non-GAAP Reconciliation

In presenting our results, we included and discussed certain non-GAAP measures. These non-GAAP measures, which may be defined differently by other companies, are important for an understanding of our overall results of operations and financial condition. However, they should not be viewed as a substitute for measures determined in accordance with GAAP.

Book value per common share is shareholders' equity divided by the shares outstanding. Tangible book value per common share is shareholders' equity less goodwill and other intangible assets, net of tax, divided by the shares outstanding. We believe that book value comparisons to less acquisitive peer companies are more meaningful when adjusted for goodwill and other intangible assets. The calculation of tangible book value per share does not consider the embedded goodwill attributable to our investments in partially-owned insurance companies until we consolidate.

We provide financial measures, including net premiums written, net premiums earned, and underwriting income on a constant-dollar basis. We believe it is useful to evaluate the trends in our results exclusive of the effect of fluctuations in exchange rates between the U.S. dollar and the currencies in which our international business is transacted, as these exchange rates could fluctuate significantly between periods and distort the analysis of trends. The impact is determined by assuming constant foreign exchange rates between periods by translating prior period results using the same local currency exchange rates as the comparable current period.

P&C performance metrics comprise consolidated operating results (including Corporate) and exclude the operating results of the Life Insurance segment. We believe that these measures are useful and meaningful to investors as they are used by management to assess the company's P&C operations which are the most economically similar. We exclude the Life Insurance segment because the results of this business do not always correlate with the results of our P&C operations.

P&C combined ratio is the sum of the loss and loss expense ratio, policy acquisition cost ratio and the administrative expense ratio excluding the life business and including the realized gains and losses on the crop derivatives. These derivatives were purchased to provide economic benefit, in a manner similar to reinsurance protection, in the event that a significant decline in commodity pricing impacts underwriting results. We view gains and losses on these derivatives as part of the results of our underwriting operations.

CAY P&C combined ratio excluding catastrophe losses (CATs) excludes CATs and prior period development (PPD) from the P&C combined ratio. We exclude CATs as they are not predictable as to timing and amount and PPD as these unexpected loss developments on historical reserves are not indicative of our current underwriting performance. The combined ratio numerator is adjusted to exclude CATs, net premiums earned adjustments on PPD, prior period expense adjustments and reinstatement premiums on PPD, and the denominator is adjusted to exclude net premiums earned adjustments on PPD and reinstatement premiums on CATs and PPD. In periods where there are adjustments on loss sensitive policies, these adjustments are excluded from PPD and net premiums earned when calculating the ratios. We believe this measure provides a better evaluation of our underwriting performance and enhances the understanding of the trends in our P&C business that may be obscured by these items. This measure is commonly reported among our peer companies and allows for a better comparison.

Reinstatement premiums are additional premiums paid on certain reinsurance agreements in order to reinstate coverage that had been exhausted by loss occurrences. The reinstatement premium amount is typically a pro rata portion of the original ceded premium paid based on how much of the reinsurance limit had been exhausted.

Net premiums earned adjustments within PPD are adjustments to the initial premium earned on retrospectively rated policies based on actual claim experience that develops after the policy period ends. The premium adjustments correlate to the prior period loss development on these same policies and are fully earned in the period the adjustments are recorded.

Prior period expense adjustments typically relate to adjustable commission reserves or policyholder dividend reserves based on actual claim experience that develops after the policy period ends. The expense adjustments correlate to the prior period loss development on these same policies.

The following tables present the calculation of combined ratio, as reported for each segment to P&C combined ratio, adjusted for CATs and PPD:

Three Months Ended June 30, 2023 (in millions of U.S. dollars except for ratios)								
		North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Corporate	Total P&C
Numerator								
Losses and loss expenses/policy benefits	A \$	2,871	\$ 846	\$ 507	\$ 1,404	\$ 91	\$ 61	\$ 5,780
Catastrophe losses and related adjustments								
Catastrophe losses, net of related adjustments		(231)	(147)	5	(26)	(1)	—	(400)
Reinstatement premiums collected (expensed) on catastrophe losses		—	—	—	—	—	—	—
Catastrophe losses, gross of related adjustments		(231)	(147)	5	(26)	(1)	—	(400)
PPD and related adjustments								
PPD, net of related adjustments - favorable (unfavorable)		146	33	3	61	17	(60)	200
Net premiums earned adjustments on PPD - unfavorable (favorable)		12	—	(2)	—	—	—	10
Expense adjustments - unfavorable (favorable)		4	—	—	—	—	—	4
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	6	—	6
PPD, gross of related adjustments - favorable (unfavorable)		162	33	1	61	23	(60)	220
CAY loss and loss expense ex CATs	B \$	2,802	\$ 732	\$ 513	\$ 1,439	\$ 113	\$ 1	\$ 5,600
Policy acquisition costs and administrative expenses								
Policy acquisition costs and administrative expenses	C \$	930	\$ 361	\$ 40	\$ 1,038	\$ 74	\$ 95	\$ 2,538
Expense adjustments - favorable (unfavorable)		(4)	—	—	—	—	—	(4)
Policy acquisition costs and administrative expenses, adjusted	D \$	926	\$ 361	\$ 40	\$ 1,038	\$ 74	\$ 95	\$ 2,534
Denominator								
Net premiums earned	E \$	4,606	\$ 1,357	\$ 635	\$ 2,908	\$ 237		\$ 9,743
Net premiums earned adjustments on PPD - unfavorable (favorable)		12	—	(2)	—	—		10
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	6		6
Net premiums earned excluding adjustments	F \$	4,618	\$ 1,357	\$ 633	\$ 2,908	\$ 243		\$ 9,759
P&C Combined ratio								
Loss and loss expense ratio	A/E	62.3 %	62.4 %	79.7 %	48.3 %	38.7 %		59.3 %
Policy acquisition cost and administrative expense ratio	C/E	20.2 %	26.5 %	6.5 %	35.7 %	30.9 %		26.1 %
P&C Combined ratio		82.5 %	88.9 %	86.2 %	84.0 %	69.6 %		85.4 %
CAY P&C Combined ratio ex CATs								
Loss and loss expense ratio, adjusted	B/F	60.7 %	54.0 %	80.9 %	49.5 %	46.7 %		57.4 %
Policy acquisition cost and administrative expense ratio, adjusted	D/F	20.0 %	26.5 %	6.5 %	35.7 %	30.1 %		25.9 %
CAY P&C Combined ratio ex CATs		80.7 %	80.5 %	87.4 %	85.2 %	76.8 %		83.3 %
Combined ratio								
Combined ratio								85.4 %
Add: impact of gains and losses on crop derivatives								—
P&C Combined ratio								85.4 %

Note: The ratios above are calculated using whole U.S. dollars. Accordingly, calculations using rounded amounts may differ. Letters A, B, C, D, E, and F included in the table are references for calculating the ratios above.

Three Months Ended

June 30, 2022

(in millions of U.S. dollars except for ratios)

		North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Corporate	Total P&C
Numerator								
Losses and loss expenses/policy benefits	A \$	2,446	\$ 773	\$ 478	\$ 1,224	\$ 139	\$ 191	\$ 5,251
Catastrophe losses and related adjustments								
Catastrophe losses, net of related adjustments		(124)	(95)	(21)	(49)	(2)	—	(291)
Reinstatement premiums collected (expensed) on catastrophe losses		—	—	—	—	—	—	—
Catastrophe losses, gross of related adjustments		(124)	(95)	(21)	(49)	(2)	—	(291)
PPD and related adjustments								
PPD, net of related adjustments - favorable (unfavorable)		287	3	—	173	(25)	(191)	247
Net premiums earned adjustments on PPD - unfavorable (favorable)		3	—	—	—	—	—	3
Expense adjustments - unfavorable (favorable)		(1)	—	—	—	—	—	(1)
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	(3)	—	(3)
PPD, gross of related adjustments - favorable (unfavorable)		289	3	—	173	(28)	(191)	246
CAY loss and loss expense ex CATs	B \$	2,611	\$ 681	\$ 457	\$ 1,348	\$ 109	\$ —	\$ 5,206
Policy acquisition costs and administrative expenses								
Policy acquisition costs and administrative expenses	C \$	822	\$ 331	\$ 33	\$ 975	\$ 67	\$ 90	\$ 2,318
Expense adjustments - favorable (unfavorable)		1	—	—	—	—	—	1
Policy acquisition costs and administrative expenses, adjusted	D \$	823	\$ 331	\$ 33	\$ 975	\$ 67	\$ 90	\$ 2,319
Denominator								
Net premiums earned	E \$	4,248	\$ 1,271	\$ 573	\$ 2,696	\$ 222		\$ 9,010
Net premiums earned adjustments on PPD - unfavorable (favorable)		3	—	—	—	—		3
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	(3)		(3)
Net premiums earned excluding adjustments	F \$	4,251	\$ 1,271	\$ 573	\$ 2,696	\$ 219		\$ 9,010
P&C Combined ratio								
Loss and loss expense ratio	A/E	57.6 %	60.8 %	83.3 %	45.4 %	62.6 %		58.3 %
Policy acquisition cost and administrative expense ratio	C/E	19.3 %	26.1 %	5.8 %	36.2 %	30.2 %		25.7 %
P&C Combined ratio		76.9 %	86.9 %	89.1 %	81.6 %	92.8 %		84.0 %
CAY P&C Combined ratio ex CATs								
Loss and loss expense ratio, adjusted	B/F	61.4 %	53.6 %	79.6 %	50.0 %	49.7 %		57.8 %
Policy acquisition cost and administrative expense ratio, adjusted	D/F	19.4 %	26.1 %	5.8 %	36.2 %	30.7 %		25.7 %
CAY P&C Combined ratio ex CATs		80.8 %	79.7 %	85.4 %	86.2 %	80.4 %		83.5 %
Combined ratio								
Combined ratio								84.1 %
Add: impact of gains and losses on crop derivatives								(0.1)%
P&C Combined ratio								84.0 %

Note: The ratios above are calculated using whole U.S. dollars. Accordingly, calculations using rounded amounts may differ. Letters A, B, C, D, E, and F included in the table are references for calculating the ratios above.

Six Months Ended June 30, 2023 (in millions of U.S. dollars except for ratios)		North America Commercial P&C Insurance		North America Personal P&C Insurance		North America Agricultural Insurance		Overseas General Insurance		Global Reinsurance		Corporate		Total P&C
Numerator														
Losses and loss expenses/policy benefits	A \$	5,600	\$	1,734	\$	647	\$	2,751	\$	203	\$	72	\$	11,007
Catastrophe losses and related adjustments														
Catastrophe losses, net of related adjustments		(393)		(306)		(19)		(139)		(1)		—		(858)
Reinstatement premiums collected (expensed) on catastrophe losses		—		—		—		—		—		—		—
Catastrophe losses, gross of related adjustments		(393)		(306)		(19)		(139)		(1)		—		(858)
PPD and related adjustments														
PPD, net of related adjustments - favorable (unfavorable)		218		16		3		204		25		(70)		396
Net premiums earned adjustments on PPD - unfavorable (favorable)		12		—		(2)		—		—		—		10
Expense adjustments - unfavorable (favorable)		7		—		—		—		—		—		7
PPD reinstatement premiums - unfavorable (favorable)		—		(1)		—		—		6		—		5
PPD, gross of related adjustments - favorable (unfavorable)		237		15		1		204		31		(70)		418
CAY loss and loss expense ex CATs	B \$	5,444	\$	1,443	\$	629	\$	2,816	\$	233	\$	2	\$	10,567
Policy acquisition costs and administrative expenses														
Policy acquisition costs and administrative expenses	C \$	1,838	\$	712	\$	58	\$	2,031	\$	145	\$	192	\$	4,976
Expense adjustments - favorable (unfavorable)		(7)		—		—		—		—		—		(7)
Policy acquisition costs and administrative expenses, adjusted	D \$	1,831	\$	712	\$	58	\$	2,031	\$	145	\$	192	\$	4,969
Denominator														
Net premiums earned	E \$	8,975	\$	2,677	\$	794	\$	5,694	\$	481			\$	18,621
Net premiums earned adjustments on PPD - unfavorable (favorable)		12		—		(2)		—		—				10
PPD reinstatement premiums - unfavorable (favorable)		—		(1)		—		—		6				5
Net premiums earned excluding adjustments	F \$	8,987	\$	2,676	\$	792	\$	5,694	\$	487			\$	18,636
P&C Combined ratio														
Loss and loss expense ratio	A/E	62.4 %		64.8 %		81.5 %		48.3 %		42.3 %				59.1 %
Policy acquisition cost and administrative expense ratio	C/E	20.5 %		26.6 %		7.3 %		35.7 %		30.1 %				26.7 %
P&C Combined ratio		82.9 %		91.4 %		88.8 %		84.0 %		72.4 %				85.8 %
CAY P&C Combined ratio ex CATs														
Loss and loss expense ratio, adjusted	B/F	60.6 %		53.9 %		79.4 %		49.5 %		47.8 %				56.7 %
Policy acquisition cost and administrative expense ratio, adjusted	D/F	20.3 %		26.6 %		7.3 %		35.6 %		29.8 %				26.7 %
CAY P&C Combined ratio ex CATs		80.9 %		80.5 %		86.7 %		85.1 %		77.6 %				83.4 %
Combined ratio														
Combined ratio														85.8 %
Add: impact of gains and losses on crop derivatives														—
P&C Combined ratio														85.8 %

Note: The ratios above are calculated using whole U.S. dollars. Accordingly, calculations using rounded amounts may differ. Letters A, B, C, D, E, and F included in the table are references for calculating the ratios above.

Six Months Ended

June 30, 2022

(in millions of U.S. dollars except for ratios)

		North America Commercial P&C Insurance	North America Personal P&C Insurance	North America Agricultural Insurance	Overseas General Insurance	Global Reinsurance	Corporate	Total P&C
Numerator								
Losses and loss expenses/policy benefits	A \$	4,943	\$ 1,486	\$ 386	\$ 2,613	\$ 254	\$ 201	\$ 9,883
Catastrophe losses and related adjustments								
Catastrophe losses, net of related adjustments		(205)	(195)	(21)	(200)	(3)	—	(624)
Reinstatement premiums collected (expensed) on catastrophe losses		—	—	—	—	—	—	—
Catastrophe losses, gross of related adjustments		(205)	(195)	(21)	(200)	(3)	—	(624)
PPD and related adjustments								
PPD, net of related adjustments - favorable (unfavorable)		395	54	26	233	(22)	(199)	487
Net premiums earned adjustments on PPD - unfavorable (favorable)		3	—	159	—	—	—	162
Expense adjustments - unfavorable (favorable)		5	—	(1)	—	—	—	4
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	(2)	—	(2)
PPD, gross of related adjustments - favorable (unfavorable)		403	54	184	233	(24)	(199)	651
CAY loss and loss expense ex CATs	B \$	5,141	\$ 1,345	\$ 549	\$ 2,646	\$ 227	\$ 2	\$ 9,910
Policy acquisition costs and administrative expenses								
Policy acquisition costs and administrative expenses	C \$	1,660	\$ 660	\$ 44	\$ 1,923	\$ 138	\$ 173	\$ 4,598
Expense adjustments - favorable (unfavorable)		(5)	—	1	—	—	—	(4)
Policy acquisition costs and administrative expenses, adjusted	D \$	1,655	\$ 660	\$ 45	\$ 1,923	\$ 138	\$ 173	\$ 4,594
Denominator								
Net premiums earned	E \$	8,362	\$ 2,518	\$ 544	\$ 5,324	\$ 457		\$ 17,205
Net premiums earned adjustments on PPD - unfavorable (favorable)		3	—	159	—	—		162
PPD reinstatement premiums - unfavorable (favorable)		—	—	—	—	(2)		(2)
Net premiums earned excluding adjustments	F \$	8,365	\$ 2,518	\$ 703	\$ 5,324	\$ 455		\$ 17,365
P&C Combined ratio								
Loss and loss expense ratio	A/E	59.1 %	59.0 %	70.9 %	49.1 %	55.5 %		57.4 %
Policy acquisition cost and administrative expense ratio	C/E	19.9 %	26.2 %	8.1 %	36.1 %	30.2 %		26.8 %
P&C Combined ratio		79.0 %	85.2 %	79.0 %	85.2 %	85.7 %		84.2 %
CAY P&C Combined ratio ex CATs								
Loss and loss expense ratio, adjusted	B/F	61.5 %	53.4 %	77.9 %	49.7 %	49.8 %		57.1 %
Policy acquisition cost and administrative expense ratio, adjusted	D/F	19.7 %	26.3 %	6.4 %	36.1 %	30.3 %		26.4 %
CAY P&C Combined ratio ex CATs		81.2 %	79.7 %	84.3 %	85.8 %	80.1 %		83.5 %
Combined ratio								
Combined ratio								84.3 %
Add: impact of gains and losses on crop derivatives								(0.1)%
P&C Combined ratio								84.2 %

Note: The ratios above are calculated using whole U.S. dollars. Accordingly, calculations using rounded amounts may differ. Letters A, B, C, D, E, and F included in the table are references for calculating the ratios above.

Amortization of Purchased Intangibles and Other Amortization

Amortization of purchased intangibles

Amortization expense related to purchased intangibles was \$70 million and \$142 million for the three and six months ended June 30, 2023, respectively, compared with \$71 million and \$142 million for the prior year periods, respectively.

At June 30, 2023, the deferred tax liability associated with the Other intangible assets (excluding the fair value adjustment on Unpaid losses and loss expense) was \$1,200 million.

The following table presents, as of June 30, 2023, the expected reduction to the deferred tax liability associated with the amortization of Other intangible assets, at current foreign currency exchange rates, for the third through fourth quarters of 2023 and for the next five years:

For the Years Ending December 31 (in millions of U.S. dollars)	Reduction to deferred tax liability associated with intangible assets
Third quarter of 2023	\$ 16
Fourth quarter of 2023	16
2024	61
2025	57
2026	52
2027	49
2028	47
Total	\$ 298

Amortization of the fair value adjustment on acquired invested assets and assumed long-term debt

The following table presents, as of June 30, 2023, the expected amortization expense of the fair value adjustment on acquired invested assets related to the acquisitions of Cigna's business in Asia and Chubb Corp, at current foreign currency exchange rates, and the expected amortization benefit from the fair value adjustment on assumed long-term debt related to the Chubb Corp acquisition for the third through fourth quarters of 2023 and for the next five years:

For the Years Ending December 31 (in millions of U.S. dollars)	Amortization (expense) benefit of the fair value adjustment on				
	Acquired Cigna invested assets	Acquired Chubb Corp invested assets	Total acquired invested assets ⁽¹⁾	Assumed long-term debt ⁽²⁾	
Third quarter of 2023	\$ 6	\$ (8)	\$ (2)	\$ 5	
Fourth quarter of 2023	5	(8)	(3)	6	
2024	19	(20)	(1)	21	
2025	17	(9)	8	21	
2026	15	—	15	21	
2027	13	—	13	21	
2028	12	—	12	21	
Total	\$ 87	\$ (45)	\$ 42	\$ 116	

⁽¹⁾ Recorded as an increase (reduction) to Net investment income in the Consolidated statements of operations.

⁽²⁾ Recorded as a reduction to Interest expense in the Consolidated statements of operations.

The estimate of amortization expense of the fair value adjustment on acquired invested assets could vary based on current market conditions, bond calls, overall duration of the acquired investment portfolio, and foreign exchange.

Net Investment Income

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Fixed maturities ⁽¹⁾	\$ 1,095	\$ 853	\$ 2,157	\$ 1,652
Short-term investments	49	15	87	24
Other interest income	12	4	29	7
Equity securities	6	34	15	72
Other investments	32	27	58	46
Gross investment income ⁽¹⁾	1,194	933	2,346	1,801
Investment expenses	(49)	(45)	(94)	(91)
Net investment income ⁽¹⁾	\$ 1,145	\$ 888	\$ 2,252	\$ 1,710
⁽¹⁾ Includes amortization expense related to fair value adjustment of acquired invested assets	\$ (3)	\$ (14)	\$ (5)	\$ (30)

Net investment income is influenced by a number of factors including the amounts and timing of inward and outward cash flows, the level of interest rates, and changes in overall asset allocation. Net investment income increased 28.9 percent and 31.7 percent for the three and six months ended June 30, 2023, respectively, primarily due to higher reinvestment rates on fixed maturities.

For private equities where we own less than three percent, investment income is included within Net investment income in the table above. For private equities where we own more than three percent, investment income is included within Other income (expense) in the Consolidated statements of operations. Excluded from Net investment income is the mark-to-market movement for private equities, which is recorded within either Other income (expense) or Net realized gains (losses) based on our percentage of ownership. The total mark-to-market movement for private equities excluded from Net investment income was as follows:

(in millions of U.S. dollars)	Three Months Ended June 30		Six Months Ended June 30	
	2023	2022	2023	2022
Total mark-to-market gain (loss) on private equity, pre-tax	\$ 17	\$ (130)	\$ 274	\$ 180

Interest Expense

Interest expense for the six months ended June 30, 2023, comprised \$335 million related to fixed expenses on existing debt obligations and variable expenses, and a \$10 million benefit related to the amortization of the fair value of debt assumed in the Chubb Corp acquisition. The variable expenses relate to fees from the usage of certain facilities, including letters of credit, and interest on held collateral and repurchase agreements. Interest expense for the six months ended June 30, 2023, was higher than expected primarily due to rising interest rates on held collateral and repurchase agreements. Based on our existing fixed debt obligations and projected variable expenses, we now expect pre-tax interest expense on these items to be approximately \$342 million for the remainder of 2023, or \$171 million each quarter. For more information on our debt obligations, refer to Note 9 to the Consolidated Financial Statements, under Item 8 in our 2022 Form 10-K.

Investments

Our investment portfolio is invested primarily in publicly traded, investment grade, fixed income securities with an average credit quality of A/A as rated by the independent investment rating services Standard and Poor's (S&P)/Moody's Investors Service (Moody's) at June 30, 2023. The portfolio is externally managed by independent, professional investment managers and is broadly diversified across geographies, sectors, and issuers. Other investments principally comprise direct investments, investment funds, and limited partnerships. We hold no collateralized debt obligations in our investment portfolio, and we provide no credit default protection. We have long-standing global credit limits for our entire portfolio across the organization. Exposures are aggregated, monitored, and actively managed by our Global Credit Committee, comprising senior executives, including our Chief Financial Officer, our Chief Risk Officer, our Chief Investment Officer, and our Treasurer. We also have well-

established, strict contractual investment rules requiring managers to maintain highly diversified exposures to individual issuers and closely monitor investment manager compliance with portfolio guidelines.

The average duration of our fixed income securities was 4.6 years and 4.5 years at June 30, 2023, and December 31, 2022, respectively. We estimate that a 100 basis point (bps) increase in interest rates would reduce the valuation of our fixed income portfolio by approximately \$4.6 billion at June 30, 2023. The following table shows the fair value and cost/amortized cost, net of valuation allowance, of our invested assets:

(in millions of U.S. dollars)	June 30, 2023		December 31, 2022	
	Fair Value	Cost/ Amortized Cost, Net	Fair Value	Cost/ Amortized Cost, Net
Fixed maturities available for sale	\$ 96,789	\$ 104,031	\$ 85,220	\$ 93,186
Fixed maturities held to maturity	—	—	8,439	8,848
Short-term investments	4,097	4,099	4,960	4,962
Fixed income securities	100,886	108,130	98,619	106,996
Equity securities	1,043	1,043	827	827
Other investments	14,707	14,707	13,696	13,696
Total investments	\$ 116,636	\$ 123,880	\$ 113,142	\$ 121,519

The fair value of our total investments increased \$3.5 billion during the six months ended June 30, 2023, primarily due to the investing of operating cash flow and unrealized gains on fixed maturities, partially offset by share repurchases and dividend payments.

The following tables present the fair value of our fixed income securities at June 30, 2023, and December 31, 2022. The first table lists investments according to type and second according to S&P credit rating:

(in millions of U.S. dollars, except for percentages)	June 30, 2023		December 31, 2022	
	Fair Value	% of Total	Fair Value	% of Total
U.S. Treasury / Agency	\$ 3,744	4 %	\$ 3,996	4 %
Corporate and asset-backed securities	40,177	40 %	38,535	40 %
Mortgage-backed securities	17,972	18 %	17,202	17 %
Municipal	5,194	5 %	6,964	7 %
Non-U.S.	29,702	29 %	26,962	27 %
Short-term investments	4,097	4 %	4,960	5 %
Total	\$ 100,886	100 %	\$ 98,619	100 %
AAA	\$ 13,916	14 %	\$ 14,779	15 %
AA	31,109	31 %	31,195	32 %
A	19,233	19 %	18,366	19 %
BBB	18,040	18 %	16,802	17 %
BB	9,882	9 %	8,722	9 %
B	8,191	8 %	8,347	8 %
Other	515	1 %	408	— %
Total	\$ 100,886	100 %	\$ 98,619	100 %

Corporate and asset-backed securities

The following table presents our 10 largest global exposures to corporate bonds by fair value at June 30, 2023:

(in millions of U.S. dollars)	Fair Value
Bank of America Corp	\$ 762
JP Morgan Chase & Co	664
Morgan Stanley	663
Wells Fargo & Co	588
Citigroup Inc	515
Goldman Sachs Group Inc	512
UBS Group AG	386
HSBC Holdings Plc	375
Verizon Communications Inc	364
AT&T Inc	363

Mortgage-backed securities

The following table shows the fair value and amortized cost, net of valuation allowance, of our mortgage-backed securities:

June 30, 2023 (in millions of U.S. dollars)	S&P Credit Rating					Fair Value	Amortized Cost, Net
	AAA	AA	A	BBB	BB and below	Total	Total
Agency residential mortgage-backed securities (RMBS)	\$ 7	\$ 15,051	\$ —	\$ —	\$ —	\$ 15,058	\$ 16,809
Non-agency RMBS	576	51	48	28	7	710	799
Commercial mortgage-backed securities	1,890	173	128	13	—	2,204	2,422
Total mortgage-backed securities	\$ 2,473	\$ 15,275	\$ 176	\$ 41	\$ 7	\$ 17,972	\$ 20,030

Municipal

As part of our overall investment strategy, we may invest in states, municipalities, and other political subdivisions fixed maturity securities (Municipal). We apply the same investment selection process described previously to our Municipal investments. The portfolio is highly diversified primarily in state general obligation bonds and essential service revenue bonds including education and utilities (water, power, and sewers).

Non-U.S.

Our exposure to the euro results primarily from Chubb European Group SE which is headquartered in France and offers a broad range of coverages throughout the European Union, Central, and Eastern Europe. Chubb primarily invests in Euro denominated investments to support its local currency insurance obligations and required capital levels. Chubb's local currency investment portfolios have strict contractual investment guidelines requiring managers to maintain a high quality and diversified portfolio to both sector and individual issuers. Investment portfolios are monitored daily to ensure investment manager compliance with portfolio guidelines.

Our non-U.S. investment grade fixed income portfolios are currency-matched with the insurance liabilities of our non-U.S. operations. The average credit quality of our non-U.S. fixed income securities is A and 44 percent of our holdings are rated AAA or guaranteed by governments or quasi-government agencies. Within the context of these investment portfolios, our government and corporate bond holdings are highly diversified across industries and geographies. Issuer limits are based on credit rating (AA—two percent, A—one percent, BBB—0.5 percent of the total portfolio) and are monitored daily via an internal compliance system. We manage our indirect exposure using the same credit rating based investment approach. Accordingly, we do not believe our indirect exposure is material.

The following table summarizes the fair value and amortized cost, net of valuation allowance, of our non-U.S. fixed income portfolio by country/sovereign for non-U.S. government securities at June 30, 2023:

(in millions of U.S. dollars)	Fair Value		Amortized Cost, Net	
Republic of Korea	\$	1,681	\$	1,734
Taiwan		987		954
Canada		945		1,004
Federative Republic of Brazil		649		654
United Mexican States		610		641
Province of Ontario		589		629
Kingdom of Thailand		548		532
Socialist Republic of Vietnam		496		384
Commonwealth of Australia		464		539
United Kingdom		401		450
Other Non-U.S. Government Securities		5,087		5,475
Total	\$	12,457	\$	12,996

The following table summarizes the fair value and amortized cost, net of valuation allowance, of our non-U.S. fixed income portfolio by country/sovereign for non-U.S. corporate securities at June 30, 2023:

(in millions of U.S. dollars)	Fair Value		Amortized Cost, Net	
United Kingdom	\$	2,409	\$	2,621
Canada		1,957		2,063
South Korea		1,456		1,491
United States ⁽¹⁾		1,307		1,388
France		1,227		1,326
Australia		1,028		1,116
Japan		749		802
Netherlands		549		590
Germany		516		572
Switzerland		488		539
Other Non-U.S. Corporate Securities		5,559		5,945
Total	\$	17,245	\$	18,453

⁽¹⁾ The countries that are listed in the non-U.S. corporate fixed income portfolio above represent the ultimate parent company's country of risk. Non-U.S. corporate securities could be issued by foreign subsidiaries of U.S. corporations.

Below-investment grade corporate fixed income portfolio

Below-investment grade securities have different characteristics than investment grade corporate debt securities. Risk of loss from default by the borrower is greater with below-investment grade securities. Below-investment grade securities are generally unsecured and are often subordinated to other creditors of the issuer. Also, issuers of below-investment grade securities usually have higher levels of debt and are more sensitive to adverse economic conditions, such as recession or increasing interest rates, than investment grade issuers. At June 30, 2023, our corporate fixed income investment portfolio included below-investment grade and non-rated securities which, in total, comprised approximately 16 percent of our fixed income portfolio. Our below-investment grade and non-rated portfolio includes over 1,700 issuers, with the greatest single exposure being \$155 million.

We manage high-yield bonds as a distinct and separate asset class from investment grade bonds. The allocation to high-yield bonds is explicitly set by internal management and is targeted to securities in the upper tier of credit quality (BB/B). Our minimum rating for initial purchase is BB/B. Sixteen external investment managers are responsible for high-yield security selection and portfolio construction. Our high-yield managers have a conservative approach to credit selection and very low historical default experience. Holdings are highly diversified across industries and generally subject to a 1.5 percent issuer limit as a percentage of high-yield allocation. We monitor position limits daily through an internal compliance system. Derivative and structured securities (e.g., credit default swaps and collateralized debt obligations) are not permitted in the high-yield portfolio.

Critical Accounting Estimates

Unpaid losses and loss expenses

As an insurance and reinsurance company, we are required by applicable laws and regulations and GAAP to establish loss and loss expense reserves for the estimated unpaid portion of the ultimate liability for losses and loss expenses under the terms of our policies and agreements with our insured and reinsured customers. With the exception of certain structured settlements, for which the timing and amount of future claim payments are reliably determinable, and certain reserves for unsettled claims, our loss reserves are not discounted for the time value of money.

The following table presents a roll-forward of our unpaid losses and loss expenses:

(in millions of U.S. dollars)		Gross Losses	Reinsurance Recoverable ⁽¹⁾	Net Losses
Balance at December 31, 2022	\$	75,747	\$ 17,086	\$ 58,661
Losses and loss expenses incurred		13,480	2,649	10,831
Losses and loss expenses paid		(12,910)	(3,119)	(9,791)
Other (including foreign exchange translation)		163	(8)	171
Balance at June 30, 2023	\$	76,480	\$ 16,608	\$ 59,872

⁽¹⁾ Net of valuation allowance for uncollectible reinsurance.

The estimate of the liabilities includes provisions for claims that have been reported but are unpaid at the balance sheet date (case reserves) and for obligations on claims that have been incurred but not reported (IBNR) at the balance sheet date. IBNR may also include provisions to account for the possibility that reported claims may settle for amounts that differ from the established case reserves. Loss reserves also include an estimate of expenses associated with processing and settling unpaid claims (loss expenses).

Refer to Note 8 to the Consolidated Financial Statements for a discussion on the changes in the loss reserves.

Future policy benefits

Effective January 1, 2023, Chubb adopted the long-duration targeted improvement (LDTI) U.S. GAAP accounting guidance which affects the recognition, measurement, presentation, and disclosure requirements for long-duration contracts. For a discussion of our critical accounting estimates, refer to Item 7 in our 2022 Form 10-K.

Asbestos and Environmental (A&E)

There was no significant A&E reserve activity during the three and six months ended June 30, 2023. A&E reserves are included in Corporate. Refer to our 2022 Form 10-K for further information on our A&E exposures.

Fair value measurements

Accounting guidance defines fair value as the price to sell an asset or transfer a liability (an exit price) in an orderly transaction between market participants and establishes a three-level valuation hierarchy based on the reliability of the inputs. The fair value hierarchy gives the highest priority to quoted prices in active markets (Level 1 inputs) and the lowest priority to unobservable data (Level 3 inputs). Level 2 includes inputs, other than quoted prices within Level 1, that are observable for assets or liabilities either directly or indirectly. Refer to Note 4 to the Consolidated Financial Statements for information on our fair value measurements.

Catastrophe Management

We actively monitor and manage our catastrophe risk accumulation around the world from natural perils, including setting risk limits based on probable maximum loss (PML) and purchasing catastrophe reinsurance, to ensure sufficient liquidity and capital to meet the expectations of regulators, rating agencies, and policyholders, and to provide shareholders with an appropriate risk-adjusted return. Chubb uses internal and external data together with sophisticated, analytical catastrophe loss and risk modeling techniques to ensure an appropriate understanding of risk, including diversification and correlation effects, across different product lines and territories. The table below presents our modeled pre-tax estimates of natural catastrophe PML, net of reinsurance, at June 30, 2023, and does not represent our expected catastrophe losses for any one year.

(in millions of U.S. dollars, except for percentages)	Modeled Net Probable Maximum Loss (PML) Pre-tax					
	Worldwide ⁽¹⁾		U.S. Hurricane ⁽²⁾		California Earthquake ⁽³⁾	
	Annual Aggregate		Annual Aggregate		Single Occurrence	
	Chubb	% of Total Shareholders' Equity	Chubb	% of Total Shareholders' Equity	Chubb	% of Total Shareholders' Equity
1-in-10	\$ 2,318	4.4 %	\$ 1,204	2.3 %	\$ 143	0.3 %
1-in-100	\$ 5,197	9.8 %	\$ 3,477	6.6 %	\$ 1,392	2.6 %
1-in-250	\$ 8,717	16.5 %	\$ 6,577	12.4 %	\$ 1,644	3.1 %

⁽¹⁾ Worldwide aggregate is comprised of losses arising from tropical cyclones, convective storms, earthquakes, U.S. wildfires, and floods in the U.S., Canada, and Europe, and excludes "non-modeled" perils such as man-made and other catastrophe risks including pandemic.

⁽²⁾ U.S. hurricane losses include losses from wind, storm-surge, and related precipitation-induced flooding.

⁽³⁾ California earthquakes include the fire-following sub-peril.

The PML for worldwide and key U.S. peril regions are based on our in-force portfolio at April 1, 2023, and reflect the April 1, 2023, reinsurance program (see Global Property Catastrophe Reinsurance Program section) as well as inuring reinsurance protection coverages. These estimates assume that reinsurance recoverable is fully collectible.

According to the model, for the 1-in-100 return period scenario, there is a one percent chance that our pre-tax annual aggregate losses incurred in any year from U.S. hurricane events could be in excess of \$3,477 million (or 6.6 percent of our total shareholders' equity at June 30, 2023). Effective December 31, 2022, our worldwide PMLs include losses from floods in Canada and Europe. Additionally, U.S. hurricane PMLs include losses from hurricane related precipitation-induced flooding.

The above estimates of Chubb's loss profile are inherently uncertain for many reasons, including the following:

- While the use of third-party modeling packages to simulate potential catastrophe losses is prevalent within the insurance industry, the models are reliant upon significant meteorology, seismology, and engineering assumptions to estimate catastrophe losses. In particular, modeled catastrophe events are not always a representation of actual events and ensuing additional loss potential;
- There is no universal standard in the preparation of insured data for use in the models, the running of the modeling software, and interpretation of loss output. These loss estimates do not represent our potential maximum exposures and it is highly likely that our actual incurred losses would vary materially from the modeled estimates;
- The potential effects of climate change add to modeling complexity; and
- Changing climate conditions could impact our exposure to natural catastrophe risks. Published studies by leading government, academic, and professional organizations combined with extensive research by Chubb climate scientists reveal the potential for increases in the frequency and severity of key natural perils such as tropical cyclones, inland flood, and wildfire. To understand the potential impacts on the Chubb portfolio, we have conducted stress tests on our peak exposure zone, namely in the U.S., using parameters outlined by the Intergovernmental Panel on Climate Change (IPCC) Climate Change 2021 report. These parameters consider the impacts of climate change and the resulting climate peril impacts over a timescale relevant to our business. The tests are conducted by adjusting our baseline view of risk for the perils of hurricane, inland flood, and wildfire in the U.S. to reflect increases in frequency and severity across the modeled domains for each of these perils. Based on these tests against the Chubb portfolio we do not expect material impacts to our baseline PMLs from climate change through December 31, 2023. These tests reflect current exposures only and exclude potentially mitigating factors such as changes to building codes, public or private risk mitigation, regulation, and public policy.

Refer to Item 7 in our 2022 Form 10-K for more information on man-made and other catastrophes.

Global Property Catastrophe Reinsurance Program

Chubb's core property catastrophe reinsurance program provides protection against natural catastrophes impacting its primary property operations (i.e., excluding our Global Reinsurance and Life Insurance segments).

We regularly review our reinsurance protection and corresponding property catastrophe exposures. This may or may not lead to the purchase of additional reinsurance prior to a program's renewal date. In addition, prior to each renewal date, we consider how much, if any, coverage we intend to buy and we may make material changes to the current structure in light of various factors, including modeled PML assessment at various return periods, reinsurance pricing, our risk tolerance and exposures, and various other structuring considerations.

Chubb renewed its Global Property Catastrophe Reinsurance Program for our North American and International operations effective April 1, 2023, through March 31, 2024, with no material changes in coverage from the expiring program. The program consists of three layers in excess of losses retained by Chubb on a per occurrence basis. In addition, Chubb renewed its terrorism coverage (excluding nuclear, biological, chemical and radiation coverage, with an inclusion of coverage for biological and chemical coverage for personal lines) for the United States from April 1, 2023, through March 31, 2024, with the same limits and retention and percentage placed except that the majority of terrorism coverage is on an aggregate basis above our retentions without a reinstatement.

Loss Location	Layer of Loss	Comments	Notes
United States (excluding Alaska and Hawaii)	\$0 million – \$1.1 billion	Losses retained by Chubb	(a)
United States (excluding Alaska and Hawaii)	\$1.1 billion – \$1.25 billion	All natural perils and terrorism	(b)
United States (excluding Alaska and Hawaii)	\$1.25 billion – \$2.35 billion	All natural perils and terrorism	(c)
United States (excluding Alaska and Hawaii)	\$2.35 billion – \$3.5 billion	All natural perils and terrorism	(d)
International (including Alaska and Hawaii)	\$0 million – \$200 million	Losses retained by Chubb	(a)
International (including Alaska and Hawaii)	\$200 million – \$1.3 billion	All natural perils and terrorism	(c)
Alaska, Hawaii, and Canada	\$1.3 billion – \$2.45 billion	All natural perils and terrorism	(d)

^(a) Ultimate retention will depend upon the nature of the loss and the interplay between the underlying per risk programs and certain other catastrophe programs purchased by individual business units. These other catastrophe programs have the potential to reduce our effective retention below the stated levels.

^(b) These coverages are partially placed with Reinsurers.

^(c) These coverages are both part of the same Second layer within the Global Property Catastrophe Reinsurance Program and are fully placed with Reinsurers.

^(d) These coverages are both part of the same Third layer within the Global Property Catastrophe Reinsurance Program and are fully placed with Reinsurers.

Capital Resources

Capital resources consist of funds deployed or available to be deployed to support our business operations.

		June 30 2023	December 31 2022 As Adjusted
(in millions of U.S. dollars, except for ratios)			
Short-term debt	\$	699	\$ 475
Long-term debt		13,782	14,402
Total financial debt		14,481	14,877
Trust preferred securities		308	308
Total shareholders' equity		52,875	50,519
Total capitalization	\$	67,664	\$ 65,704
Ratio of financial debt to total capitalization		21.4 %	22.6 %
Ratio of financial debt plus trust preferred securities to total capitalization		21.9 %	23.1 %

Repurchase agreements are excluded from the table above and are disclosed separately from short-term debt in the Consolidated balance sheets. The repurchase agreements are collateralized borrowings where we maintain the right and ability to redeem the collateral on short notice, unlike short-term debt which comprises the current maturities of our long-term debt instruments.

For the six months ended June 30, 2023, we repurchased \$1.2 billion of Common Shares in a series of open market transactions under the Board of Directors (Board) share repurchase authorization. At June 30, 2023, there were 20,760,232 Common Shares in treasury with a weighted-average cost of \$152.91 per share. In June 2023, the Board authorized the repurchase of up to \$5.0 billion of Chubb's Common Shares effective July 1, 2023 with no expiration date. At July 27, 2023, \$5.0 billion in share repurchase authorization remained.

We generally maintain the ability to issue certain classes of debt and equity securities via a Securities and Exchange Commission (SEC) shelf registration statement which is renewed every three years. This allows us capital market access for refinancing as well as for unforeseen or opportunistic capital needs.

Dividends

We have paid dividends each quarter since we became a public company in 1993. Under Swiss law, dividends must be stated in Swiss francs though dividend payments are made by Chubb in U.S. dollars. Refer to Note 14 to the Consolidated Financial Statements for a discussion of our dividend methodology.

At our May 2023 annual general meeting, our shareholders approved an annual dividend for the following year of up to \$3.44 per share, or CHF 3.09 per share, calculated using the USD/CHF exchange rate as published in the Wall Street Journal on May 17, 2023, expected to be paid in four quarterly installments of \$0.86 per share after the general meeting by way of a distribution from capital contribution reserves, transferred to free reserves for payment. The Board determines the record and payment dates at which the annual dividend may be paid until the date of the 2024 annual general meeting, and is authorized to abstain from distributing a dividend at its discretion. The annual dividend approved in May 2023 represented a \$0.12 per share increase (\$0.03 per quarter) over the prior year dividend.

The following table represents dividends paid per Common Share to shareholders of record on each of the following dates:

Shareholders of record as of:	Dividends paid as of:	
December 16, 2022	January 6, 2023	\$0.83 (CHF 0.79)
March 17, 2023	April 10, 2023	\$0.83 (CHF 0.77)
June 16, 2023	July 7, 2023	\$0.86 (CHF 0.77)

Liquidity

We anticipate that positive cash flows from operations (underwriting activities and investment income) should be sufficient to cover cash outflows under most loss scenarios for the near term. In addition to cash from operations, routine sales of investments, and financing arrangements, we have agreements with a third-party bank provider which implemented two international multi-currency notional cash pooling programs to enhance cash management efficiency during periods of short-term timing mismatches between expected inflows and outflows of cash by currency. The programs allow us to optimize investment income by avoiding portfolio disruption. Should the need arise, we generally have access to capital markets and to credit facilities with letter of credit capacity of \$4.0 billion, \$3.0 billion of which can be used for revolving credit. At June 30, 2023, our usage under these facilities was \$1.4 billion in letters of credit. Our access to credit under these facilities is dependent on the ability of the banks that are a party to the facilities to meet their funding commitments. The facilities require that we maintain certain financial covenants, all of which we met at June 30, 2023. Should the existing credit providers on these facilities experience financial difficulty, we may be required to replace credit sources, possibly in a difficult market. If we cannot obtain adequate capital or sources of credit on favorable terms, on a timely basis, or at all, our business, operating results, and financial condition could be adversely affected. To date, we have not experienced difficulty accessing our credit facility or establishing additional facilities when needed.

The payment of dividends or other statutorily permissible distributions from our operating companies are subject to the laws and regulations applicable to each jurisdiction, as well as the need to maintain capital levels adequate to support the insurance and reinsurance operations, including financial strength ratings issued by independent rating agencies. During the six months ended June 30, 2023, we were able to meet all our obligations, including the payments of dividends on our Common Shares, with our net cash flows.

We assess which subsidiaries to draw dividends from based on a number of factors. Considerations such as regulatory and legal restrictions as well as the subsidiary's financial condition are paramount to the dividend decision. Chubb Limited received dividends of \$925 million and \$5.8 billion from its Bermuda subsidiaries during the six months ended June 30, 2023 and 2022, respectively.

The U.S. insurance subsidiaries of Chubb INA Holdings Inc. (Chubb INA) may pay dividends, without prior regulatory approval, subject to restrictions set out in state law of the subsidiary's domicile (or, if applicable, commercial domicile). Chubb INA's international subsidiaries are also subject to insurance laws and regulations particular to the countries in which the subsidiaries operate. These laws and regulations sometimes include restrictions that limit the amount of dividends payable without prior approval of regulatory insurance authorities. Chubb Limited received no dividends from Chubb INA during the six months ended June 30, 2023 and 2022. Debt issued by Chubb INA is serviced by statutorily permissible distributions by Chubb INA's insurance subsidiaries to Chubb INA as well as other group resources. Chubb INA received \$458 million and \$1.8 billion from its subsidiaries during the six months ended June 30, 2023 and 2022, respectively. Subsequently, in July 2023, Chubb INA received \$518 million from its subsidiaries.

Cash Flows

Our sources of liquidity include cash from operations, routine sales of investments, and financing arrangements. The following is a discussion of our cash flows for the six months ended June 30, 2023 and 2022.

Operating cash flows were \$4.8 billion in the six months ended June 30, 2023, compared to \$5.2 billion in the prior year period, primarily due to higher net losses paid and higher income taxes paid, partially offset by higher net premiums collected.

Cash from (used for) investing was \$(2.3) billion in the six months ended June 30, 2023, compared to \$1.1 billion in the prior year period, a decrease of \$3.3 billion. Cash used for investing in the current period primarily included higher net purchases of fixed maturities and equity securities of \$3.3 billion.

Cash used for financing was \$2.3 billion in the six months ended June 30, 2023, compared to \$0.7 billion in the prior year period. The increase of \$1.6 billion is from net repayments of \$1.9 billion from repurchase agreements and \$475 million from long-term debt, partially offset by fewer common shares repurchased of \$860 million.

We use repurchase agreements as a low-cost alternative. At June 30, 2023, there were \$1.5 billion in repurchase agreements outstanding with various maturities over the next eleven months.

Both internal and external forces influence our financial condition, results of operations, and cash flows. Claim settlements, premium levels, and investment returns may be impacted by changing rates of inflation and other economic conditions. In many

cases, significant periods of time, ranging up to several years or more, may lapse between the occurrence of an insured loss, the reporting of the loss to us, and the settlement of the liability for that loss.

Information provided in connection with outstanding debt of subsidiaries

Chubb INA Holdings Inc. (Subsidiary Issuer) is an indirect 100 percent-owned and consolidated subsidiary of Chubb Limited (Parent Guarantor). The Parent Guarantor fully and unconditionally guarantees certain of the debt of the Subsidiary Issuer.

The following table presents the condensed balance sheets of Chubb Limited and Chubb INA Holdings Inc., after elimination of investment in any non-guarantor subsidiary:

	Chubb Limited (Parent Guarantor)			Chubb INA Holdings Inc. (Subsidiary Issuer)	
	June 30	December 31		June 30	December 31
(in millions of U.S. dollars)	2023	2022		2023	2022
Assets					
Investments	\$ —	\$ —	\$	101	\$ 135
Cash	2	40		7	2
Due from parent guarantor/subsidiary issuer	—	2		1,411	586
Due from subsidiaries that are not issuers or guarantors	1,813	1,791		640	598
Other assets	9	16		2,650	2,106
Total assets	\$ 1,824	\$ 1,849	\$	4,809	\$ 3,427
Liabilities					
Due to parent guarantor/subsidiary issuer	\$ 1,411	\$ 586	\$	—	\$ 2
Due to subsidiaries that are not issuers or guarantors	257	248		1,773	1,710
Affiliated notional cash pooling programs	435	252		2,801	1,496
Short-term debt	—	—		699	475
Long-term debt	—	—		13,782	14,402
Trust preferred securities	—	—		308	308
Other liabilities	520	616		1,662	1,305
Total liabilities	2,623	1,702		21,025	19,698
Total shareholders' equity	(799)	147		(16,216)	(16,271)
Total liabilities and shareholders' equity	\$ 1,824	\$ 1,849	\$	4,809	\$ 3,427

The following table presents the condensed statements of operations and comprehensive income of Chubb Limited and Chubb INA Holdings Inc., excluding equity in earnings from non-guarantor subsidiaries:

Six Months Ended June 30, 2023 (in millions of U.S. dollars)	Chubb Limited (Parent Guarantor)		Chubb INA Holdings Inc. (Subsidiary Issuer)	
Net investment income (loss)	\$	(5)	\$	(59)
Net realized gains (losses)		30		(76)
Administrative expenses		56		(9)
Interest (income) expense		(8)		226
Other (income) expense		(22)		37
Cigna integration expenses		—		2
Income tax expense (benefit)		5		(136)
Net income (loss)	\$	(6)	\$	(255)
Comprehensive income (loss)	\$	(6)	\$	(383)

ITEM 3. Quantitative and Qualitative Disclosures about Market Risk

Refer to Item 7A included in our 2022 Form 10-K.

Foreign currency management

As a global company, Chubb entities transact business in multiple currencies. Our policy is to generally match assets, liabilities and required capital for each individual jurisdiction in local currency, which would include the use of derivatives. We occasionally engage in hedging activity for planned cross border transactions. For an estimated impact of foreign currency movement on our net assets denominated in non-U.S. currencies, refer to Item 7A in our 2022 Form 10-K. This information will be updated and disclosed in interim filings if our net assets in non-U.S. currencies change materially from the December 31, 2022, balances disclosed in the 2022 Form 10-K.

Reinsurance of market risk benefits

Effective January 1, 2023, we adopted new U.S. GAAP accounting guidance for long-duration contracts that affects the accounting for GMDB and GLB liabilities, collectively referred to as market risk benefits (MRB). MRB are measured at fair value using a valuation model based on current net exposures, market data, our experience, and other factors. Changes in fair value are recorded to Market risk benefits gains (losses) in the Consolidated statements of operations, except for the change in fair value due to a change in the instrument-specific credit risk which will be recognized in Other comprehensive income.

Chubb views its MRB reinsurance business as having a similar risk profile to that of catastrophe reinsurance, with the probability of long-term economic loss relatively small at the time of pricing. Adverse changes in market factors and policyholder behavior will have an impact on both MRB gains (losses) and net income. When evaluating these risks, we expect to be compensated for taking both the risk of a cumulative long-term economic net loss, as well as the short-term accounting variations caused by these market movements. Therefore, we evaluate this business in terms of its long-term economic risk and reward.

The tables below are estimates of the sensitivities to instantaneous changes in economic inputs (e.g., equity shock, interest rate shock etc.) at June 30, 2023, for both the fair value of the MRB liability (FVL) and the fair value of specific derivative instruments held (hedge value) to partially offset the risk in the MRB reinsurance portfolio. The following assumptions should be considered when using the below tables:

- Equity shocks impact all global equity markets equally
 - Our liabilities are sensitive to global equity markets in the following proportions: 80 percent—90 percent U.S. equity, and 10 percent —20 percent international equity.
 - Our current hedge portfolio is sensitive only to U.S. equity markets.
 - We would suggest using the S&P 500 index as a proxy for U.S. equity, and the MSCI EAFE index as a proxy for international equity.

- Interest rate shocks assume a parallel shift in the U.S. yield curve
 - Our liabilities are also sensitive to global interest rates at various points on the yield curve, mainly the U.S. Treasury curve in the following proportions: 5 percent—15 percent short-term rates (maturing in less than 5 years), 15 percent—25 percent medium-term rates (maturing between 5 years and 10 years, inclusive), and 70 percent—80 percent long-term rates (maturing beyond 10 years).
 - A change in AA-rated credit spreads impacts the rate used to discount cash flows in the fair value model. AA-rated credit spreads are a proxy for both our own credit spreads and the credit spreads of the ceding insurers.
- The hedge sensitivity is from June 30, 2023, market levels and only applicable to the equity and interest rate sensitivities table below.
- The sensitivities do not scale linearly and may be proportionally greater for larger movements in the market factors. Actual sensitivity of our net income may differ from those disclosed in the tables below due to fluctuations in short-term market movements.

Sensitivities to equity and interest rate movements

(in millions of U.S. dollars)

Interest Rate Shock		Worldwide Equity Shock					
		+10%	Flat	-10%	-20%	-30%	-40%
+100 bps	(Increase)/decrease in FVL	\$ 274	\$ 181	\$ 68	\$ (76)	\$ (264)	\$ (501)
	Increase/(decrease) in hedge value	(111)	—	111	222	334	445
	Increase/(decrease) in net income	\$ 163	\$ 181	\$ 179	\$ 146	\$ 70	\$ (56)
Flat	(Increase)/decrease in FVL	\$ 110	\$ —	\$ (132)	\$ (310)	\$ (531)	\$ (796)
	Increase/(decrease) in hedge value	(111)	—	111	222	334	445
	Increase/(decrease) in net income	\$ (1)	\$ —	\$ (21)	\$ (88)	\$ (197)	\$ (351)
-100 bps	(Increase)/decrease in FVL	\$ (96)	\$ (224)	\$ (390)	\$ (596)	\$ (843)	\$ (1,135)
	Increase/(decrease) in hedge value	(111)	—	111	222	334	445
	Increase/(decrease) in net income	\$ (207)	\$ (224)	\$ (279)	\$ (374)	\$ (509)	\$ (690)

Sensitivities to Other Economic Variables

(in millions of U.S. dollars)

	AA-rated Credit Spreads		Interest Rate Volatility		Equity Volatility	
	+100 bps	-100 bps	+2%	-2%	+2%	-2%
(Increase)/decrease in FVL	\$ 52	\$ (58)	\$ (1)	\$ —	\$ (17)	\$ 16
Increase/(decrease) in net income	\$ 52	\$ (58)	\$ (1)	\$ —	\$ (17)	\$ 16

Market Risk Benefits Net Amount at Risk

All our MRB reinsurance treaties include annual or aggregate claim limits and many include an aggregate deductible which limit the net amount at risk under these programs. The tables below present the net amount at risk at June 30, 2023, following an immediate change in equity market levels, assuming all global equity markets are impacted equally.

a) Reinsurance covering the GMDB risk only

(in millions of U.S. dollars)	Equity Shock					
	+20 %	Flat	-20 %	-40 %	-60 %	-80 %
GMDB net amount at risk	\$ 242	\$ 307	\$ 571	\$ 729	\$ 693	\$ 562
Claims at 100% immediate mortality	142	151	153	143	130	115

The treaty limits function as a ceiling as equity markets fall. As the shocks in the table above become incrementally more negative, the impacts begin to drop due to the specific nature of these claim limits, many of which are annual claim limits calculated as a percentage of the reinsured account value. There is also an impact due to a portion of the reinsurance under which claims are positively correlated to equity markets (claims decrease as equity markets fall).

b) Reinsurance covering the GLB risk only

(in millions of U.S. dollars)	Equity Shock					
	+20 %	Flat	-20 %	-40 %	-60 %	-80 %
GLB net amount at risk	\$ 906	\$ 1,222	\$ 1,743	\$ 2,266	\$ 2,641	\$ 2,909

The treaty limits cause the net amount at risk to increase at a declining rate as equity markets fall.

c) Reinsurance covering both the GMDB and GLB risks on the same underlying policyholders

(in millions of U.S. dollars)	Equity Shock					
	+20 %	Flat	-20 %	-40 %	-60 %	-80 %
GMDB net amount at risk	\$ 43	\$ 52	\$ 62	\$ 73	\$ 82	\$ 88
GLB net amount at risk	375	467	584	709	833	850
Claims at 100% immediate mortality	31	31	30	30	30	30

The treaty limits cause the GMDB and GLB net amount at risk to increase at a declining rate as equity markets fall.

ITEM 4. Controls and Procedures

Chubb's management, with the participation of Chubb's Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of Chubb's disclosure controls and procedures as defined in Rule 13a-15(e) and Rule 15d-15(e) under the Securities Exchange Act of 1934 as of June 30, 2023. Based upon that evaluation, Chubb's Chief Executive Officer and Chief Financial Officer concluded that Chubb's disclosure controls and procedures are effective in allowing information required to be disclosed in reports filed under the Securities Exchange Act of 1934 to be recorded, processed, summarized, and reported within time periods specified in the rules and forms of the SEC, and that such information is accumulated and communicated to Chubb's management, including its Chief Executive Officer and Chief Financial Officer, as appropriate to allow timely decisions regarding required disclosure.

On July 1, 2022, we acquired the personal accident, supplemental health, and life insurance business of Cigna in several Asian markets (Cigna Asia business). For the three and six months ended June 30, 2023, Cigna's Asia business represented approximately 6 percent and 7 percent of consolidated revenues, respectively. At June 30, 2023, Cigna's Asia business represented approximately 3 percent of total assets. We currently exclude, and are in the process of working to incorporate, Cigna's Asia business in our evaluation of internal controls over financial reporting, and related disclosure controls and procedures.

Other than working to incorporate Cigna's Asia business as noted above, there have been no changes in Chubb's internal controls over financial reporting during the three months ended June 30, 2023, that have materially affected, or are reasonably likely to materially affect, Chubb's internal controls over financial reporting.

PART II OTHER INFORMATION

ITEM 1. Legal Proceedings

The information required with respect to this item is included in Note 13 h) to the Consolidated Financial Statements, which is hereby incorporated herein by reference.

ITEM 1A. Risk Factors

There have been no material changes to the risk factors described under "Risk Factors" under Item 1A of Part I of our 2022 Form 10-K.

ITEM 2. Unregistered Sales of Equity Securities and Use of Proceeds and Issuer Repurchases of Equity Securities

Issuer's Repurchases of Equity Securities

The following table provides information with respect to purchases by Chubb of its Common Shares during the three months ended June 30, 2023:

Period	Total Number of Shares Purchased ⁽¹⁾	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Plan ⁽²⁾	Approximate Dollar Value of Shares that May Yet be Purchased Under the Plan ⁽³⁾
April 1 through April 30	134,824	\$ 200.56	127,900	\$ 1.17 billion
May 1 through May 31	2,341,407	\$ 198.08	2,238,100	\$ 726 million
June 1 through June 30	1,309,533	\$ 194.96	1,308,300	—
Total	3,785,764	\$ 197.09	3,674,300	

⁽¹⁾ This column represents open market share repurchases and the surrender to Chubb of Common Shares to satisfy tax withholding obligations in connection with the vesting of restricted stock issued to employees and to cover the cost of the exercise of options by employees through stock swaps.

⁽²⁾ The aggregate value of shares purchased in the three months ended June 30, 2023 as part of the publicly announced plan was \$724 million. Refer to Note 14 to the Consolidated Financial Statements for more information on the Chubb Limited securities repurchase authorizations.

⁽³⁾ As of June 30, 2023, \$474 million expired under the May 2022 \$2.5 billion share repurchase authorization. In June 2023, the Board authorized the repurchase of up to \$5.0 billion of Chubb's Common Shares effective July 1, 2023 with no expiration date.

ITEM 6. Exhibits

Exhibit Number	Exhibit Description	Incorporated by Reference			Filed Herewith
		Form	Original Number	Date Filed	
3.1	Articles of Association of the Company, as amended and restated	8-K	3.1	May 17, 2023	
3.2	Organizational Regulations of the Company, as amended	10-K	3.2	February 24, 2023	
4.1	Articles of Association of the Company, as amended and restated	8-K	4.1	May 17, 2023	
4.2	Organizational Regulations of the Company, as amended	10-K	4.2	February 24, 2023	
10.1*	Form of Executive Management Non-Competition Agreement				X
22.1	Guaranteed Securities	10-Q	22.1	May 2, 2023	
31.1	Certification Pursuant to Section 302 of The Sarbanes-Oxley Act of 2002				X
31.2	Certification Pursuant to Section 302 of The Sarbanes-Oxley Act of 2002				X
32.1	Certification Pursuant to 18 U.S.C. Section 1350, As Adopted Pursuant to Section 906 of The Sarbanes-Oxley Act of 2002				X
32.2	Certification Pursuant to 18 U.S.C. Section 1350, As Adopted Pursuant to Section 906 of The Sarbanes-Oxley Act of 2002				X
101.1	The following financial information from Chubb Limited's Quarterly Report on Form 10-Q for the quarter ended June 30, 2023, formatted in Inline XBRL: (i) Consolidated Balance Sheets at June 30, 2023, and December 31, 2022; (ii) Consolidated Statements of Operations and Comprehensive Income for the three and six months ended June 30, 2023 and 2022; (iii) Consolidated Statements of Shareholders' Equity for the three and six months ended June 30, 2023 and 2022; (iv) Consolidated Statements of Cash Flows for the six months ended June 30, 2023 and 2022; and (v) Notes to Consolidated Financial Statements				X
104.1	The Cover Page Interactive Data File formatted in Inline XBRL (The cover page XBRL tags are embedded in the Inline XBRL document and included in Exhibit 101.1)				

* Management contract, compensatory plan or arrangement

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

CHUBB LIMITED
(Registrant)

July 28, 2023

/s/ Evan G. Greenberg

Evan G. Greenberg
Chairman and Chief Executive Officer

July 28, 2023

/s/ Peter C. Enns

Peter C. Enns
Executive Vice President and Chief Financial Officer